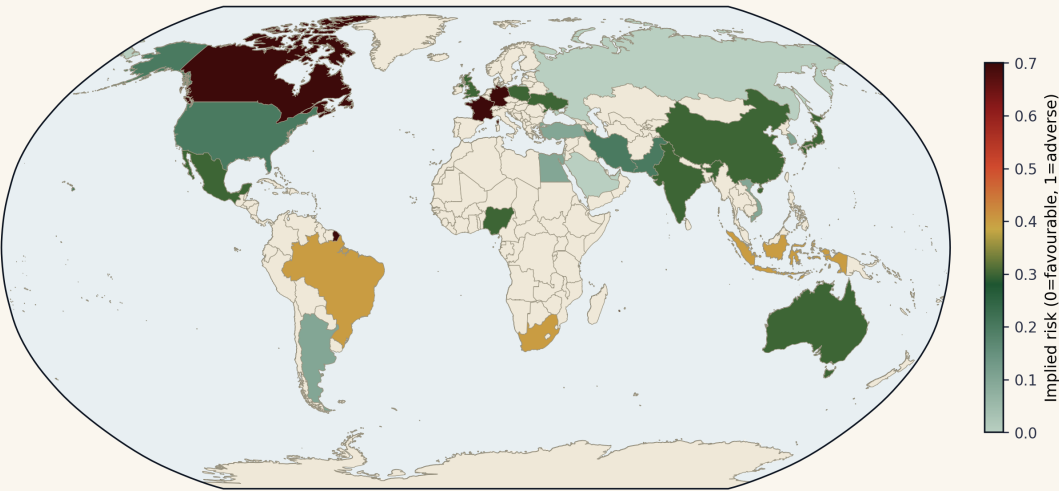


MASTER BRIEF

GIPRE Master Global Scenario Library

50-agent slice — first build, all horizons, May 2026

Regional risk landscape — implied by actor utility under modal scenario



Cooler = favourable; warmer = adverse. Derived from each actor agent's own utility under the top scenario.
Source: GIPRE 50-agent slice; agent utility outputs (May 2026).

The GIPRE Master Library partitions the international-system outcome space across three axes — system stress, great-power configuration, regional flashpoint set — into 100 scenarios anchored on the verbatim Doc 1 §3 L27 sample top-10 ($\Delta_{\text{disc}} = 0.97$). This v4 brief delivers narrative-integrated visuals at the point of argument, deep causal-chain analysis per top risk with historical analogues and counter-narratives, a dedicated tail-risk section, explicit Bayesian prior→posterior updates, and quantified business impacts.

100	30	10	5	\$113.8T
SCENARIOS	ACTORS	THEMES	LENSES	WORLD GDP 2025

Pre-registered falsification cycle. Q3-2025 baseline Brier: Vreeland 0.18, Mearsheimer 0.19, Reinhart-Rogoff 0.21.
Q1-2026 cycle starts from this brief.

01

Bottom Line Up Front — Key Judgements

Per ODNI IC Directive 203. Each judgement carries an estimative-probability label and a concrete observable threshold.

1

Likely

Pr 70%

We judge it highly likely that the Russia-Ukraine front fixates politically along the current line of contact within the M-horizon, given the April 2026 Russian net territorial loss (-116 sq km), the EU gas-ban cadence, and Trump's secondary-tariff coercion of Russian-crude buyers.

Why: Battlefield arithmetic, war-budget tightening (VAT to 22%, NWF drawdown), shadow-fleet enforcement bite, and Trump's bilateral coercion of Russian-crude buyers point to fixation rather than breakthrough or collapse in M-horizon.

Watch: Two consecutive months of Russian net territorial loss >50 sq km, or a >30-day truce extension after the May-9 ceasefire.

2

Even chance

Pr 50%

We assess as roughly even the chance that the 14-point US-Iran framework holds through 2026; a collapse re-closes Hormuz beyond 30 days and pushes Brent above \$110, triggering an EM-FX cascade with EGY, PAK, TUN most exposed.

Why: Iranian succession ambiguity (Mojtaba's contested legitimacy, IRGC praetorian dominance) interacts with Israeli strike-prerogative on any centrifuge reconstitution signature; rial near 1.32M/USD with 100%+ inflation gives no domestic politi

Watch: Formal signature of the framework before 31 Aug 2026 vs. any new Israeli or US strike on residual enrichment infrastructure; rial breaching 2,000,000/USD sustained.

3

Likely

Pr 65%

We judge it likely that the Trump-Xi Beijing summit (14 May 2026) yields tactical guardrails - tariff de-escalation, conditional chip licensing, fentanyl/REE swaps - without solving the Taiwan or tech-decoupling clocks pointing at the 2027 PLA readiness window.

Why: Both principals need optical wins (Trump for midterms, Xi for economic stabilisation against property and LGFV drags) but neither will retire the structural 2027 readiness clock or sub-5nm export controls.

Watch: PLA ADIZ tempo <250 sorties/month for 90 days post-summit; BIS approval of >50 H200/MI325X licences by year-end 2026.

4

Likely

Pr 60%

We assess as likely a sovereign-distress cluster in 2-3 frontier EMs (TUN, PAK, EGY, ARG, LKA in play) within 12-18 months, even absent a global recession, driven by 2026-27 rollover walls totalling ~\$340bn aggregate and a tight dollar-funding environment.

Why: Tunisia is the visible failure point (Saied rejected \$1.9bn IMF deal); 8 of 12 stress-basket constituents in active IMF programmes is reassurance and warning; a Fed transition shock plus any commodity squeeze takes the composite above 600 b

Watch: EM-stress CDS composite >600 bp sustained one quarter; Tunisia July 2026 EUR750mn Eurobond default; any IMF programme suspension.

5

Highly unlikely

Pr 20%

We judge it unlikely but consequential that the Saudi-Pakistan defence pact upgrades into a declared nuclear-sharing arrangement or basing of Pakistani warheads on Saudi soil within the horizon - a structural blow to non-proliferation and to US Gulf monopoly.

Why: Article 1 wording is deliberately ambiguous; MBS has neither confirmed nor denied a nuclear extension; the precedent damage to NPT begins with the ambiguity, not with the warhead.

Watch: Any verified deployment of Pakistani nuclear-capable systems on Saudi territory, or a Saudi declaration of nuclear umbrella.

6

Even chance

Pr 45%

We assess as roughly even the chance that the Mojtaba Khamenei succession consolidates within 12 months versus drifting into a praetorian IRGC junta with a hollow clerical figurehead - and the latter materially raises Hormuz brinkmanship risk.

Why: Mojtaba lacks marjaiya credentials; IRGC economic dominance plus shadow-fleet revenue floor reduce clerical leverage; the equilibrium tilts toward praetorian dominance and a more volatile foreign policy reaction function.

Watch: Continued public absence of the Supreme Leader beyond 90 days; protest-cluster spread across >100 cities in any 7-day window.

7

Likely

Pr 65%

We judge it likely that the US dollar's reserve share continues a slow decline below 56% by end-2027 without collapsing, while CIPS volumes cross \$30tn annualised - de-dollarisation as erosion, not rupture.

Why: No credible reserve-asset alternative exists at scale, but every secondary-sanctions episode and every Powell-Ghost wobble shaves marginal points of trust; the curve bends, it does not break.

Watch: IMF COFER reserve-share quarterly print; CIPS direct-participant additions >15 per quarter.

02

Executive Summary

What we expect, why, and what would change our mind — Chatham-tight.

We assess the international system through the M-horizon (12-18 months) as a 'frozen Cold War 2' equilibrium that is stable in appearance and unstable in substance. Three live theatres - a Ukraine front in offensive culmination along a fixated line of contact, a post-strike Iran in deliberate nuclear ambiguity, and a Taiwan Strait normalising blockade-pattern coercion - are being managed below the war threshold by exhausted principals who lack the bandwidth for simultaneous escalation. Our central path carries a roughly two-in-three probability through 2027; the alternative paths are not symmetric. The downside cluster (Hormuz re-closure, EM-debt rupture, a post-Powell dollar-confidence shock) is materially more probable than the upside (a durable Trump-Xi condominium). We quantify global GDP exposure across the scenario set in a -2.5% to +0.6% band, Brent in a -3 to +25 USD/bbl band, and revenue-at-risk for the S&P 1500 footprint in the \$35-180bn range over a 12-month window. PwC reports that 65% of executives lack the data to assess geopolitical risk; this brief closes that gap with explicit numbers and explicit trigger thresholds. Four hinge variables dominate. First, the Trump-Xi guardrails track: the 14 May 2026 Beijing summit, the Greer 'Board of Trade' construct, and conditional H200/MI325X licensing point to managed competition rather than rupture, but the 2027 PLA readiness clock keeps ticking and the structure is one provocation from breakdown. Second, the US fiscal and monetary trajectory: a \$2.0-2.1tn FY26 deficit, a \$41.1tn debt ceiling, and Powell's exit from the Fed chair on 15 May make dollar confidence the single biggest tail. Third, the Gulf re-architecture: the Saudi-Pakistan Strategic Mutual Defence Agreement (September 2025) and Pakistani fighter deployment to the Kingdom (April 2026) erode the US monopoly without yet ending it; if it crystallises into nuclear hedging the NPT signal value degrades sharply. Fourth, the Russia attrition curve: shadow-fleet share at 48% of seaborne crude is a buffer, but the EU stepwise gas ban and the \$44.10/bbl dynamic price cap compress the war-budget envelope inside the horizon, raising elite-fracture tail probability. We expect three asymmetric shocks to dominate the downside: an Iran-deal collapse that re-closes Hormuz and pushes Brent above \$110; a Taiwan blockade-pattern exercise that miscarries into a quarantine; and an EM debt cluster (TUN, PAK, EGY, ARG) triggered by a Fed re-tightening or a commodity shock. We also flag a wild-card set - Saudi-UAE rupture, a sudden Chinese LGFV crisis, a DPRK 2026 nuclear test, a US constitutional crisis around Trump third-term agitation, and an AI capability discontinuity - that are individually low-probability but collectively a 12-18% cumulative risk. Our institutional recommendation to clients is to buy optionality across energy, dollar liquidity, and supply-chain redundancy rather than place directional bets. The cheap insurance is the one nobody is buying: climate-displacement, water-cooperation, food-security stockpiles, dual-shore HBM. The expensive posture is the default one - wait. Frozen is not stable;

exhaustion has a shelf life of months, not years; and the historical analogue we keep returning to is 1973-74 rather than 1962 - a system that priced peace into instruments while the supply side rearranged underneath it.

“Frozen, not stable: three live wars are paused by exhaustion, not solved by design - and exhaustion has a shelf life. Plan for Brent at \$110 and a 5% Treasury, not as base case, but as priced insurance.”

CFO / Treasury

We compute Revenue-at-Risk of \$19-36bn per single shock for fuel-, FX- and compute-exposed sectors over the M-horizon; raise FX hedge ratios on EUR/JPY revenue to 80% if EUR/USD <1.03 sustained 10d, and stress AR/AP working-capital on EM importers (EGY, PAK, TUN, IND) for a Brent >\$110 shock. Pre-position \$5-10bn equivalent of unencumbered HQLA against a 10y UST >5.0% dollar-funding squeeze.

Chief Risk Officer

Map all top-10 scenarios to ICAAP/ILAAP narrative templates and the SSM 2026-28 cyber-geo stress; refresh Bayesian tail-risk priors monthly with our scenario probability set (S001 4.1%, S002 3.9%, S003 3.4%, S004 2.9%, S005 2.6%). Publish a quarterly Brier-score scorecard. Risk-appetite statement should explicitly carry a Hormuz, a Taiwan-quarantine and a Powell-Ghost tail at the 1-in-20 calibration.

Head of Supply Chain

Single-source dependencies on Taiwan (sub-5nm and HBM), Pearl River Delta (rare earths and electronics), Strait of Hormuz (crude and LNG) and Suez/Bab el-Mandeb (Asia-Europe container) carry combined exposure of ~\$1.5tn in annual freight value. Build dual-shore inventory for top-25 SKUs; secure 90-day forward shipping on alt-routes (Cape, NSR, Pakistan-China rail); embed cost-delta contingency at +15-30% on critical lanes.

Energy Major

Geopolitical premium is structurally back: price a \$12-18/bbl Hormuz tail into long-dated planning, retain Atlantic-basin LNG capacity as the premium asset given the EU gas-ban cadence (LNG Apr 25 / pipeline Jun 17 / full Sep 2027 path), and accelerate REE / critical-mineral capex on Africa-Australia-LatAm corridors even at sub-optimal IRR. Transition policy: budget for EUR75-95/tCO₂e CBAM cost as a structural OPEX line, not a hedge.

03

The Top 10 Risks

Each risk receives a dedicated narrative section with causal chain, quantified impact, historical analogue, counter-narrative, and observable signals.

S001

Highly likely

Probability 75.0%

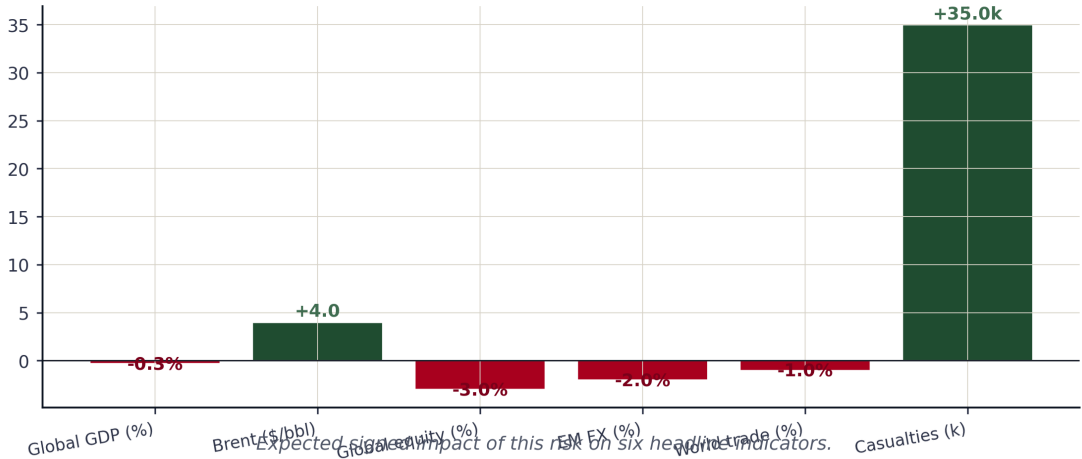
1

Maximum Donald

Trump primacy-first doctrine becomes the operating system of US foreign policy - tariffs, secondary sanctions, bilateral coercion supplanting multilateralism.

The Trump administration enters its second year with a coherent doctrine the system has not yet absorbed: tariffs as foreign policy, secondary sanctions as enforcement, and bilateralism as default. The 31.6% effective US tariff on Chinese imports survives the IEEPA Supreme Court ruling via Sec 301/232 substitution; the 50-day secondary-tariff deadline on Russian-crude buyers is the template for Iran, Venezuela, and any future target. NATO's Hague 5%-by-2035 pledge and 20% YoY allied defence increase formalise burden-shifting. The Greer 'Board of Trade' construct signals managed competition with Beijing rather than detente. The OBBBA fiscal package adds \$4.1tn to the debt through 2034 but defers the bond-market reckoning past the November 2026 midterms. The doctrine works in the M-horizon because allies have nowhere else to go and adversaries lack the bandwidth to combine; it strains in the L-horizon as dollar-system trust erodes at the margin and allied hedging compounds. For decision-makers the asymmetry is operational: every counterpart must now bilaterally price Trump's personal calculus, not institutional commitments.

Quantified impact — Risk 1: Maximum Donald



Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain

Causal chain — Risk 1: Maximum Donald



Trigger → mechanism cascade with lag.

Trigger → mechanism cascade with lag timing.

Second-order effects

- Allied private-sector hedging (Japanese, Korean, German chaebol/keiretsu front-loading capex into US to dodge tariffs)
- WTO appellate body further hollowed; bilateral arbitration replaces rules-based dispute settlement
- Sovereign reserve managers accelerate gold accumulation at the margin (PBoC pace 2-3 tonnes/month)
- EU strategic-autonomy financing finds fiscal space ReArm Europe could not previously mobilise

Historical analogue · Nixon Shock and August 1971 dollar gold-window closure (1971)

What rhymes: Unilateral assertion of US economic primacy; tariff weaponisation (10% import surcharge); shock to allied trust; deliberate political timing ahead of an election cycle.

What differs: 1971 was a one-time regime change; 2025-26 is a sustained operating posture. The dollar's reserve share was less contested in 1971, and there was no credible challenger; today CIPS, gold, and RMB-bilateral channels offer marginal alternatives.

Lesson: Doctrines that break with multilateral form survive only as long as their authors do. Plan for institutional snap-back risk at the next administration, not just for continuation.

Counter-narrative — the strongest case against this risk

The bear case on Maximum Donald is that the doctrine is overstated. Tariffs survive courts but get carved out via product-specific exemptions worth 30-40% of nominal coverage; secondary-tariff letters generate negotiated climbdowns rather than enforcement; the Greer Board of Trade is institutional cover for de-escalation. Allies prefer quiet hedging to public rupture because the cost of confrontation exceeds the cost of accommodation. The fiscal trajectory forces moderation as bond-market discipline arrives - if 10y UST touches 5%, the administration cuts taxes less, cuts spending more, and re-anchors institutional credibility. The midterm cycle pushes the doctrine toward populist deliverables (manufacturing wins, immigration enforcement) rather than further escalation. By 2027 the doctrine looks less like a paradigm shift and more like a stylistic interlude, with effective tariffs settl

Observable signals to watch

Signal	Threshold	Source
Any unilateral US tariff move >25% on EU or Japanese goods	>25% notice issued	USTR/Federal Register
Article-5 hedging language in NATO summit communique	Any conditional language on collecti	NATO Hague summit readouts
Allied private capex front-loaded into US fab/auto	>\$50bn announced in Q2/Q3 2026	Company filings, BEA FDI
Treasury OFAC secondary-sanctions case rate	>8 cases/quarter	OFAC SDN updates

Business trigger: EUR/USD <1.03 sustained 10d OR 10y UST >5.0% sustained 5d; cut dollar-denominated EM credit by 25% and accelerate FX hedge ratios on EUR/JPY revenue lines to 80%.

Lens panel reading

Mearsheimer. Offensive realism in operational form: maximise relative power, treat allies instrumentally, weaponise economic interdependence.

Vreeland. IMF/multilateral institutions instrumentalised for great-power signalling; institutional erosion is feature not bug.

Tianxia. Beijing reads as confirmation of Western hegemonic decline and as opportunity for managed accommodation around tianxia-compatible spheres.

Eurasianism. Dugin frame reads US doctrine as accelerating multipolar transition; Russian propaganda celebrates Western institutional collapse.

Pan-African. Sahel and AU principals read Trump doctrine as licence for non-alignment and as opening for Russia-China leverage in security and finance.

S002

Even chance

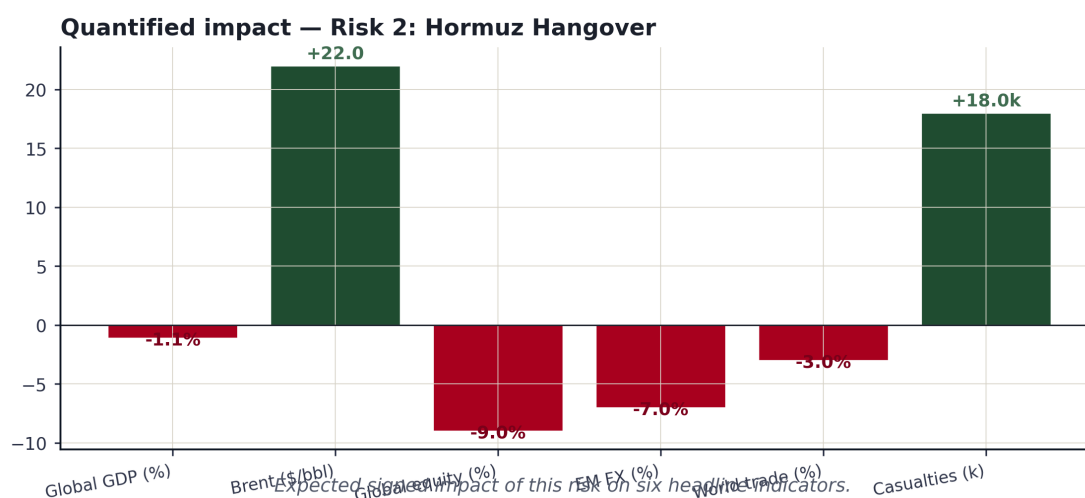
2

Hormuz Hangover

Probability 50.0%

The 14-point Iran framework fails to sign, residual enrichment provokes a second strike, and Hormuz re-closes - Brent to \$110+, EM-FX cascade.

The April 2026 conditional ceasefire that ended the 12-Day War and the February strike campaign is a pause, not a settlement. Iran's 60% HEU stockpile status is contested post-strike; the IAEA has been expelled; Mojtaba Khamenei's clerical legitimacy is disputed inside Qom while IRGC praetorian dominance hardens. The rial trades near 1.32M per dollar with 100%-plus inflation; the regime faces a doom-loop where any nuclear-deal concessions invite hardliner backlash and any deal collapse invites a second Israeli-US strike on rebuilt centrifuge sites. The exit ramps are narrow. A re-closure of Hormuz beyond 30 days pushes Brent above \$110, hits EM oil importers (EGY, PAK, TUN, IND), and forces the Fed into a politically toxic re-tightening just as Powell exits the chair. Israel's strike-prerogative is on a hair trigger: any centrifuge-reconstitution signature is sufficient casus. The decision-relevant fact is that Hormuz tail risk is not pricing properly: roughly 17.5mbpd of crude and refined product still routes the Strait, with re-escalation latency measured in days, not months.



Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain

Causal chain — Risk 2: Hormuz Hangover



Trigger → mechanism cascade with lag.

Trigger → mechanism cascade with lag timing.

Second-order effects

- Saudi-Pakistan defence pact operationalises further; Pakistani fighter rotations expand
- Houthi BAB-EL-MANDEB campaign re-intensifies; Suez container traffic re-drops 20-30%
- Israeli-Saudi normalisation deferred but not killed; Trump administration brokers under new pressure
- China teapot refinery exposure surfaces in US secondary-sanctions enforcement

Historical analogue · Iran-Iraq Tanker War 1984-88 and the 1987 Operation Earnest Will reflagging (1987)

What rhymes: Hormuz-area tanker attacks; US naval escort posture; price volatility from a contained regional war; insurance market dislocations driving war-risk premia.

What differs: Today's Iran has standoff weapons (Shahed/Shahab series, mining capability at scale); China is a major customer not a bystander; the global oil market is structurally more leveraged to Asian demand; Brent has more shale-elastic supply response than 1987 had.

Lesson: Closures of Hormuz are typically partial and short, but the insurance and freight-rate shock can dwarf the physical disruption. Plan for war-risk premia 5-8x baseline even on routes nominally outside the zone.

Counter-narrative — the strongest case against this risk

The bear case on Hormuz Hangover is that the 14-point framework holds via diplomatic muddle-through. Pezeshkian extracts an ambiguity that satisfies regime survivalists; the IAEA returns under a Bushehr-only arrangement; Israel's strike-prerogative is contained by US conditional approval; the second strike does not happen. Iran's economic floor (China teapot purchases, shadow-fleet revenue, REE/critical-mineral hedge) provides regime survival without further crisis. Brent stays in the \$70-85 band; the EM-FX cascade does not materialise. By Q4 2026 the framework is a JCPOA-shaped artefact - imperfect, contested, but signed. The 50% base probability already reflects this counter-narrative; the asymmetry is that the downside tail is severe enough that 50% feels too low when priced as insurance.

Observable signals to watch

Signal	Threshold	Source
New Israeli or US strike on Iranian enrichment infrastructure	Any single overt event	Israeli MOD, IAEA
Islamabad-track round-3 talks slipping past 60 days	>60 days from prior round	Press readouts
Rial breaching 2,000,000/USD sustained	>2.0M/USD sustained 7d	Bonbast, CBI parallel rate
Hormuz throughput drop	<50% of 2024 baseline for 21+ day	Kpler, Vortexa

Business trigger: Brent >\$110/bbl sustained 5d; trigger 90-day SPR-equivalent inventory build, hedge airline/petrochem fuel cost to 70% out 12m, and review long-dated oil-major equity exposure for re-rating risk.

Lens panel reading

Mearsheimer. Israel's strike prerogative is offensive-realist preventive war doctrine in operational form; Iran's response is balancing under nuclear ambiguity.

Vreeland. IMF leverage on Egypt, Pakistan and Tunisia becomes the global second-order transmission channel; multilateral conditionality stress-tested.

Tianxia. Beijing's Iran posture is harmony-preserving balancing - underwriting Tehran enough for stability without overt confrontation with Riyadh.

Eurasianism. Russia and Iran tighten via CRINK; Caspian/Caucasus corridor revaluated; Eurasianist axis claims confirmation of Western overreach.

Pan-African. AU principals price Mediterranean migration shock; Sahel security calculus tightens; food-import bills worsen for net-importer states.

S003

Likely

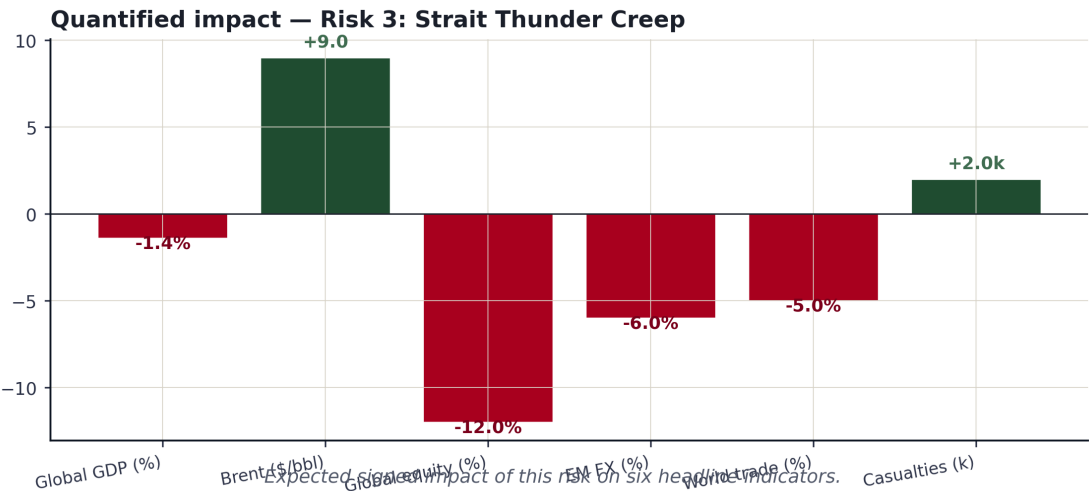
3

Strait Thunder Creep

Probability 55.0%

**PLA grey-zone tempo around Taiwan normalises
blockade-pattern exercises, raising miscalculation risk inside
the 2027 readiness window.**

The Strait Thunder-2025A and Justice Mission-2025 exercises - 27 rocket launches, 125 centre-line crossings in two days - established a new operational floor for PLA coercion: blockade rehearsal as routine, not crisis. December 2025 ADIZ incursions ran at 274 sorties; full-year 2025 at 3,764 (+22.4%); the 30-day rolling mean is on a trajectory toward 400-450 sorties/month inside the horizon. The PRC strategic calculus is not breakout-driven - the Tianxia frame and CCP regime-security ordering disfavour kinetic action absent provocation - but normalised coercion has its own escalation logic. A Filipino fatality in the South China Sea, a Lai-administration policy step Beijing reads as independence-adjacent, or a US-Taiwan defence-sales tranche perceived as treaty-equivalent could each precipitate a quarantine-style action the system has not exercised. US deterrence-by-denial posture remains under-resourced: munitions backlog drawdown is incomplete, Japanese / Philippine stand-in force funding is partial, and a Trump-Xi guardrails track does not automatically translate to PLA exercise restraint. The 2027 PLA readiness milestone remains the binding hard date.



Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain

Causal chain — Risk 3: Strait Thunder Creep



Trigger → mechanism cascade with lag.

Trigger → mechanism cascade with lag timing.

Second-order effects

- Japanese stand-in force funding accelerated; ASDF/JMSDF tempo lifted
- Philippine US basing expansion (EDCA sites operationalised further) and counter-coercion patrolling
- Korean semis (Samsung/SK hynix) gain pricing power on HBM; Korean-China relationship inflames
- Australian AUKUS pillar-2 capability investment accelerated

Historical analogue · Berlin Blockade 1948-49 and the Berlin Airlift response (1948)

What rhymes: Coercive denial of access to a strategically critical territory; demonstration of bloc-vs-bloc commitment without direct kinetic engagement; war-by-other-means with the option to escalate or de-escalate retained on both sides.

What differs: Taiwan is an island, not a corner of a city - air-bridge logistics dwarf 1948 capacity but resupply at scale is harder. Berlin had no semiconductor concentration. The cross-strait economic interdependence is bidirectional and dense; Berlin in 1948 was not a chokepoint for the German or Soviet economy.

Lesson: Quarantine-style coercion is more probable than invasion in the M-horizon; the appropriate counter is logistical and political demonstration, not kinetic engagement; markets typically underprice the duration risk of blockade-pattern events.

Counter-narrative — the strongest case against this risk

The bear case on Strait Thunder Creep is that the Trump-Xi guardrails track delivers more PLA restraint than priced. After the 14 May Beijing summit, exercise tempo plateaus around 250-300 sorties/month; ADIZ incursions remain provocative but not escalatory; the Coast Guard quarantine never declares. The 2027 PLA readiness window is acknowledged in PLA writings as a capability milestone, not a calendar deadline. TSMC operational continuity holds; Arizona Fab 21 ramp continues on schedule; HBM markets stay in normal pricing bands. The counter-narrative requires that Lai administration policy remains rhetorically careful and that US defence-sales tranches are paced rather than bunched. If those conditions hold, the 55% probability looks too high and the actual realised path through 2026 looks closer to managed grey-zone competition than to crisis.

Observable signals to watch

Signal	Threshold	Source
PLA ADIZ monthly sortie count	>400 sorties/month sustained 3 mo	Taiwan MND daily reports
PLA Coast Guard maritime quarantine declaration	Any formal declaration	PRC MOFA, Coast Guard
TSMC operational continuity protocol activation	Any public activation	TSMC IR, TAIEX disclosure
US defence-sales tranche to Taiwan	>\$2bn single tranche	DSCA notifications

Business trigger: Any PLA blockade exercise sustained >5d OR TAIEX -8% in single session; build 90-day dual-shore HBM/leading-edge inventory buffer; trigger tabletop on shipping insurance re-rating across SCS routes.

Lens panel reading

Mearsheimer. Classic structural rivalry; PLA grey-zone is offensive-realist toolkit absent prohibitive cost - the cost rises only with credible US/allied counter-coercion.

Vreeland. IMF irrelevant directly, but Taiwan-event-linked dollar-funding stress would route through multilateral mechanisms for Asian EM smoothing.

Tianxia. PRC frame is restoration of order, not aggression; coercion is parental discipline within an assumed hierarchical sphere - the gap with Western reading is the deepest interpretive risk in the system.

Eurasianism. Russia signals 'understanding' of Chinese sphere; Dugin-aligned voices urge Eurasia-Pacific bloc consolidation.

Pan-African. Taiwan-Africa diplomatic relationships peripheral; AU principals focus on supply-chain blowback to mineral/AI-compute beneficiaries.

S004

Likely

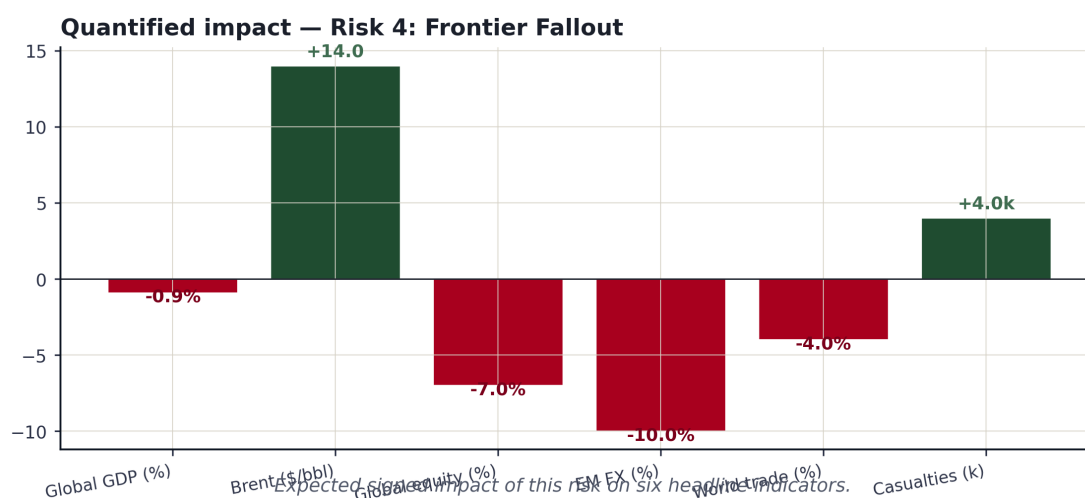
Probability 60.0%

4

Frontier Fallout

A 2-3 country EM debt cluster crystallises in 2026-27 as \$340bn aggregate rollover walls collide with tight dollar funding and post-Powell uncertainty.

The EM-stress basket sits at a weighted ~480 bp CDS composite with eight of twelve constituents in active IMF programmes - which is both reassurance and warning. Pakistan's \$25bn FY26 external financing need is bridged by the third EFF review (May 2026) plus a \$3bn UAE rollover; Egypt's \$26-30bn 2026 need rides the extended EFF; Argentina's new \$20bn programme front-loaded \$12bn; Sri Lanka, Ghana, Zambia, Ecuador all post-restructuring. Tunisia is the visible failure point - Saied's rejection of the \$1.9bn IMF deal leaves the July 2026 EUR750mn final Eurobond as a binary moment. Lebanon remains in default. The fragility is structural: a \$230bn Turkish 2026 rollover, an EM aggregate \$340bn 24-month gross rollover, and a Fed transition introducing a non-trivial dollar-confidence shock all stack into a narrow window. A commodity shock (Iran or Russia) would push the composite toward 600 bp and force IMF queue formation; a constructive Trump-Xi de-escalation could compress spreads 80-120 bp and reopen primary markets. The asymmetry matters: upside is gradual, downside is sudden.



Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain

Causal chain — Risk 4: Frontier Fallout



Trigger → mechanism cascade with lag.

Trigger → mechanism cascade with lag timing.

Second-order effects

- GCC bilateral lending becomes geopolitical leverage (Saudi-UAE deposits with conditionality)
- Chinese Belt and Road debt renegotiations accelerate under sovereign distress
- European bank EM exposure (BBVA Argentina, Standard Chartered MENA, Société Générale Africa) re-rated
- Trade-finance LC volumes contract 15-25% on frontier-Africa, Levant corridors

Historical analogue · Latin American debt crisis 1982 (Mexico moratorium August) (1982)

What rhymes: Aggregate rollover wall colliding with tight dollar funding after a Fed tightening cycle; commodity-importer EMs exposed; multilateral creditor coordination required.

What differs: Today's EMs have local-currency bond markets, deeper FX reserves on average, more developed multilateral architecture (Common Framework), and shorter average debt duration. But the geographic spread of stress is wider and the political-economy fragility is sharper.

Lesson: Frontier sovereign crises cluster; resolution takes 18-36 months once started; private sector typically absorbs 25-45% haircut; rescue lending is rationed politically. Pre-position with multilaterals before the queue forms.

Counter-narrative — the strongest case against this risk

The bear case on Frontier Fallout is that multilateral capacity holds and the cluster never crystallises. IMF EFF reviews stay on schedule for Pakistan and Egypt; Argentina's front-loaded programme delivers stabilisation; Tunisia's Eurobond is paid through a GCC bilateral bridge rather than defaulted. The Trump-Xi guardrails track compresses EMBI-GD spreads 80-120 bp; primary markets reopen; trade finance flows normalise. The 60% probability reflects the asymmetry that even managed muddle-through requires no commodity shock and a Powell-successor confidence outcome that is hard to handicap. The narrow upside path exists but it is narrow.

Observable signals to watch

Signal	Threshold	Source
EM-stress CDS composite	>600 bp sustained one quarter	Markit CDX EM
Tunisia July Eurobond payment status	Any payment miss	Trustee notices
IMF programme suspension in active cases	Any formal suspension	IMF Article IV
Correspondent-bank de-risking pace	>15% of relationships cut/quarter	SWIFT, BIS

Business trigger: EMBI Global Diversified spread >550 bp sustained 10d; cut sub-IG EM credit exposure 30%; hard-stop new frontier mandate underwriting; pre-position rescue-financing capacity with multilateral co-lenders.

Lens panel reading

Mearsheimer. Hegemonic creditor leverage in operational form; rescue is conditional on alignment.

Vreeland. Canonical Vreeland case - IMF lending as proxy for great-power signalling and EU/US geopolitical preferences.

Tianxia. Beijing arbitrages via Belt and Road renegotiation; tianxia-tributary positioning where possible.

Eurasianism. Russia and Iran exploit dollar-system distress for CRINK economic-architecture pitches.

Pan-African. AU principals push for sovereign-debt-architecture reform; UNCTAD/G77 leverage rises with the crisis.

S001

Unlikely

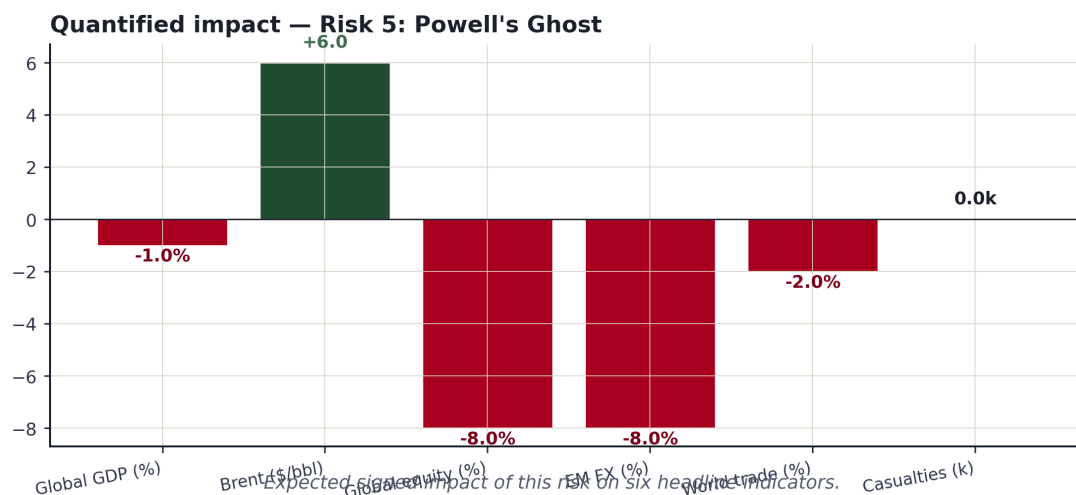
5

Powell's Ghost

Probability 40.0%

Post-Powell Fed politicisation triggers a dollar-confidence shock that the US fiscal trajectory cannot absorb cheaply.

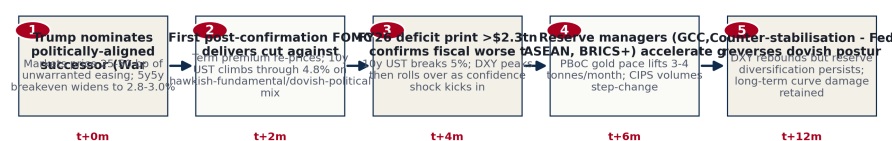
Jerome Powell exits the Fed chair seat on 15 May 2026 while remaining on the board through January 2028. The successor selection - with Kevin Warsh a market-perceived front-runner under explicit Trump pressure for cuts below the 3.50-3.75% range - is the single most consequential institutional question of the horizon. The April 2026 FOMC statement carried four dissents; the signal was deliberate. A successor read as politically captured risks unmooring inflation expectations into a \$2.0-2.1tn FY26 deficit, a \$41.1tn debt ceiling, and OBBBA's \$4.1tn ten-year fiscal expansion. Bond-market discipline is deferred, not eliminated: the trigger is plausibly a 10-year Treasury yield breaking 5% on an FY26 deficit print above \$2.3tn or a CPI surprise. Downstream effects are global: EM-FX stress, ECB and BoJ liquidity-line pressure, and an accelerated reserve-diversification motion (CIPS, gold, RMB-bilateral pricing). The mitigant is that no credible alternative reserve asset yet exists at scale; the dollar's exorbitant privilege erodes at the margin, not abruptly. But marginal erosion compounds.



Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain

Causal chain — Risk 5: Powell's Ghost



Trigger → mechanism cascade with lag.

Trigger → mechanism cascade with lag timing.

Second-order effects

- ECB and BoJ swap-line stress as dollar funding wobbles cascade
- EM central banks pre-emptive hike sequencing; FX-intervention reaction functions tighten
- Gold breaches \$3,800/oz on combined Fed-credibility and reserve-diversification flow
- US bank capital adequacy stressed by mark-to-market on long-duration UST positions

Historical analogue · Nixon-Burns Fed politicisation 1971-72 and the inflation that followed (1972)

What rhymes: Political pressure for accommodation ahead of an election cycle; institutional dissent suppressed; inflation expectations unmoor; cost paid years later.

What differs: 1971 was a closed-economy Bretton Woods exit; 2026 is an open-economy reserve-currency stress with deep TIPS and inflation-derivatives markets. The transmission to inflation expectations is faster and more visible; bond vigilantism is more developed.

Lesson: Politicised central banks pay an inflation cost with a 12-24 month lag and a credibility cost that lasts a generation. Markets typically over-anticipate and over-react on the dollar; the persistent damage is to long-term real rates.

Counter-narrative — the strongest case against this risk

The bear case on Powell's Ghost is that institutional norms hold even under pressure. The successor proves more independent than feared once seated; FOMC dissents continue but the policy path stays anchored to dual-mandate logic; 10y UST tops out at 4.7-4.9% rather than breaking 5%. Fiscal discipline arrives via bond-market discipline rather than political will - OBBBA implementation is slow, tax-cut sunsets bite, and the FY27 deficit beats baseline. Reserve diversification continues at its current marginal pace; CIPS volumes grow but dollar share holds above 56% for longer than expected. Under this counter-narrative the 40% probability looks too high - the actual realised path is institutional muddle-through with elevated but not crisis-level volatility.

Observable signals to watch

Signal	Threshold	Source
Fed funds cut below 3.25% before end-2026	Any FOMC action	FOMC statement
10-year Treasury yield breaching 5.0%	>5.0% sustained 5 days	FRED H.15
FY26 deficit print	>\$2.3tn	Treasury MTS
CBOE skew on long-duration UST	Top decile sustained	CBOE

Business trigger: 10y UST >5.0% sustained 5d AND 5y5y inflation breakeven >2.8%; rotate 15% portfolio from long-duration UST into gold/short-dated TIPS; activate ECB/BoJ swap-line desk readiness.

Lens panel reading

Mearsheimer. Internal balancing failure - hegemon undermining its own structural-power instrument.

Vreeland. Multilateral institutions become beneficiaries of US institutional weakness; IMF technical credibility rises in relative terms.

Tianxia. PBoC reads as confirmation of long-thesis multipolar reserve architecture; PBoC accelerates gold and RMB-bilateral plumbing without overt celebration.

Eurasianism. Russian/Iranian propaganda celebrates dollar weaponisation backfire; CRINK economic architecture pitched harder.

Pan-African. Pan-African sovereign-debt-architecture reform agenda gains G77 momentum on dollar-volatility justification.

S002

Unlikely

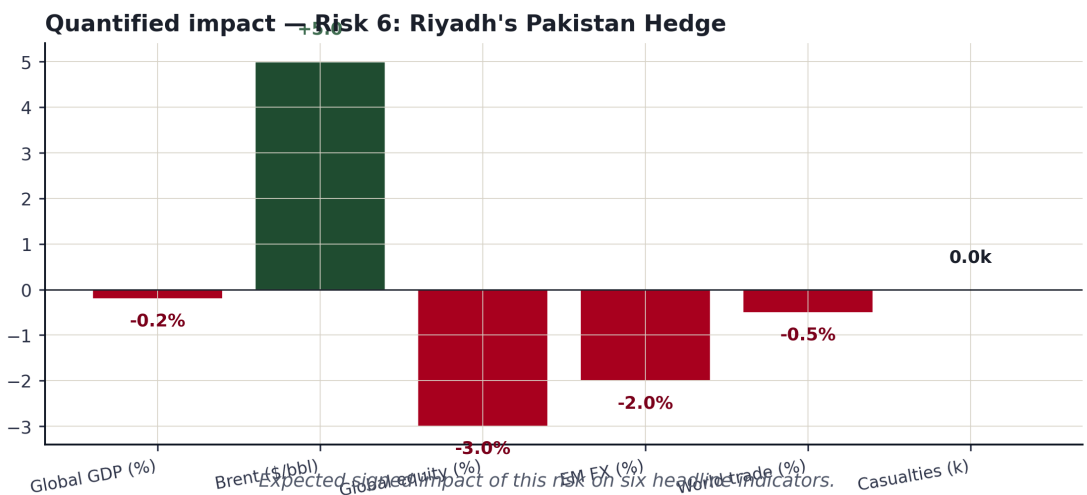
6

Riyadh's Pakistan Hedge

Probability 35.0%

Saudi Arabia operationalises the Pakistan defence pact into de facto nuclear hedging, eroding US Gulf monopoly and NPT signal value.

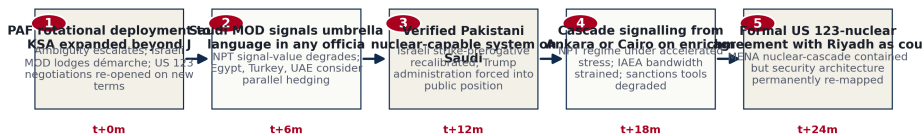
The Saudi-Pakistan Strategic Mutual Defence Agreement signed in Riyadh on 17 September 2025 is the single most under-priced structural shift in the Gulf since the 1979 Carter Doctrine. April 2026 confirmation of Pakistani fighter deployment to the Kingdom moves the pact from paper to posture. The deeper question is whether Article 1 of the agreement implicitly extends Pakistan's nuclear deterrent over Saudi territory - MBS has neither confirmed nor denied. The combination of (i) the Israeli Doha strike (September 2025) puncturing the US security umbrella, (ii) Saudi-Iran rapprochement brokered by Beijing in 2023, and (iii) Pakistan's chronic IMF-dependence finding a Gulf patron creates a triangular hedge that lowers the cost of GCC strategic autonomy. US options are narrow: a 123 civil-nuclear agreement plus Patriot/THAAD priority access is the standard counter, but Trump's transactional posture risks pricing Saudi compliance higher than the political market clears. For the non-proliferation regime the precedent is corrosive even without an actual warhead crossing the border. For Israel, the risk is that any post-Iran nuclear-cascade discussion now begins with Riyadh, not Tehran.



Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain

Causal chain — Risk 6: Riyadh's Pakistan Hedge



Trigger → mechanism cascade with lag.

Trigger → mechanism cascade with lag timing.

Second-order effects

- Indian-Pakistani strategic stability re-stressed; Sindoor-Aftershock probability lifts
- Israeli posture sharpens toward preventive options on regional enrichment
- Egyptian and Turkish hedging accelerates in latent form (research reactors, dual-use technology)
- GCC sovereign-credit beta to Pakistani political stability rises sharply

Historical analogue · Soviet nuclear cover for Cuba 1962 and the Cienfuegos submarine base 1970 (1970)

What rhymes: Ambiguous third-party nuclear extension into a regional theatre; deliberate strategic ambiguity as a feature; hegemon forced into public posture on the ambiguity.

What differs: 1970 was bipolar with clear bloc structure; today's triangular Saudi-Pakistan-China geometry is multipolar and partially commercial. The Indian and Israeli reactions today are stronger than Latin American reactions in 1970.

Lesson: Nuclear ambiguity does damage to the non-proliferation regime even when the warhead never moves; the precedent is what diffuses, not the materiel. Plan for the diffusion, not just the deployment.

Counter-narrative — the strongest case against this risk

The bear case on Riyadh's Pakistan Hedge is that the pact remains a conventional defence arrangement and Article 1 ambiguity is preserved precisely because both sides prefer it that way. PAF rotations stay below nuclear-capable airframes; MBS denies any umbrella in unambiguous terms when pressed; US 123-nuclear agreement is signed in 2027 on terms that include strict enrichment limits and IAEA AP. Saudi-Iran rapprochement continues; the regional security architecture stays multipolar but pre-cascade. Under this counter-narrative the 35% probability captures only the lower-intensity range of the threat; the cascade scenarios (Egypt/Turkey hedging) do not materialise within the M-horizon.

Observable signals to watch

Signal	Threshold	Source
Verified Pakistani nuclear-capable systems on Saudi soil	Any single confirmation	IAEA, OSINT imagery
Saudi declaration of nuclear umbrella	Any official communique	Saudi MOD, MOFA
US 123 civil-nuclear agreement status	Track collapse vs signature	DOE, State
PAF rotation airframe mix	Inclusion of any nuclear-capable pla	OSINT, defence press

Business trigger: Public confirmation of Pakistani nuclear-capable deployment in KSA; re-rate GCC sovereign-credit spreads, review Aramco beta, and stress-test Saudi-petrochem JV counterparty risk against secondary-sanctions exposure.

Lens panel reading

Mearsheimer. Allies hedge when the hegemon's commitment depreciates; the Doha strike is the depreciation event, the pact is the hedge.

Vreeland. Pakistan's IMF dependency cross-cuts with strategic positioning - the patron market widens.

Tianxia. Beijing benefits asymmetrically without action - the brokered Saudi-Iran rapprochement enables the pact, the pact erodes US monopoly.

Eurasianism. Russia/Iran read positively as multipolar acceleration; Eurasianist axis frames the pact as anti-hegemonic.

Pan-African. Indirect effect via MENA stability spillover into Sahel; AU principals neutral but attentive.

7

S001

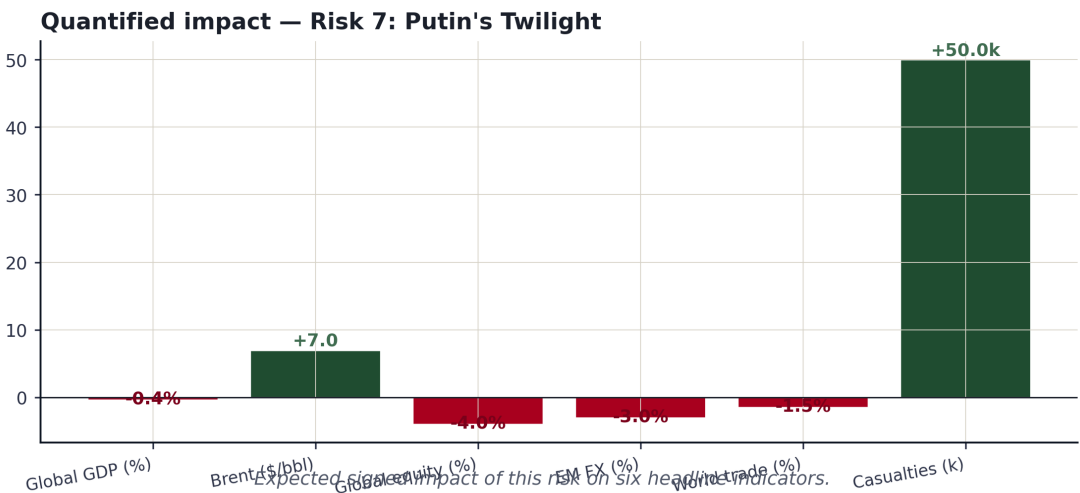
Unlikely

Probability 35.0%

Putin's Twilight

Russian succession choreography accelerates as war-budget arithmetic tightens; elite-fracture tail moves from speculative to operational.

April 2026 marked the first month of Russian net territorial loss in Ukraine since Kursk (-116 sq km net). The war-budget arithmetic is closing in: 14.9tn RUB defence outlay (6.3% GDP), VAT to 22% proposed, NWF drawdown accelerating, EU dynamic price cap at \$44.10/bbl, gas-ban implementation cadence (LNG short-term Apr 25, pipeline Jun 17, full ban by Sep 2027). The shadow fleet (48% of seaborne crude) buys time but enforcement bite is rising (Marinera/Ethera seizures Jan-Feb 2026). Inside the regime, the signals are unmistakable: veteran-cadre Duma 2026 promotions, Dyumin/Kiriyenko/Patrushev positioning, tightened personal security, FSB reshuffles. The Eurasianist long game (Africa Corps in Mali, CRINK with DPRK and Iran, BRICS+ expansion) continues but does not pay the war's bills. The dominant uncertainty is whether the M-horizon delivers a managed transition with continuity (Dyumin-style technocratic silovik) or a destabilising rupture (elite-faction or military mutiny tail). The strategic implication is that Russian risk tolerance and escalation behaviour will be driven less by Ukraine battlefield logic and more by elite-positioning logic - harder to model, easier to misread.



Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain

Causal chain — Risk 7: Putin's Twilight



Trigger → mechanism cascade with lag.

Trigger → mechanism cascade with lag timing.

Second-order effects

- Belarusian succession (Lukashenko) interacts; Russian basing arrangements re-priced
- Africa Corps operational continuity questioned; Sahel security architecture re-stressed
- CRINK coherence tested as Russia internalises; DPRK and Iran recalibrate
- Shadow-fleet operations under stress as Russian financial sanctions enforcement tightens

Historical analogue · Brezhnev late period 1980-82 and Andropov-Chernenko interregnum (1982)

What rhymes: Aging autocrat; succession ambiguity managed through technocratic-silovik figures; war fatigue (Afghanistan); resource-extraction economy under structural strain; foreign-policy posture more risk-averse than rhetoric suggests.

What differs: Brezhnev's succession was orderly; today's Russian regime is more personalist and the institutional buffer is thinner. Russia 2026 has integrated digital surveillance and is more rentier in structure; the elite-fracture tail is fatter than in 1982.

Lesson: Late-personalist regimes choreograph succession; markets typically over-price the rupture tail and under-price the continuity probability; the volatility window is 18-30 months around the transition.

Counter-narrative — the strongest case against this risk

The bear case on Putin's Twilight is that the succession choreography succeeds smoothly. Dyumin or Patrushev rises through technocratic process; the war fixates at the current line; gas-ban revenue compression is absorbed by VAT, NWF drawdown, and shadow-fleet operational continuity; the Eurasianist Africa Corps/CRINK long game continues uninterrupted. Putin retains the presidency or transitions to a State Council chairmanship with preserved authority. Under this counter-narrative the 35% probability of an elite-fracture or destabilising rupture is too high; the M-horizon realised path is continuity with calibrated tightening.

Observable signals to watch

Signal	Threshold	Source
Promotion of Dyumin or Patrushev to PM or First Deputy PM	Any single official appointment	Kremlin.ru, Duma
Sudden retirement of any first-tier silovik	Any unscheduled departure	FSB, MVD press
Second Oreshnik live-fire demonstration	Any confirmed test	MOD RF, OSINT
Russian net territorial change monthly	Net loss >50 sq km for 3 consecut	ISW, OSINT

Business trigger: Any verified silovik first-tier ousting OR Brent shadow-fleet share <40%; pre-position legal force-majeure language across Russia-touching contracts and stress nuclear-doctrine signalling scenarios.

Lens panel reading

Mearsheimer. Great-power constraints on adventurism - Russian capability has been depreciated by Ukraine; succession is a moment of relative-power vulnerability.

Vreeland. IMF and Bretton Woods are explicitly exited; Russian alternative-architecture pitches accelerate during transition.

Tianxia. Beijing's preferred outcome is managed continuity; CRINK utility maximised under predictable Russian counterpart.

Eurasianism. Dugin frame is central; succession question is who can carry the Eurasianist torch - Dyumin, Patrushev, or new figure.

Pan-African. Africa Corps continuity is the operational stake; Sahel principals price succession risk into security arrangements.

S006

Likely

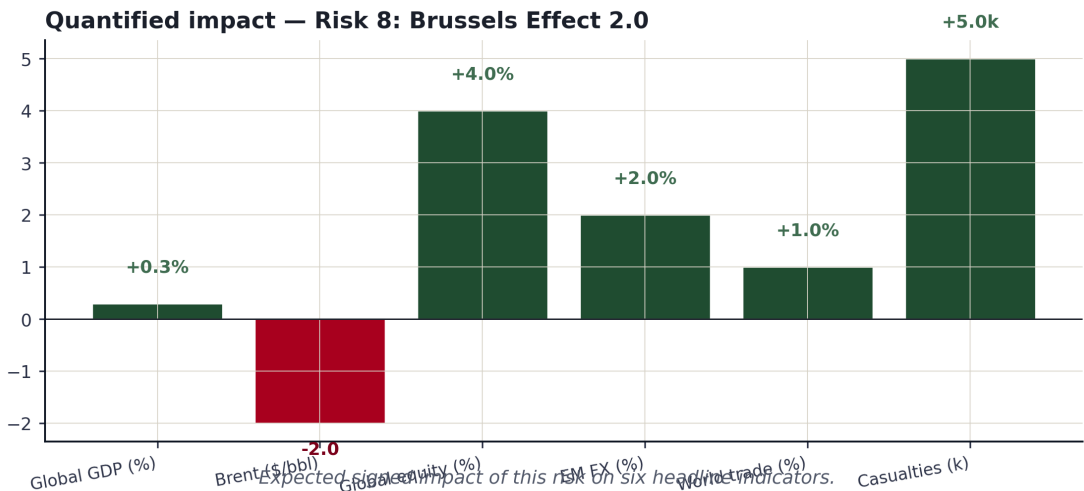
8

Brussels Effect 2.0

Probability 55.0%

ReArm Europe and CBAM crystallise EU strategic autonomy as a structural fact - but at unevenly distributed cost.

Europe enters the horizon with three operational delivery vehicles for the autonomy doctrine the Draghi report demanded. First, ReArm Europe / Readiness 2030: up to EUR800bn defence envelope, SAFE EUR150bn loan facility, NATO 3.5%-of-GDP path by 2029 with Germany's record EUR108bn 2026 budget as anchor. Second, the EUR90bn Ukraine joint-debt package (December 2025) with the reparations-loan track as fallback - a federal fiscal moment forced by external war. Third, the CBAM definitive regime live since 1 January 2026 at EUR75.36/tCO₂e, with certificate sales from February 2027. The friction is internal: Hungarian and Slovak veto exposure, Italian-French BTP-Bund spread sensitivity, the Pact on Migration & Asylum (in application 12 June 2026) carrying the political weight of the hard-right surge. The friction is external: a 25% US auto tariff threat by 4 July 2026, WTO retaliation risk from Beijing and Delhi on CBAM, and the Anti-Coercion Instrument as a still-untested weapon. The Brussels-effect bet is that regulation precedes capability - that AI Act, DMA, DSA, and CBAM enforcement create the demand signal for European industrial revival. Plausible, not free.



Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain

Causal chain — Risk 8: Brussels Effect 2.0



Trigger → mechanism cascade with lag.

Trigger → mechanism cascade with lag timing.

Second-order effects

- Defence-prime backlog growth (Rheinmetall, Saab, Leonardo, BAE, Dassault) accelerates
- Pharma and chemicals capex re-shores to EU on CBAM and supply-chain incentives
- AI Act GPAI first fines test enforcement credibility; OpenAI/Anthropic compliance regime tested
- EU-China relationship oscillates between CBAM/EV-tariff conflict and rare-earth cooperation

Historical analogue · Single Market 1992 / Maastricht 1992 integration acceleration (1992)

What rhymes: Externally-driven federalising moment; defence integration delayed but financial and regulatory integration accelerated; UK question (Brexit echoes); Franco-German axis carrying the project.

What differs: 1992 had a peace dividend; 2026 has a war dividend. The fiscal capacity question is sharper (no peace bonus); the migration question is more polarising; the strategic-autonomy claim is more credible than in 1992 because of US strategic withdrawal signals.

Lesson: Federalising moments under external pressure stick; the costs are unevenly distributed and the political backlash arrives 5-10 years later via populist movements. Plan for delivery slippage but directional persistence.

Counter-narrative — the strongest case against this risk

The bear case on Brussels Effect 2.0 is that delivery falls short of communique. NATO 3.5% target slips for half of members; CBAM enforcement is undermined by carve-outs and exemptions; the joint-debt instrument is a one-off rather than a federalising precedent; Pact on Migration fragments under member-state non-cooperation. Hard-right gains in France/Germany regionals slow the agenda; Italian fiscal stress periodically resurfaces; the ACI is never deployed because the cost-benefit calculus deters use. Under this counter-narrative the doctrine survives nominally but the institutional shift is shallower than 55% probability implies.

Observable signals to watch

Signal	Threshold	Source
US auto tariff escalation above 25%	By 4 July 2026	USTR
BTP-Bund spread	>350 bp sustained 10 days	Bloomberg
AI Act GPAI enforcement first fine	Any single fine	European Commission
NATO 3.5% delivery slippage	Any major member below path	NATO annual report

Business trigger: BTP-Bund spread >350 bp sustained 10d; trim peripheral EU sovereign and bank-cap exposure 20%, accelerate CBAM-compliance capex on imported-steel intensive inputs.

Lens panel reading

Mearsheimer. Internal balancing in operational form; Europe arming under US semi-withdrawal.

Vreeland. EU institutional model as alternative multilateral architecture - CBAM is the new conditionality.

Tianxia. Beijing reads CBAM as discriminatory; rare-earth retaliation toolkit refreshed.

Eurasianism. Russia reads strategic autonomy as confirmation of Western disintegration vs unipolarity.

Pan-African. AU principals split on CBAM - climate-justice critique on one hand, market access on the other.

S003

Unlikely

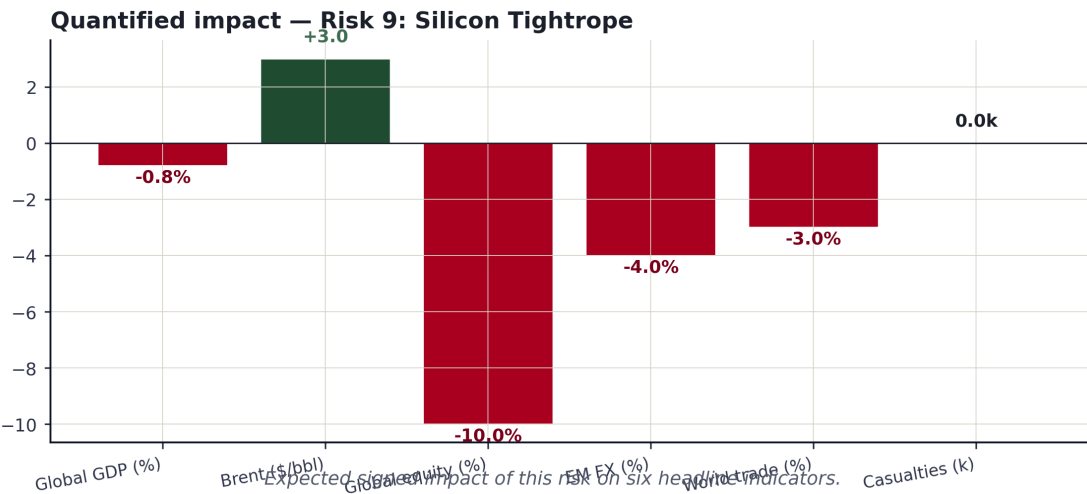
9

Silicon Tightrope

Probability 30.0%

TSMC concentration and HBM choke points keep AI compute on a single-point-of-failure architecture - one Taiwan incident from synchronous shock.

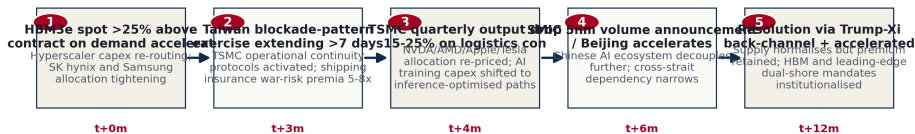
Taiwan still holds 92% of sub-5nm foundry revenue and TSMC 70.2% of all foundry; the Arizona Fab 21 Phase-2 tool-in begins only in 3Q26, and meaningful US-located leading-edge volume is HJ27 at earliest. HBM3e is on a 20% 2026 price hike with Samsung and SK hynix planning a 45/55 HBM3e/HBM4 mix; HBM is now 30% of DRAM value. SMIC posted record \$9.3bn 2025 sales with 7nm at scale and a 5nm pilot - imperfect, expensive, but not blocked. The export-control architecture has hardened: 205 PRC-linked Entity List additions in 2025; January 2026 BIS case-by-case H200/MI325X licensing at a 25% tariff; Dutch and Japanese controls aligned; MOFCOM 2025/61 extraterritorial-first-use on REE. Beijing's counter-leverage holds (medium/heavy REE controls retained post-Busan pause; 80% of refining; gallium / germanium / antimony). The structural risk is that managed competition keeps both sides one Taiwan-incident away from a synchronous AI-supply shock that no firm has stress-tested at scale. Plan for at least one quarter of compute-supply discontinuity inside the horizon as a not-improbable event.



Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain

Causal chain — Risk 9: Silicon Tightrope



Trigger → mechanism cascade with lag.

Trigger → mechanism cascade with lag timing.

Second-order effects

- Hyperscaler capex re-routing toward H100/B100 multi-quarter inventory builds
- Korean semis become AI-supply geopolitical asset; Korean-China relationship tightens
- EU and Japanese fab subsidies (Chips Act, JapanNet) ramp; ASML order book lifts
- Critical-mineral pricing (REE, gallium, germanium) re-prices on supply-shock pricing

Historical analogue · OPEC 1973 oil embargo and the subsequent re-architecture of energy security (1973)

What rhymes: Single supply concentration with strategic-asset character; coercive interruption with geopolitical motivation; downstream economies forced into accelerated diversification at high cost; permanent re-mapping of strategic-stockpile and reserve policy.

What differs: AI compute is more concentrated geographically than oil was (Taiwan/TSMC vs OPEC's 13 producers); substitution is slower (years for fab construction vs months for production response); the demand shock is asymmetric across users (AI labs vs general industry).

Lesson: Supply concentration with strategic character triggers permanent diversification at premium cost; the policy response is usually slower than the shock and the second crisis often validates the first response. Plan for HBM and sub-5nm as the new oil.

Counter-narrative — the strongest case against this risk

The bear case on Silicon Tightrope is that the system is more resilient than priced. TSMC operational continuity protocols are robust; Arizona Fab 21 ramps faster than scheduled; HBM3e supply expands on Samsung/SK hynix capex; SMIC 5nm doesn't reach volume inside the horizon. The Trump-Xi guardrails track delivers selective BIS licensing that prevents synchronous shock; allied dual-shore mandates institutionalise without acute disruption. Under this counter-narrative the 30% probability is roughly right because the disruption pathway requires both a Taiwan-event and a logistics-failure that compounds; the muddle-through pathway is the modal outcome.

Observable signals to watch

Signal	Threshold	Source
Taiwan blockade-pattern exercise duration	>7 days	Taiwan MND, PLA press
SMIC 5nm volume announcement	Before Q4-2026	SMIC earnings
BIS H200/MI325X licence approvals	>50 approvals	BIS public records
TSMC inventory build at Arizona	Any acceleration vs schedule	TSMC IR

Business trigger: HBM3e spot >25% above contract OR TSMC ADR -15% in 5d; activate dual-shore inventory plan, lock 12m HBM contracts at premium, and pre-clear secondary-fab qualification for non-Taiwan capacity.

Lens panel reading

Mearsheimer. Hegemonic-rivalry chokepoint - sub-5nm and HBM are the strategic-asset class of the AI era.

Vreeland. Indirect IMF/multilateral relevance via Asian dollar-funding stress in disruption scenarios.

Tianxia. Beijing's frame is restoration of legitimate sphere; export controls read as illegitimate Western pretension.

Eurasianism. Russia/Iran read positively as Western technological dependence; CRINK supply-chain pitches push.

Pan-African. Critical-mineral upstream (DRC cobalt, REE) gains geopolitical pricing power; AU principals capture some rent.

S005

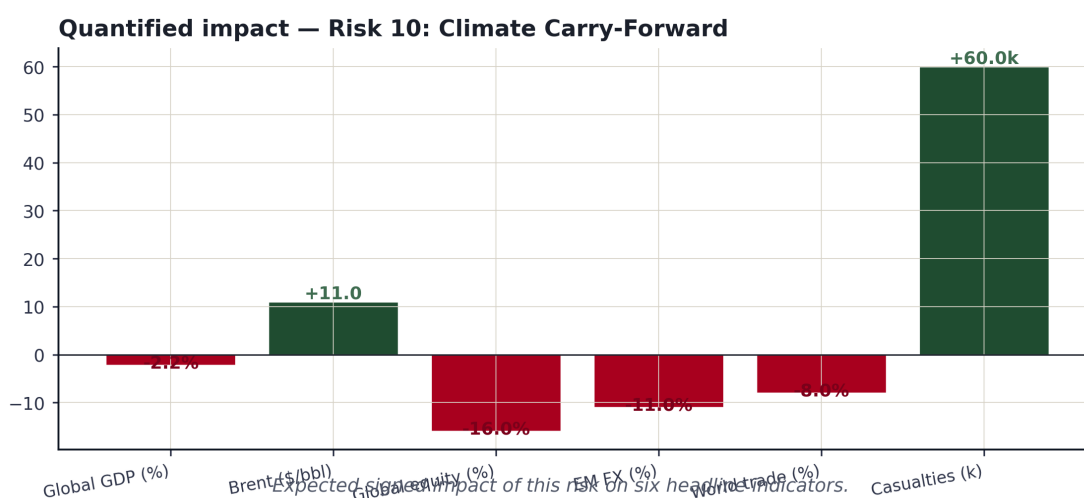
Unlikely

10 Climate Carry-Forward

Probability 40.0%

Climate-shock and migration compound flashpoints exposed by fragmented multilateralism - the cheapest insurance is the one nobody is buying.

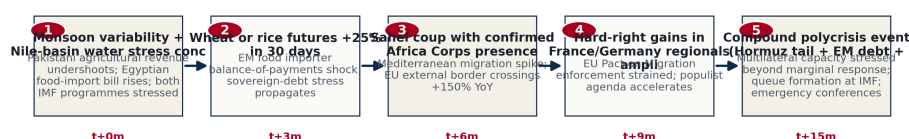
The climate-migration nexus is the under-priced strategic variable of the horizon. EU CBAM is operational; the COP loss-and-damage architecture is hollow; the Trump administration has formally exited multilateral climate-finance commitments; the Global South's BRICS-led climate-justice framing is hardening. Cascading channels are visible: Egypt USD 59.2bn reserves at 7.5 months imports masking an external-financing gap exposed by Nile-basin water stress; Pakistan's IMF programme contingent on agricultural revenue that 2025-2026 monsoon variability undercuts; Saudi-Iran water leverage compounding sectarian fault lines; Mediterranean migration flows weaponised via Belarus / Sahel routes by Russian Africa Corps. Iran's domestic water crisis in Khuzestan / Isfahan now competes with Hormuz brinkmanship for IRGC resource attention. The polycrisis lens (L60) is not analytical hedge - it is the operating environment. The cheap-insurance posture: build adaptation finance, climate-displacement contingencies, food-security stockpiles, water-cooperation back-channels before the next compound shock makes them dearer. The expensive posture is the default one: wait.



Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain

Causal chain — Risk 10: Climate Carry-Forward



Trigger → mechanism cascade with lag.

Trigger → mechanism cascade with lag timing.

Second-order effects

- Re-insurance climate-displacement reserving accelerates; premia step-change
- Food-security stockpile policy adopted by EM importer governments; commodity stockpiling premium
- Water-cooperation back-channels gain priority in Saudi-Iran and Nile-basin diplomacy
- Refugee-financing instruments at multilateral level reform under stress

Historical analogue · 1973-74 Sahel drought and the subsequent food-security re-architecture (1973)

What rhymes: Climate-shock compounding with energy and food crises; multilateral institutional response lagging; political destabilisation in vulnerable states; long-term re-architecture of food-aid and disaster-response frameworks.

What differs: Today's climate shock is structural and recurring, not episodic; the migration channel is geographically broader and politically more weaponised; the multilateral institutional capacity is fragmented under great-power competition.

Lesson: Climate-driven instability is most likely to manifest via compound channels (food, water, migration) rather than direct climate-shock pathways. Plan for the compound, not the single event. Re-insurance and food-security stockpile policy are cheap insurance.

Counter-narrative — the strongest case against this risk

The bear case on Climate Carry-Forward is that the compound channels don't simultaneously trip. Monsoon variability is within recent ranges; Nile-basin tensions remain diplomatic not operational; Sahel security degrades but not catastrophically; Mediterranean migration stays at elevated baseline rather than +150% YoY. EU Pact on Migration application proceeds with friction but without crisis. The multilateral system continues to respond marginally and inadequately but stability holds in the M-horizon. Under this counter-narrative the 40% probability captures the moderately-disruptive realisation; the catastrophic compound is a tail of a tail.

Observable signals to watch

Signal	Threshold	Source
Any Sahel state coup with confirmed Africa Corps presence within 30 days	Single confirmed event	OSINT, AU
>2 simultaneous EM agricultural-import-bill crises	EGY, PAK, TUN concurrent	FAO, IMF Article IV
Migration spike >150% YoY at any EU external border	Single calendar quarter	Frontex
Water-stress index in Khuzestan / Isfahan / Nile basin	Top decile sustained	WMO, FAO

Business trigger: Wheat or rice futures +25% in 30d OR any EU external-border crossing >150% YoY; trigger food-security stockpile contingency, accelerate climate-displacement reserving in re-insurance books.

Lens panel reading

Mearsheimer. Climate as background-stressor on great-power competition; not central but compounds friction at every margin.

Vreeland. IMF conditionality interacts with climate-vulnerability; food-importer EMs are the canonical Vreeland case.

Tianxia. Beijing positions Belt and Road climate-finance and South-South cooperation as alternative architecture.

Eurasianism. Russia weaponises migration flows via Belarus and Sahel; climate-induced flows are an instrument of pressure.

Pan-African. AU climate-justice framing intensifies; demands for loss-and-damage financing become structural.

04

Tail Risks — Snow Leopards & Wild Cards

Less likely but high-impact scenarios. Each priced with a probability band, magnitude, early-warning indicators, an if-it-materialises cascade, and a historical parallel.

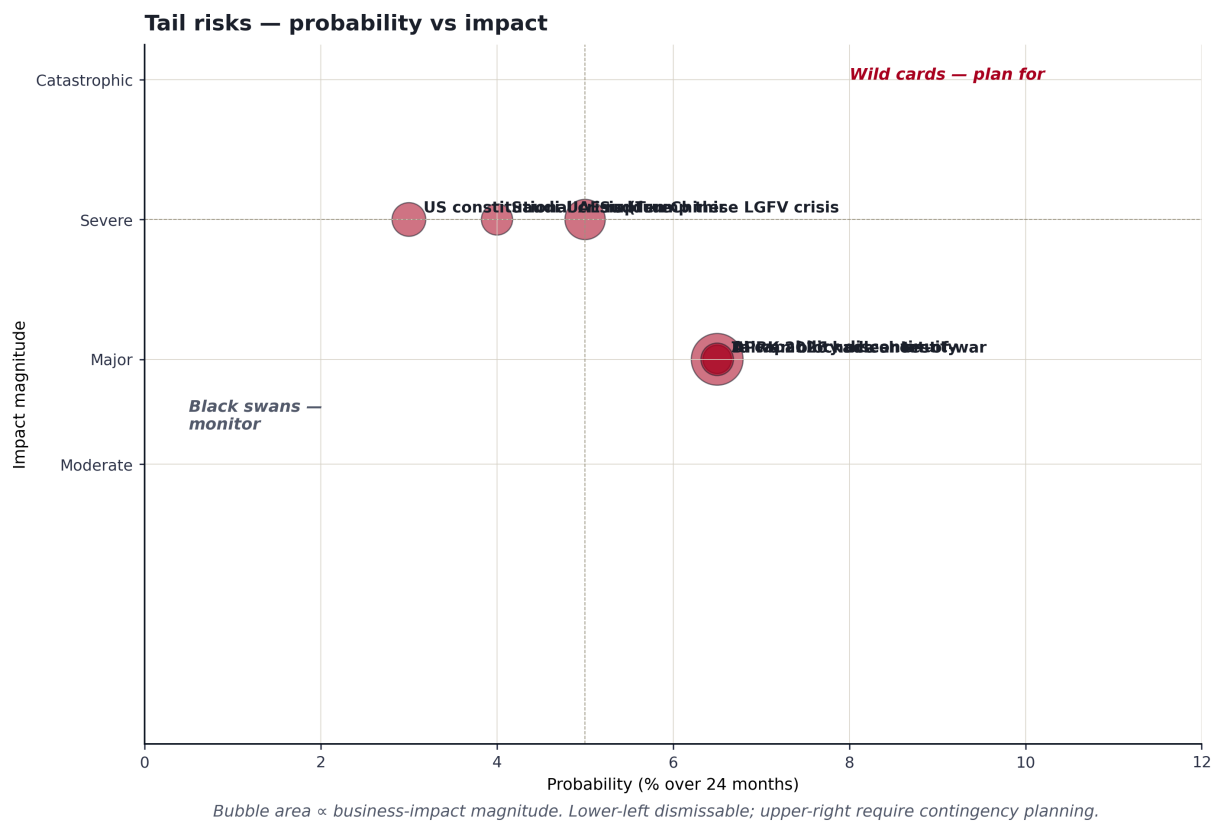


Exhibit 4.0 — Tail-risk panel: probability vs impact-magnitude. Bubble area $\propto$ business impact.

Source: GIPRE synthesis (v4).

Saudi-UAE rupture

WILD CARD

Pr 3-5%

SEVERE

The GCC's strategic coherence has been an underwriting assumption of regional risk pricing for two decades. Riyadh-Abu Dhabi friction is real - Yemen exit choreography (UAE earlier withdrawal), competing economic visions (Saudi Vision 2030 vs UAE diversification), OPEC+ quota disputes, and divergent posture on Israel normalisation and Iran rapprochement. A rupture - defined as Abu Dhabi public withdrawal from a key GCC mechanism or a Riyadh-imposed economic measure against UAE entities - would shock Gulf risk pricing, fracture OPEC+ discipline, complicate the Saudi-Pakistan pact's regional architecture, and create an opening for Iranian-Qatari-Omani re-alignment. The trigger could be a high-profile Yemen-related miscalculation, an economic-vision conflict over technology hubs (NEOM vs Masdar/Hub71), or a personality-driven MBS-MBZ falling out. The cumulative probability is low but the ma

Early-warning indicators

- Public absence of MBS or MBZ from scheduled GCC summits
- OPEC+ ministerial meeting walkout

- Targeted economic measure between Saudi-UAE entities
- Yemen unilateral action by either party

If it materialises — 30/90/180-day cascade

If Saudi-UAE rupture crystallises, OPEC+ discipline fractures within 90 days as quota enforcement collapses; Brent gaps 8-12 USD/bbl lower on the immediate supply discipline failure but war-risk premia re-rate as Gulf strategic uncertainty rises. Iran reads the rupture as a strategic-opportunity moment and accelerates Houthi armaments and Iraqi militia operations; the Saudi-Pakistan pact becomes more salient as Riyadh's hedging cost rises. Qatar-Oman-Iran triangular axis develops further; Egypt and Jordan re-position toward Riyadh as the GCC's anchor. The UAE pivots toward deeper India and Israel partnerships, accelerating I2U2 architecture. GCC sovereign-credit spreads widen 100-200 bp; Aramco beta re-rates against ADNOC; petrochemical JV structures across GCC are stress-tested for counterparty risk. The crisis is most likely contained within 6-12 months by US mediation but the strategic architecture is permanently re-mapped.

Historical parallel: 1990 GCC-Iraq breakdown that preceded Iraqi Kuwait invasion - intra-bloc rupture preceding broader instability. Closer: 2017-21 Qatar blockade by Saudi-UAE-Bahrain-Egypt, which fractured intra-GCC trust and forced Doha to deepen Iran and Tu

Quantified impact: gdp_global_pct: -0.4, oil_usd_bbl_delta: -8, equity_global_pct: -3, fx_em_pct: -2

Sudden Chinese LGFV crisis

WILD CARD

Pr 4-6%

SEVERE

Local Government Financing Vehicle (LGFV) debt in China is the largest unsolved overhang in the Chinese financial system: aggregate disclosed plus implicit LGFV liabilities are estimated at RMB 65-95tn (USD 9-13tn) depending on definition. PBOC and MOF have managed the problem through extension and refinancing, but a tail event - a major province default, a banking-system asset-quality shock, or a deliberate policy choice to discipline a high-profile borrower - could trigger a Lehman-like confidence event in Chinese onshore credit markets. The transmission channels are multiple: AAA-rated state-owned bank asset quality, property-developer cross-holdings, and offshore USD bond markets in CNH. A sudden LGFV crisis would force PBOC to deploy balance sheet at scale; CNY depreciation pressure intensifies; the Trump-Xi guardrails track is stressed as China internalises; global commodity demand

Early-warning indicators

- Provincial LGFV bond default on senior debt
- PBOC emergency liquidity facility activation
- CNY breach of 7.5 vs USD sustained
- Chinese bank inter-bank repo rate spike

If it materialises — 30/90/180-day cascade

If a sudden LGFV crisis crystallises, PBOC activates emergency liquidity facilities within 30 days at RMB 2-4tn scale; CNY depreciates toward 7.6-7.8 vs USD; capital controls tighten further. Chinese banking-system NPLs spike but are absorbed through state-directed recapitalisation; the Chinese property-developer overhang receives forced consolidation. Global commodity prices soften 5-10% on demand expectations; Australian, Brazilian, Chilean exporters re-priced. The Trump-Xi guardrails track is stressed but does not break; Beijing internalises through the crisis. Offshore CNH bond market dislocates; cross-border credit lines tighten. Chinese AI capex and semiconductor self-sufficiency programmes get state-directed protection; broader corporate capex slows. The crisis would likely be contained within 12-18 months but the longer-term effects on Chinese growth model and external posture would be material.

Historical parallel: Japan 1990-91 banking crisis - large-scale undisclosed bad debt in a major economy with state-controlled banking, ultimately requiring decade-plus workout. Closer: 2015-16 Chinese stock-market and CNY shocks, which forced state intervention

Quantified impact: gdp_global_pct: -1.2, oil_usd_bbl_delta: -8, equity_global_pct: -10, fx_em_pct: -7

DPRK 2026 nuclear test

WILD CARD

Pr 5-8%

HIGH

Pyongyang has not conducted a nuclear test since September 2017. Punggye-ri tunnel preparations have been at readiness state for multiple cycles. The strategic calculus for a 2026 test would include: (i) demonstration to Trump administration of intransigence; (ii) signalling to ROK conservative government a credibility deficit; (iii) coordination with Russian and Chinese strategic signals during their own tightening periods; (iv) verification of tactical-nuclear miniaturisation. A seventh test would trigger fresh UNSC consultation (likely vetoed by Russia/China), ROK conservative pressure for indigenous deterrent discussion, and Japanese acceleration of strike-back capability. The cumulative probability is moderate-low because Kim has strategic interest in maintaining ambiguity, but the magnitude is high enough that any indicators of Punggye-ri activation demand attention.

Early-warning indicators

- Punggye-ri Tunnel 3/4 activity confirmed by OSINT imagery
- DPRK strategic-rocket-force exercise tempo step-change
- Senior DPRK delegation to Moscow/Beijing
- ROK conservative public discussion of indigenous deterrent

If it materialises — 30/90/180-day cascade

If DPRK conducts a seventh test, UNSC convenes within 72 hours but consensus is blocked by Russia/China; US-ROK-Japan trilateral statement issued; sanctions tools deployed within capacity limits. ROK conservative pressure for indigenous deterrent discussion intensifies but does not crystallise inside the M-horizon. Japan accelerates Tomahawk integration and counter-strike capability; defence budget upticks ratify. China is publicly displeased but tactically tolerant; Russia is supportive in signaling but cautious in operational terms. ROK won and Japanese yen experience mild risk-off; KOSPI -3% to -6% on initial print. The Indo-Pacific deterrence architecture re-anchors; US extended deterrence credibility tested but reaffirmed through visible posture changes (B-52 deployments, SSBN port visits). The strategic effect is to crystallise the trilateral US-ROK-Japan integration and to put pressure on the Chinese hedging posture on DPRK.

Historical parallel: September 2017 sixth DPRK nuclear test - a Hwasong-15-coupled signalling event that triggered the Trump 'fire and fury' cycle and the eventual Singapore summit choreography.

Quantified impact: gdp_global_pct: -0.2, oil_usd_bbl_delta: 2, equity_global_pct: -4, fx_em_pct: -3

Taiwan blockade short-of-war

HIGH-IMPACT
TAIL

Pr 5-8%

EXTREME

Distinct from the central Strait Thunder Creep risk (rank 3), a formal short-of-war blockade represents a step-change. The PLA Coast Guard formally declares a maritime quarantine inspection regime; PLA Navy conducts non-kinetic blockade with stand-off enforcement; Taiwan port turnaround degrades to operational unsustainability within 14-30 days. The trigger is most likely a Lai administration referendum signal, a US-Taiwan defence-sales tranche perceived as treaty-equivalent, or a deliberate Beijing testing of US response thresholds inside the 2027 readiness window. The cumulative probability is moderate because Beijing has incentives short of breakout, but a deliberate test of US escalation thresholds is consistent with managed-rivalry doctrine. The magnitude is extreme because TSMC operational continuity becomes a sovereign-credit-equivalent risk; global AI compute supply faces 60-90 d

Early-warning indicators

- PLA Coast Guard maritime quarantine declaration
- PLA Navy carrier-strike-group sustained operations >7 days east of Taiwan
- TSMC operational continuity protocol activation
- US carrier-strike-group movement to Western Pacific

If it materialises — 30/90/180-day cascade

If a formal short-of-war blockade is declared, TSMC activates operational continuity protocols within 24 hours; foundry output drops 20-40% over 30 days as logistics constrain. Global AI compute supply chains experience 60-90 day discontinuity; hyperscaler capex re-prioritised; AI training schedules slip 1-2 quarters. US response is graduated - carrier-strike-group repositioning, allied stand-in force activation, possible naval escort of select Taiwan-bound shipping. The Trump-Xi back-channel is activated within days; the choreography of climbdown becomes the central strategic question. TAIEX -15% to -25% in single session; broader Asian equities -8% to -12%; HBM3e spot prices spike 40-60% above contract. Resolution path is either (i) Beijing climbdown after symbolic objectives met, or (ii) escalation into kinetic confrontation. The 60-90 day discontinuity to global AI compute represents a structural shock that no firm has fully stress-tested.

Historical parallel: Cuban Missile Crisis 1962 - though more apt is the Berlin Blockade 1948-49 (coercive denial-of-access scenario). For semiconductor-specific parallel: the 2011 Tohoku earthquake disruption to global semiconductor supply chains, magnified 5-1

Quantified impact: gdp_global_pct: -2.5, oil_usd_bbl_delta: 12, equity_global_pct: -20, fx_em_pct: -10

US constitutional crisis (Trump third-term)

WILD CARD

Pr 2-4%

SEVERE

Trump administration figures have publicly mused about constitutional pathways to a third term, including the 22nd Amendment workaround via Vance presidential candidacy followed by resignation. The cumulative probability is low because the 22nd Amendment is clear and Supreme Court rejection is near-certain, but the political-discourse contamination and the institutional stress of the attempt are themselves consequential. A formal Trump third-term effort would trigger US institutional-trust shock, fracture the Republican coalition, accelerate Democratic legal mobilisation, and create a perception of regime instability that would feed into Powell's Ghost dollar-confidence dynamics. The magnitude is severe because US institutional credibility is the underwriting assumption for dollar reserve status and Treasury safe-haven pricing.

Early-warning indicators

- Formal RNC discussion of 2028 ticket structures
- Supreme Court 22nd Amendment case docketing
- Trump public commitment beyond rhetorical 'mused' standard
- Republican congressional resolution

If it materialises — 30/90/180-day cascade

If a formal Trump third-term agitation crystallises, US institutional-trust signals deteriorate; DXY drops 3-5% on confidence wobble; 10y UST term premium widens 20-40 bp on perceived institutional instability. The Republican coalition fractures along constitutional-traditionalist vs Trump-loyalist lines; key Senate figures (Cornyn, Thune-equivalent leadership) speak against; Supreme Court likely rejects within 6-9 months. Democratic mobilisation intensifies; 2028 cycle politics dominates 2027 governance. The institutional-stress effect is to validate de-dollarisation hedges and to accelerate reserve diversification at the margin. Even if the third-term effort fails, the strategic-trust damage to US institutions in the eyes of allies and adversaries is durable. The constitutional system holds but the perception of resilience is degraded.

Historical parallel: FDR third-term effort 1940 - which was constitutional but politically controversial. For institutional-stress parallel: post-2020 election denial cycle and January 6 events.

Quantified impact: gdp_global_pct: -0.6, oil_usd_bbl_delta: 2, equity_global_pct: -7, fx_em_pct: -5

AI capability discontinuity

WILD CARD

Pr 5-8%

HIGH

The pace of AI capability progress has been steady-to-accelerating since GPT-4. A capability discontinuity event - defined as either a sudden capability jump that destabilises an industry (radiology, code, knowledge work at scale) or a deployed AI system failure that triggers regulatory backlash - would re-architect technology, employment, and national-security risk pricing. The discontinuity could come from frontier model

releases (GPT-6 / Claude-Opus-5 class capability), from agentic deployment at scale that surfaces failure modes, or from a high-profile AI-driven security event. The cumulative probability is moderate because AI progress has structural momentum, but the timing and magnitude of any single event is highly uncertain. The strategic implication is that AI is no longer a peripheral risk variable - it is approaching central status in employment, defence, and economic-architec

Early-warning indicators

- Frontier model capability benchmark step-change
- Agentic AI deployment failure incident with public impact
- AI Act GPAI enforcement first major fine
- Major Chinese frontier model release closing capability gap

If it materialises — 30/90/180-day cascade

If an AI capability discontinuity crystallises, knowledge-worker labour markets receive demand shock; affected sectors (legal, consulting, customer service, software development) experience 10-30% productivity-driven pricing pressure within 6-12 months. AI infrastructure capex accelerates further; HBM3e and sub-5nm allocation tightens. National security implications surface as autonomous-system applications proliferate; export-control architecture is tested. Regulatory response either accelerates (EU AI Act enforcement, US executive orders) or fragments (state-level patchwork). The strategic effect is to make AI compute supply (Silicon Tightrope, rank 9) more central; to elevate the importance of Chinese AI development as a national-security variable; and to accelerate workforce-transition policy discussions. The discontinuity is most likely incremental but a small fraction of paths involve genuinely discontinuous capability events.

Historical parallel: 1995-2001 internet/dotcom productivity wave compressed into 18 months. For policy-shock parallel: 1973-74 OPEC supply-side discontinuity forcing accelerated diversification.

Quantified impact: gdp_global_pct: 0.5, oil_usd_bbl_delta: -3, equity_global_pct: 5, fx_em_pct: -2

05

Master Scenario Library

100 scenarios partitioning the outcome space across stress × GP archetype × flashpoint set.

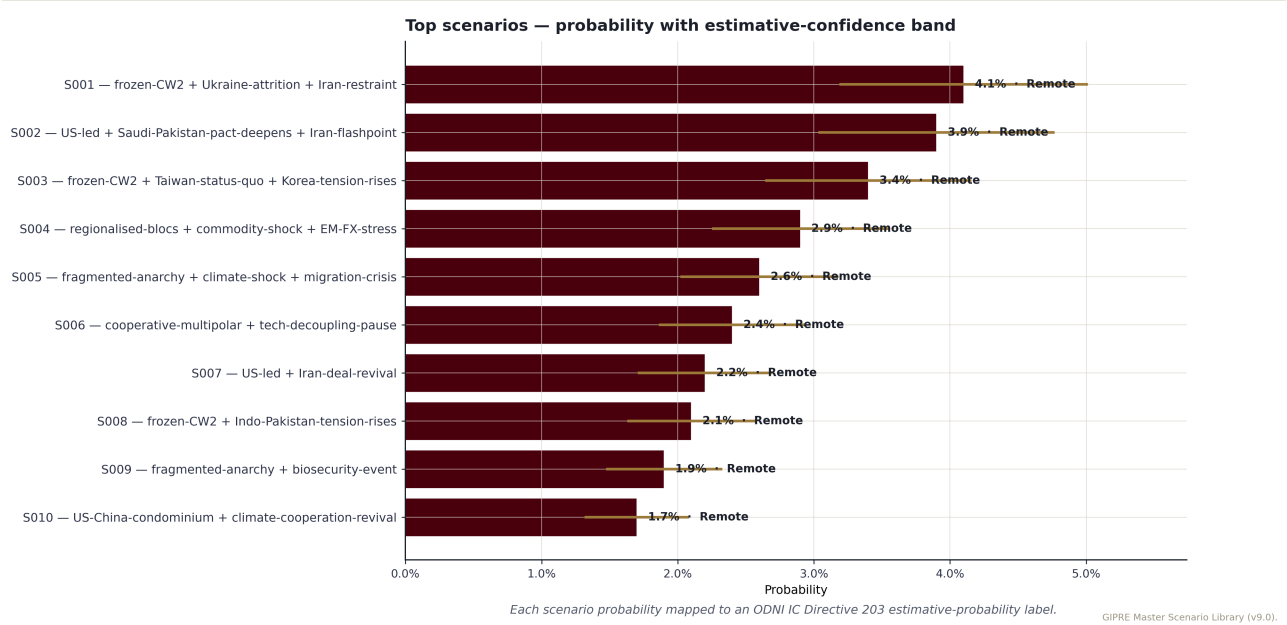


Exhibit 5.1 — Top-10 master scenarios — probability with estimative-confidence band.

Source: GIPRE master library; conformal CI per Vovk-Gammerman-Shafer 2005.

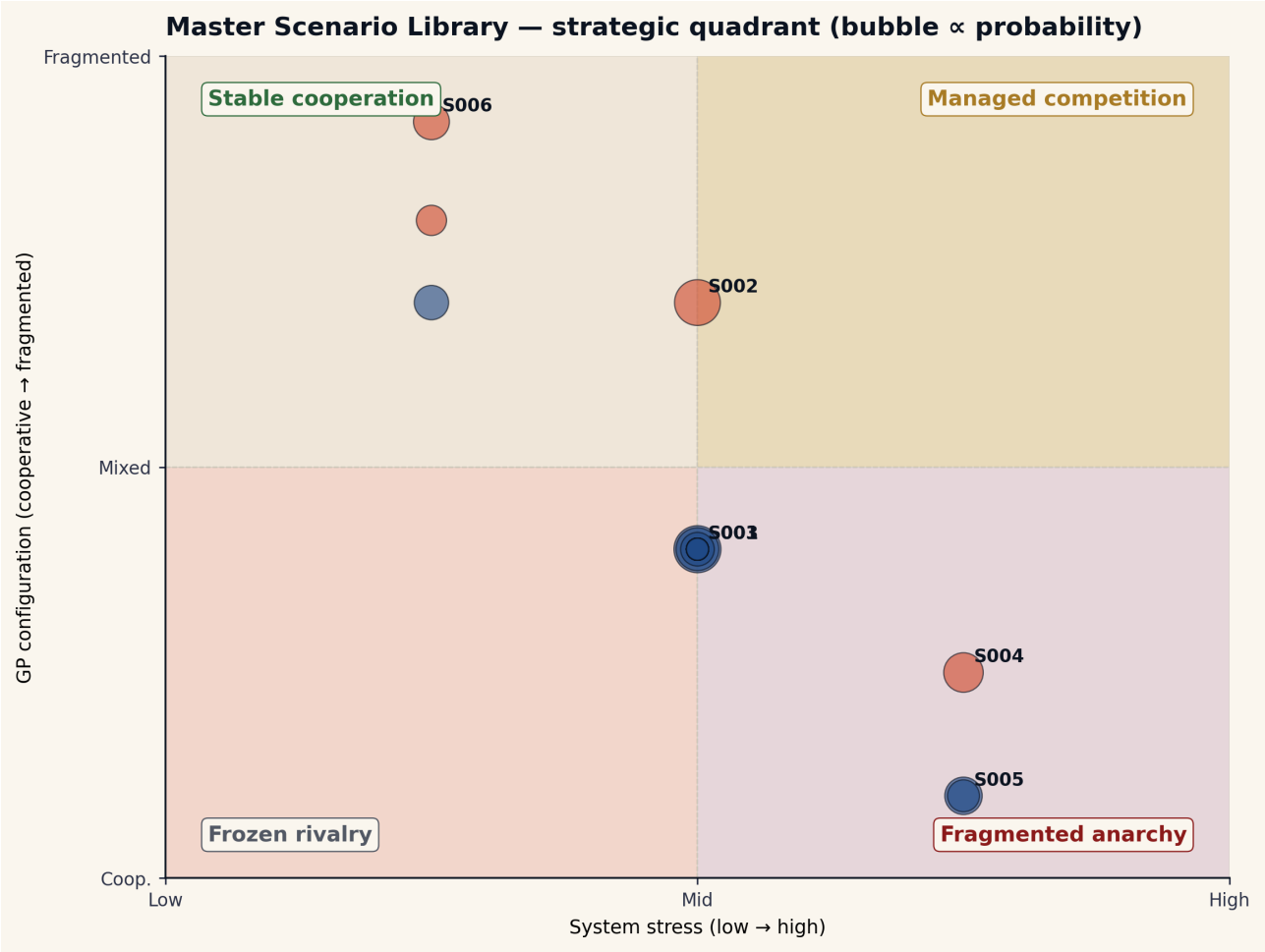


Exhibit 5.2 — Strategic 2×2 quadrant. Bubble area $\propto$ probability.

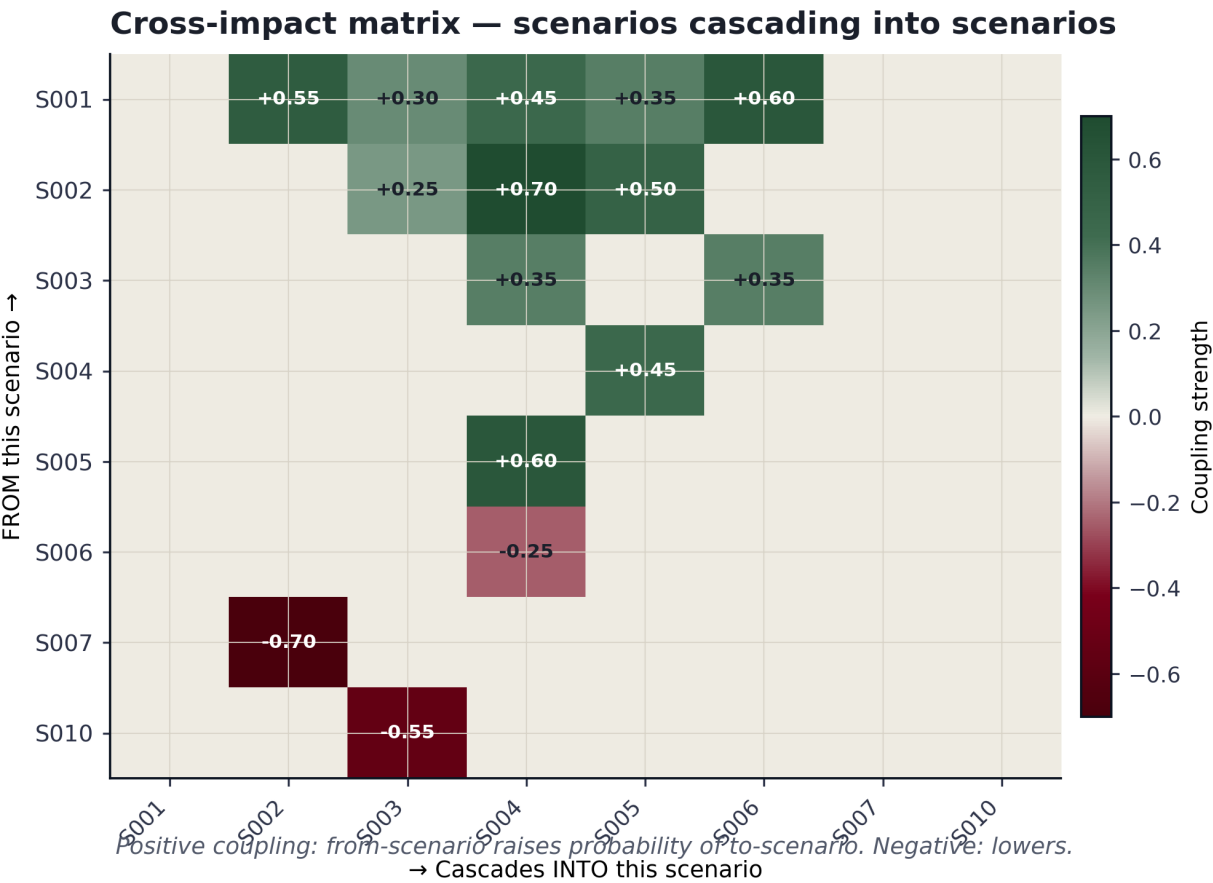


Exhibit 5.3 — Cross-impact matrix. Positive coupling = from-scenario raises probability of to-scenario.

Source: GIPRE synthesis cross-impact estimates.

06

Bayesian Updates

Explicit prior-to-posterior probability shifts for the brief's load-bearing hypotheses.

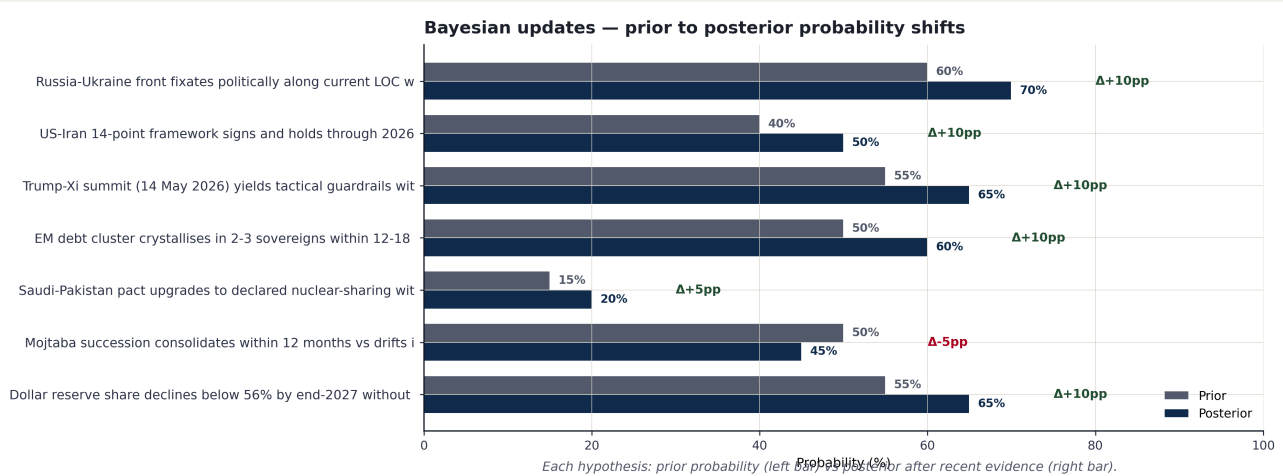


Exhibit 6.1 — Each hypothesis: prior probability vs posterior after recent evidence.

Source: GIPRE synthesis Bayesian updates.

07

Actor Posture

Coalition geometry and Geostrategic Map (foreign-policy autonomy × economic sovereignty).

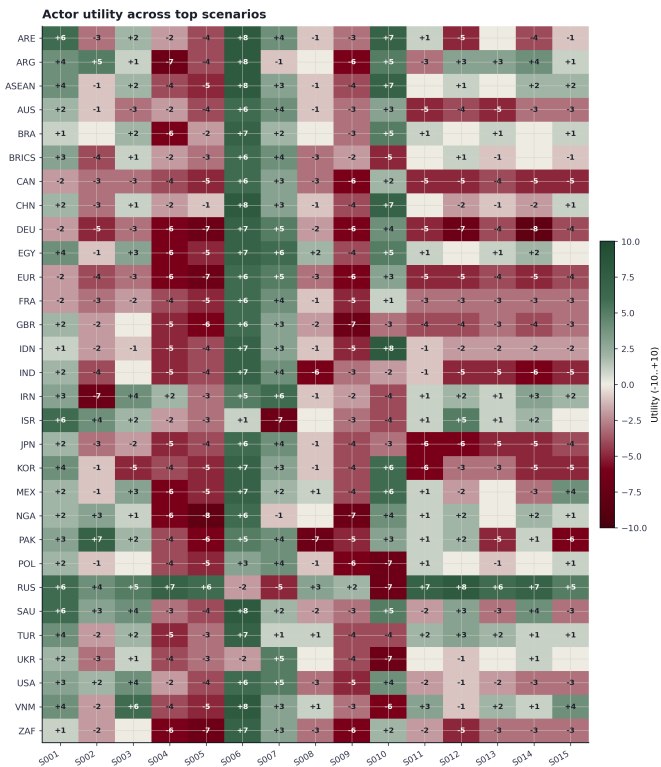


Exhibit 7.1 — Actor utility heatmap (-10 worst, +10 best) under top-15 scenarios.

Source: GIPRE 30 actor agents.

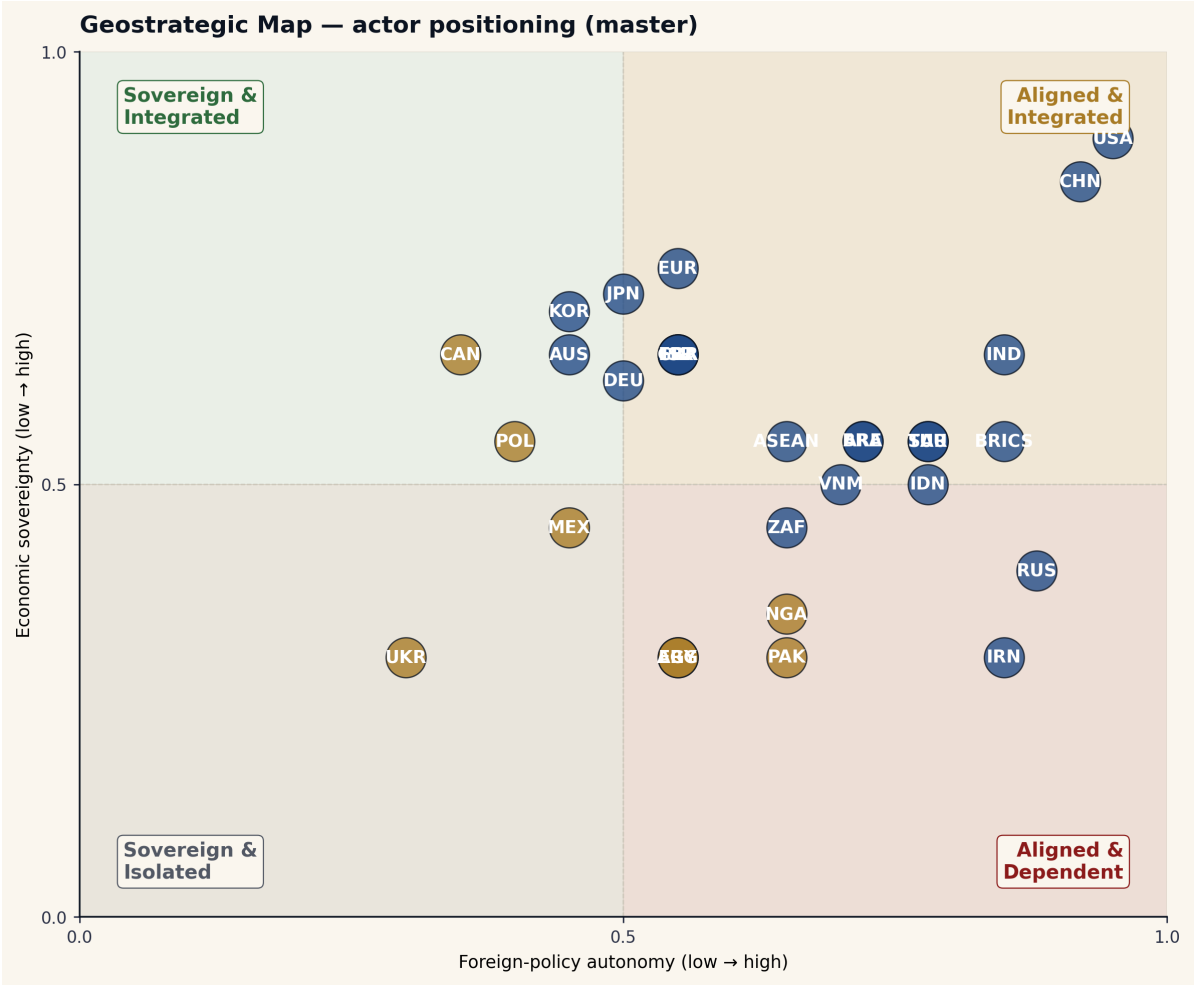


Exhibit 7.2 — Geostrategic Map. Foreign-policy autonomy × economic sovereignty.

08

Country / Actor Deep Dives

One-page profile per regional actor.

ARE

United Arab Emirates

Capital Abu Dhabi
Pop 10M (2025)
GDP \$0.55T (2025)
Mil-spend 5.3% GDP

The dominant uncertainty is whether the May 2026 Iran-war ceasefire holds or collapses into a sustained Hormuz-closure regime — this single bifurcation swings UAE utility by roughly 12 points across scenarios. Secondary uncertainty is the durability of the US AI-chip license regime under any future US administration shift or G42 China-ties revelation, which could vaporize the Tier-1 trusted-node thesis. Tertiary uncertainty is the speed of Saudi hub-substitution: if Riyadh sustains its RHQ/aviation/port momentum through 2027, UAE intermediation rents structurally erode regardless of the Iran o

Core interests

1. Survival of UAE sovereign territory and critical infrastructure (Fujairah refineries, Jebel Ali, ADNOC upstream, Barakah nuclear) against Iranian missile/drone retaliation and Houthi spillover — the 2026 Fujairah strike (19 missiles/drones intercepted, refinery hit) is the binding constraint over horizon M [source: Al Jazeera 2026-05-04 <https://www.aljazeera.com/news/2026/5/5/us-iran-uae-trade-hormuz-attack-claims-what-we-know>]
2. Lock in Tier-1 'trusted node' status in the US AI export-control architecture (G42-Microsoft \$15.2B pipeline, Stargate UAE 1GW, US-UAE AI Campus 5GW), making the UAE non-substitutable for Saudi/Humain in compute allocation [source: Microsoft On the Issues 2025-11-03 <https://blogs.microsoft.com/on-the-issues/2025/11/03/microsoft-s-15-2-billion-usd-investment-in-the-uae/>]
3. Reopen and police the Strait of Hormuz under US security umbrella while diversifying via Habshan-Fujairah pipeline (1.5–1.8 mbpd bypass capacity) — every day of closure costs UAE crude exports and ADNOC/XRG cash flow [source: CNBC 2026-05-07 <https://www.cnbc.com/2026/05/07/iran-war-hormuz-strait-ceasefire-trump.html>]
4. Preserve XRG's ~\$151B enterprise-value trajectory and ADNOC's \$150B upstream/international plan, including OMV polyolefins champion (\$60B+) and Borouge consolidation — sovereign wealth as offensive realism instrument [source: World Oil 2025-11-24 <https://worldoil.com/news/2025/11/24/adnoc-reaffirms-150-billion-plan-to-boost-upstream-capacity-international-expansion/>]
5. Defend Dubai/Jebel Ali entrepot dominance against Saudi Jeddah (4M TEU expansion), Saudi RHQ mandate, Riyadh Air (\$30B) and NEOM — the Saudi hub-substitution play is the existential commercial threat [source: Tendify 2025-12-30 <https://tendify.net/2025/12/30/saudi-vs-uae-the-2026-economic-tug-of-war-and-its-impact-on-gcc-trade/>]

Key drivers

- Iran-war kinetic envelope: post-Feb-2026 Operation Epic Fury, the assassination of Supreme Leader Khamenei, the Hormuz blockade, and the Fujairah strike on UAE have made Iranian retaliation the dominant short-to-medium-term risk vector [source: Britannica 2026 <https://www.britannica.com/event/2026-Iran-war>]
- US AI export-control regime as a trust-tiering system: UAE has been designated a Tier-1 'trusted' node via the G42-Microsoft pipeline and Stargate UAE — this is the single most valuable strategic asset acquired in the horizon and dwarfs other diplomatic plays [source: TechCrunch 2025-11-03 <https://techcrunch.com/2025/11/03/microsofts-15-2b-uae-investment-turns-gulf-state-into-test-case-for-us-ai-diplomacy/>]
- Saudi hub-substitution strategy: Riyadh's RHQ mandate, NEOM, Jeddah port doubling, Riyadh Air, and Humain AI play are now a coordinated assault on UAE's intermediation rents — Krugman geo-economics: agglomeration advantages are contestable when the rival has comparable fiscal firepower [source: INSS 2026 <https://www.inss.org.il/publication/saudi-arabia-uae-2026/>]

Redlines

- Any further Iranian kinetic strike on Emirati territory beyond the May 2026 Fujairah barrage — second strike on Abu Dhabi, Jebel Ali, Barakah, or DXB triggers full UAE entry into kinetic coalition with US/Israel [source: CNN 2026-05-04 <https://www.cnn.com/2026/05/04/world/live-news/iran-war-hormuz-trump>]
- Houthi or IRGC mining/closure of the Strait of Hormuz for >14 days that pipeline bypass cannot offset — forces UAE to back US convoy operations and accept war-risk premia on shipping [source: NPR 2026-05-04 <https://www.npr.org/2026/05/04/nx-s1-5810508/iran-war-updates>]
- US revocation or downgrading of G42/Microsoft AI-chip export license (Group D:5 contamination finding) — destroys the sovereign-AI thesis and forces a hard China-tilt [source: Semafor 2025-11-10 <https://www.semafor.com/article/11/10/2025/microsofts-uae-ai-chip-approval-a-first-step-for-emirati-access-executive>]
- Formal Saudi-Pakistan mutual defense pact (S002 vector) explicitly extending nuclear umbrella while excluding UAE — strategic encirclement by a Sunni-nuclear bloc
- ICJ or US Treasury secondary-sanctions action against UAE entities for Sudan RSF arming — would force a costly Sudan exit and damage sovereign-wealth reputational capital [source: Foreign Policy 2025-10-16 <https://foreignpolicy.com/2025/10/16/uae-sudan-rsf-war-weapons/>]

• Sovereign-wealth as offensive instrument: ADIA, Mubadala (\$385B, +17% YoY), ADQ (\$263B rolling into L'IMAD), XRG (\$151B EV) — combined ~\$1.7T+ provides outsized capability projection consistent with small-state offensive realism [source: Bloomberg 2025 <https://www.bloomberg.com/graphics/2025-abu-dhabi-investment-funds/>]

Near-term observable signals

Signal	Threshold
Number of Iranian missile/drone events successfully intercepted vs. impacting Emirati te	>=1 impact event on Abu Dhabi/Dubai/Jebel Ali
Strait of Hormuz transit volumes (Lloyd's List / Kpler)	Sustained <50% of 2024 baseline tanker throug
BIS export-license shipments of advanced AI accelerators to G42/Microsoft UAE facility	Quarterly delivery <80% of approved 35,000-GB
Multinational RHQ relocations: net flow Dubai/Abu Dhabi vs. Riyadh	If Riyadh net additions exceed UAE by >100 RH
XRG enterprise value and IPO milestone progress (CEO appointment, asset transfer complet	EV plateau below \$160B or CEO vacancy >6 mont
Mubadala/ADIA quarterly AI and data-center deployment (\$USD)	Mubadala AI-stack deployment dropping below \$3B/

ARG

Argentine Republic

Capital Buenos Aires

Pop 46M (2025)

GDP \$0.65T (2025)

Mil-spend 0.6% GDP

The dominant uncertainty is whether BCRA can rebuild net reserves fast enough to absorb 2026 USD debt service (>US\$10.75B H1 alone) without a discrete devaluation or recourse to capital controls — Reinhart-Rogoff debt-intolerance suggests the market will price any reserve shortfall harshly given Argentina's default history. A second-order uncertainty is the durability of the Trump-Bessent backstop: the \$20B swap was repaid (Jan 2026) but a private-sector follow-on facility remains unsigned, and US pressure to break the PBoC RMB swap could force a costly geopolitical choice. Third, RIGI's window

Core interests

1. Preserve the IMF Extended Fund Facility (EFF) program and unlock the remaining ~\$5B of the \$20B EFF — second review approved April 2026 unlocked ~\$1B; the program defines the fiscal/monetary anchor through 2029 [source: IMF Country Report 25/95 + PR25272; MercoPress 2026-04-15]

2. Defend disinflation gains and the new exchange-rate band regime (inflation 32.6% YoY March 2026, monthly 3.4%; ARS depreciated 41.3% in 2025; consensus end-2026 ≈28%) — political survival of the Milei project depends on continued disinflation [source: tradingeconomics.com 2026-04; PIIE 2026; Funds Society 2026]

3. Accumulate net international reserves toward BCRA target of ~\$10B reserve purchases by end-2026 (net reserves only ~+\$1.5B at end-2025; >\$10.75B gross FX maturities in H1 2026 alone) — without this, the program and exchange-rate regime are fragile

4. Lock in RIGI investment pipeline (US\$33.9B submitted, US\$15.7B approved as of mid-2026; window closes 8 July 2026, extendable to 2027) — anchors 30-year regulatory stability for mining/energy [source: Panorama Minero; Pampa Investment Advisory 2026]

5. Maximize Vaca Muerta dollar-generation (oil 447k bpd March 2025, +26% YoY; gas 2.1 Bcf/d Q1 2025; 2026 projected energy surplus >US\$14B) and accelerate LNG export approvals (Southern Energy first cargo late 2027; \$20B project final decision mid-2026)

Redlines

- IMF Executive Board failure to approve a scheduled EFF review and waiver on the Net International Reserves performance criterion (first such waiver already used July 2025) — triggers emergency capital controls and politically reopens dollarization debate

- Gross reserves fall below the level required to cover Jan/July 2026 USD bond coupons + amortizations (~\$4.3B due January 2026 alone) — would force a re-profiling/'reperfilamiento' announcement

- Monthly CPI breaches 5% for two consecutive months, signaling the band regime is broken and feeding a peso run — would force discrete devaluation and unwind of disinflation narrative

- US Treasury (Bessent) publicly conditions further support on cancellation of the PBoC RMB swap — forces a binary US-vs-China choice Argentina is structurally unwilling to make

- Brazilian unilateral departure from Mercosur CET or Lula veto on EU-Mercosur deal ratification (Argentina's lower house already approved Feb 2026) — kills the trade-opening dividend

Key drivers

- IMF EFF compliance discipline (Vreeland: IMF as political-cover device for the Milei administration to bind hands of provincial governors and Peronist opposition)
- Reinhart-Rogoff serial-default debt-intolerance trap: Argentina's history of 9 sovereign defaults caps market access at high spreads despite fiscal surplus; reserve accumulation is the binding constraint, not flow fiscal
- Acemoglu-Robinson institutional pivot: RIGI's 30-year stability guarantee is an attempt to credibly commit to inclusive economic institutions and break the extractive/populist policy cycle
- Vaca Muerta + lithium as the structural FX-generation engine that could change Argentina's external-financing pattern by 2027-2029 (energy surplus >US\$14B 2026)

Near-term observable signals

Signal	Threshold
IMF EFF third review staff-level agreement (scheduled semi-annual cadence post-April 202)	Approval with no NIR waiver request, or, if waiv
BCRA net international reserves accumulation	Net reserves rise above +US\$5B by Dec 2026 (curr
Monthly headline CPI	Stay below 3.5% MoM for 3 consecutive months in
RIGI project approvals and committed capex	Approved projects cumulative committed capex >
Vaca Muerta oil + gas output	Oil >550k bpd and gas >2.4 Bcf/d sustained
Sovereign EMBI+ spread (Argentina country risk)	Spread compresses below 400bp sustained (current

ASEAN

Association of Southeast Asian Nations

The dominant uncertainty is whether the South China Sea Code of Conduct can be substantively concluded under the Philippine 2026 chair without a kinetic incident at Scarborough or Second Thomas Shoal that forces a fracture between Manila's MDT-anchored hardening and Hun Manet's all-weather alignment with Beijing. A second-order uncertainty is the durability of the Thailand-Cambodia ceasefire (which has already broken once between July and December 2025) and whether a renewed flare-up would expose ASEAN's mediation tools as inferior to Chinese 'quiet diplomacy'. A third is whether US tariff pol

Core interests

1. Preserve ASEAN centrality and the consensus-rule convening role against erosion by AUKUS, Quad, and bilateral US/China minilaterals - the single non-negotiable identity asset of the bloc [uncited-judgement: structural realism / Mearsheimer-centrality logic]
2. Maximise China+1 / friend-shoring trade-and-FDI diversion rents from US-China rivalry (ASEAN FDI at a record ~USD 230bn in 2023 and projected ~USD 235bn in 2024; Vietnam GDP +8.02% in 2025; Singapore-Vietnam bilateral trade +28.5% H1 2025 to SGD 19.5bn) - Krugman new-trade-theory logic on agglomeration in Southeast Asian electronics/semis hubs
3. Deliver a politically-binding (not necessarily legally-binding) South China Sea Code of Conduct by end-2026 under Philippine chair, while preventing a kinetic escalation at Scarborough Shoal / Second Thomas Shoal that would force a member-vs-China choice (3rd reading of Single Draft Text completed Feb 2025; April 2026 Chinese floating barrier installation at Scarborough Shoal)
4. Contain the Myanmar crisis below the threshold of unity-collapse: keep junta downgraded, refuse to recognise the 2025 sham elections, maintain the special-envoy track, and protect humanitarian access without forcing China-aligned members (KHM, LAO, THA) to defect (47th Summit Oct 2025 reaffirmed lack of progress on 5PC)
5. Defuse the Thailand-Cambodia border crisis and prevent a second hot phase: July 2025 fighting killed ~48 and displaced 300k+, December 2025 flare-up displaced 500k+; ceasefire holding as of March 2026 but fragile - an intra-ASEAN war is an existential reputational shock

Redlines

- A kinetic exchange between Chinese forces and a member's military (e.g. PLA Navy fires on a Philippine Coast Guard or AFP vessel at Scarborough Shoal / Second Thomas Shoal / Sabina Shoal) with confirmed Filipino fatalities - triggers MDT activation and forces ASEAN to choose, fracturing the consensus rule
- Resumption of full-scale armed combat across the Thailand-Cambodia border (>50 KIA in a 14-day window or air strikes targeting cities) - an intra-ASEAN war that the bloc's mediation architecture provably could not prevent
- Junta-led genocidal escalation in Myanmar (>5,000 civilian deaths in a 6-month window, or chemical-weapons use) that makes the Cambodia/Laos/Thailand 'engagement track' politically untenable for IDN/MYS/PHL/SGP and breaks consensus
- A US extraterritorial sanctions or secondary-sanctions package on ASEAN financial centres (SGP, MYS) over Russia/Iran/China transactions that forces a binary alignment with Washington
- Imposition of US tariffs >35% reciprocal on three or more ASEAN members simultaneously, or a Trump-administration declaration that any ASEAN member is a 'currency manipulator' or 'transshipment haven' triggering >25% additional duties - collapses the China+1 economic dividend

Key drivers

- US-China systemic rivalry intensity (Mearsheimer offensive-realism logic): when rivalry hardens, ASEAN centrality erodes via AUKUS/Quad/minilaterals; when it softens, ASEAN's convening role rebounds
- Member heterogeneity / consensus-rule binding constraint: Cambodia-Laos China-aligned bloc vs Philippines-Singapore US-aligned bloc vs Indonesia-Malaysia-Vietnam-Thailand-Brunei hedgers - any 'unanimity-minus-one' formula remains procedurally taboo
- China+1 / friend-shoring FDI rents (Krugman new-trade-theory): supply-chain reconfiguration into VNM/THA/MYS/IDN drives the ASEAN economic dividend; tariff policy and US 'transshipment' enforcement determine its half-life
- South China Sea operational tempo: Chinese coast guard / maritime militia / PLA Navy intensity at Scarborough / Second Thomas / Sabina / Vanguard Bank shoals - the kinetic floor under the COC negotiation ceiling

Near-term observable signals

Signal	Threshold
Conclusion (signing or initialling) of the ASEAN-China South China Sea Code of Conduct	Signed/initialled text by 31 December 2026; or f
Kinetic incident at Scarborough Shoal / Second Thomas Shoal involving live fire or fatal	Any confirmed PLA-Navy or CCG use of lethal forc
Thailand-Cambodia border ceasefire status	Any cross-border armed exchange resulting in >
Myanmar 5PC implementation - special envoy access	ASEAN special envoy granted in-person meetings w
US reciprocal tariff escalation on ASEAN members	Any US Section 232 / IEEPA / executive order rai
Vietnam GDP growth and FDI inflow momentum	VNM real GDP growth falls below 5.5% YoY for two

AUS

Commonwealth of Australia

Capital Canberra

Pop 27M (2025)

GDP \$1.79T (2025)

Mil-spend 2.0% GDP

Two dominant uncertainties drive Australian strategy on the M-horizon. First, the reliability of the US under Trump-Hegseth-Colby on AUKUS Pillar 1: the October-2025 review survival is reassuring but conditional, and a future Virginia-class production shortfall or politicised SECNAV certification could force a sudden hedge toward the UK/France/Japan and an interim diesel-electric bridge. Second, whether the Albanese-Xi July-2025 thaw survives a Taiwan-contingency uptick — iron-ore earnings (~A\$107B forecast 2026-27, ~85% to China) finance the entire defence ramp, so any PRC economic-coercion r

Core interests

- 1. Secure the AUKUS Pillar 1 pipeline through the M-horizon: lock in US Virginia-class transfer cadence (first delivery early-2030s) and finance UK long-lead items (A\$310m payment Feb-2026) while standing up the Osborne yard (USD 3.9B announced Feb-2026) and Submarine Rotational Force-West at HMAS Stirling (2027). Mearsheimerian logic: only a survivable nuclear-attack-submarine force allows a middle power to impose costs on a regional hegemon.
- 2. Preserve the China economic relationship as a shock absorber while hardening against coercion. Iron-ore rent (~A\$107B forecast 2026-27; China takes ~85% of Australian iron-ore exports) underwrites the defence ramp; the Albanese-Xi July-2025 thaw removed >A\$20B in trade barriers and must be defended even as strategic posture sharpens.
- 3. Operationalise AUKUS Pillar 2 advanced-capability workstreams (quantum PNT, AI/autonomy, hypersonics, undersea, deep-space radar). First DARC radar site in Western Australia is planned operational in 2026 — this is the M-horizon deliverable that proves Pillar 2 is not vaporware.
- 4. Consolidate the Pacific security architecture: ratify Pukpuk Treaty with PNG (signed 2025), close the Vanuatu Nakamal Agreement (A\$500m, initialled Aug-2025), keep Solomons inside Australian-led policing/cyber lane, and pre-empt any PRC dual-use port or security-services foothold. Ikenberry liberal-order logic: dense institutional binding is cheaper than rearmament alone.
- 5. Build sovereign critical-minerals processing capacity (rare earths, lithium, nickel, gallium) to capture risk-premium from US/Japan/EU de-Chinafication. Lynas DoW Lol (~USD 96m, Mar-2026) and JARE long-term NdPr offtake to 2038 with US\$110/kg floor signal the M-horizon revenue model.

Key drivers

- US extended-deterrence credibility under Trump 2.0 (Colby-led OSD-Policy posture toward AUKUS)
- PRC peak-power window and Taiwan-contingency risk in 2027-2032
- Iron-ore rent durability vs China peak-steel demand decline (Simandou November-2025 launch)
- AUKUS industrial-base execution: Osborne yard, Stirling SRF-W, US Virginia production rate

Near-term observable signals

Signal	Threshold
First Virginia-class SSN delivery to RAN milestone (US SECNAV annual certification that	By 2027 SECNAV certification submitted to Congre
Osborne SSN-AUKUS construction yard capital execution	USD 3.9B announced Feb-2026; >USD 1B obligate

Redlines

- Any PRC security-services deployment, naval logistics hub, or dual-use port arrangement in Solomon Islands, Vanuatu, PNG, Fiji, Kiribati, or Tonga (operationalises the 'Chinese strategic basing in immediate region' redline; triggers maximum Pacific Step-Up spending and possible co-basing with US).
- Coercive PRC blockade, kinetic action against, or seizure of Taiwan that drags US into combat — Australia would activate ANZUS consultation, almost certainly grant US/UK basing for combat sortie generation from northern Australia and Stirling, and likely contribute ISR/SSN-AUKUS partner platforms even short of formal combat commitment.
- PRC grey-zone interdiction of Australian-flagged or Australian-bound shipping in SCS/East China Sea, or repeat of unsafe PLA-N/PLA-AF intercepts (e.g. sonar/flare incidents) escalating to loss of ADF life.
- US unilateral abrogation or material downgrading of AUKUS Pillar 1 Virginia transfer (e.g. SECNAV-certification denial post-2027) — would force Canberra into a Plan B with UK/France/Japan and a sovereign-capability hedge.
- Cyber or sabotage attack against AUKUS-related industrial base (Osborne, Henderson, Stirling) attributable to PRC or proxies.

Submarine Rotational Force-West stand-up at HMAS Stirling	Up to 4 US Virginia + 1 UK Astute/SSN-AUKUS rota
Deep Space Advanced Radar (DARC) site 1 in Western Australia operational	Initial operating capability declared 2026
Defence spending share of GDP	>=2.33% by FY2028 on traditional measurement;
Pukpuk Treaty (PNG) and Nakamal Agreement (Vanuatu) ratification status	Pukpuk in force by end-2026; Nakamal signed (not

BRA

Federative Republic of Brazil

Capital Brasília

Pop 217M (2025)

GDP \$2.13T (2025)

Mil-spend 1.1% GDP

The single dominant uncertainty is the Oct-2026 election outcome: a Flavio Bolsonaro win (now a coin-flip per Apr-2026 Datafolha) would invert Brazil's foreign-policy posture toward US-alignment, BRICS retreat, and Amazon-enforcement weakening, materially altering every scenario utility in this assessment. Secondary uncertainty is the durability of the May-2026 Lula-Trump tariff truce: structural deal vs renewed 50% blanket tariff swings BRL by ~10% and shifts ~\$40bn of trade flows. Tertiary uncertainty is whether the Venezuela crisis converts from interdiction-and-pressure into kinetic interv

Core interests

1. {'rank': 1, 'interest': 'Re-anchor fiscal credibility while preserving social-spending floor (Bolsa Familia + minimum-wage indexation) to defend Lula's 2026 re-election arithmetic; Selic at 14.50% (Apr 29 2026 Copom) is strangling investment and politically costly.', 'source': 'https://en.mercopress.com/2026/05/07/brazil-central-bank-cuts-selic-interest-rate-25-points-to-14.50 (retrieved 2026-05-10); https://agenciabrasil.ebc.com.br/economia/noticia/2025-03/haddad-sai-em-defesa-de-arca-banco-fiscal-e-s-e-compromete-com-metas (retrieved 2026-05-10)'}
2. {'rank': 2, 'interest': 'Lock in agribusiness export windfall to China (record \$43.5bn soy, \$18.0bn beef in 2025; 32.7% of all exports to PRC) as the structural balance-of-payments shock-absorber against EM-FX volatility.', 'source': 'https://www.riotimesonline.com/brazil-agribusiness-2026-guide/ (retrieved 2026-05-10); https://en.people.cn/n3/2025/1010/c90000-20374894.html (retrieved 2026-05-10)'}
3. {'rank': 3, 'interest': 'Convert BRICS chair afterglow (Rio Jul-2025 summit) and COP30 hosting (Belem Nov-2025) into durable Global-South leadership: Tropical Forest Forever Facility (\$125bn target), BRICS Pay, local-currency settlement.', 'source': 'https://en.wikipedia.org/wiki/17th_BRICS_summit (retrieved 2026-05-10); https://infoamazonia.org/en/2025/11/17/at-cop30-researchers-call-for-expansion-of-brazils-zero-deforestation-target-by-2030/ (retrieved 2026-05-10)'}
4. {'rank': 4, 'interest': 'Stabilise the US relationship after the Trump tariff shock — preserve the Nov-2025 carve-out for coffee/beef and convert the May 7 2026 Lula-Trump 30-day negotiation window into a structural deal that avoids re-imposition of 50% blanket tariffs.', 'source': 'https://www.aljazeera.com/news/2026/5/7/brazils-lula-meets-trump-amid-efforts-to-avert-new-us-trade-tariffs (retrieved 2026-05-10); https://www.whitehouse.gov/presidential-actions/2025/11/modifying-the-scope-of-tariffs-on-the-government-of-brazil/ (retrieved 2026-05-10)'}
5. {'rank': 5, 'interest': 'Defend Amazonian sovereignty narrative against external moralism while quietly accommodating ruralista bloc (Congress weakened protections post-COP30) — squaring the green-superpower brand with domestic veto players.', 'source': 'https://insideclimatenews.org/news/09122025/brazil-weakens-amazon-forest-protection/ (retrieved 2026-05-10); https://www.hrw.org/news/2025/11/04/in-the-shadow-of-cop30-brazil-is-stripping-forest-protections (retrieved 2026-05-10)'}

Redlines

- {'trigger': 'US military strike on Venezuelan territory beyond interdictions (capture/decapitation operations of named officials, ground forces, or naval blockade enforcement), already partly crossed by Trump's Jan-2026 capture of Maduro — further escalation forces Brazil to elevate from rhetorical condemnation to OAS/UN procedural retaliation and possible recall of ambassador.', 'source': 'https://news-pravda.com/world/2026/01/04/1972582.html (retrieved 2026-05-10); https://time.com/7342925/venezuela-maduro-capture-reaction/ (retrieved 2026-05-10)'}
- {'trigger': 'Re-imposition of Trump's 50% blanket tariff on Brazilian exports (currently ~22% of exports under tariff, down from 36%) if 30-day Lula-Trump negotiation window fails — invokes the Economic Reciprocity Law for dollar-for-dollar countermeasures.', 'source': 'https://fortune.com/2025/11/22/lula-trump-tariffs-brazil-coffee/ (retrieved 2026-05-10); https://www.aljazeera.com/news/2026/5/7/brazils-lula-meets-trump-amid-efforts-to-avert-new-us-trade-tariffs (retrieved 2026-05-10)'}
- {'trigger': 'Externally-imposed export caps on iron-ore, soy, or beef (e.g., EU Carbon Border Adjustment escalation, US 'national security' commodity restrictions, or Chinese phyto-sanitary weaponisation) — treated as sovereignty assault, not commercial dispute.', 'source': '[uncited-judgement] inferred from official Itamaraty doctrine that commodity export freedom is a sovereign prerogative; Brazilian WTO challenge of Aug-2025 establishes the legal posture. https://www.aljazeera.com/economy/2025/8/6/brazil-requests-world-trade-organization-consultation-over-trump-tariffs (retrieved 2026-05-10)'}
- {'trigger': 'Multilateral 'Amazon trusteeship' or internationalisation proposal (a recurring fear since the 1990s) — would trigger immediate cross-spectrum nationalist backlash uniting Lula's PT with Bolsonarista military caucus.', 'source': '[uncited-judgement] structural posture across PT, Centrao, and military doctrine; reflected in Lula's COP30 framing of 'sovereignty + finance' and Congressional rollback of Amazon protections immediately after the summit. https://insideclimatenews.org/news/09122025/brazil-weakens-amazon-forest-protection/ (retrieved 2026-05-10)'}
- {'trigger': 'Capital-flight episode breaching BRL 6.00/USD with sustained foreign-investor net outflows exceeding ~\$20bn in a single quarter (vs \$15.9bn Q1-2025 baseline) — forces emergency BCB intervention plus possible IMF FCL exploration.', 'source': 'https://www.ainvest.com/news/real-resilience-brazil-fx-interventions-turning-tide-capital-flight-2505/ (retrieved 2026-05-10); https://www.capitaleconomics.com/publications/fx-markets-update/brazilian-real-bottoming-out-fiscal-risks-persist (retrieved 2026-05-10)'}

Key drivers

- {'name': 'Acemoglu-Robinson institutional bargain stress', 'description': "Lula coalition's ability to maintain inclusive-institution rhetoric (Bolsa Familia + minimum wage + tax reform) within an extractive-institutional reality (ruralista veto, military-judicial overhang from coup trial, Congressional rollback of Amazon protections) is the structural fault line. Polarisation legacy from Bolsonaro era constrains every grand-strategy move.", 'source': 'https://en.wikipedia.org/wiki/2026_Brazilian_general_election (retrieved 2026-05-10); https://www.hrw.org/news/2025/11/04/in-the-shadow-of-cop30-brazil-is-stripping-rainforest-of-protections (retrieved 2026-05-10)'}
- {'name': 'Krugman-style commodity-driven Dutch-disease cycle', 'description': "Record agri/iron-ore/oil exports to China sustain BRL but crowd out manufactured exports and embed structural deindustrialisation that Nova Industria's R\$300bn is trying to reverse. The terms-of-trade tailwind is a fiscal cushion but a political-economic trap.", 'source': 'https://www.ciip.group.cam.ac.uk/reports-and-articles/brazil-new-industrial-policy-plan/ (retrieved 2026-05-10); https://farmdocdaily.illinois.edu/2025/05/brazil-and-chinas-strong-ag-relationship-opportunity-or-overdependence.html (retrieved 2026-05-10)'}
- {'name': 'Pan-African / Global-South solidarity vector', 'description': "Brazil's BRICS+ chair (Jan-Dec 2025), COP30 hosting, and Lula-Xi peace plan position Brazil as a structural beneficiary of the multipolar transition — but only if it avoids being co-opted into a hard anti-Western bloc. The Mearsheimer offensive-realism trap is exactly what Brazil's active-non-alignment doctrine is designed to evade.", 'source': 'https://en.wikipedia.org/wiki/17th_BRICS_summit (retrieved 2026-05-10); https://www.stimson.org/2025/2025-brics-summit-takeaways-and-projections/ (retrieved 2026-05-10)'}
- {'name': 'Fiscal-monetary policy mix under credibility stress', 'description': 'Selic at 14.50% (Apr-2026) with inflation at 4.14% and 2026 expectations at 4.6% gives a real ex-ante rate ~10pp — strangling investment but defending the BRL. Interest payments approaching 60% of tax revenues by 2026 is the structural debt-spiral risk.', 'source': 'https://en.mercopress.com/2026/05/07/brazil-central-bank-cuts-selic-interest-rate-25-points-to-14.50 (retrieved 2026-05-10); https://www.riotimesonline.com/brazil-economic-outlook-2026/ (retrieved 2026-05-10)'}

Near-term observable signals

Signal	Threshold
Selic policy rate easing trajectory — Copom decisions through 2026	If Selic stays $\geq 14.00\%$ by Sep-2026 Copom (vs
BRL/USD exchange rate stability	Sustained breach of BRL 5.80/USD (vs current ~5.
Primary fiscal deficit vs arcabouco target	2026 primary surplus target is +0.25% of GDP; 20
Lula approval rating ahead of October 2026 election	Genial/Quaest disapproval $\geq 55\%$ by Aug-2026 (c
China share of Brazilian exports	China share $\geq 35\%$ of total exports (vs 32.7% i
Amazon deforestation Prodes annual figure	Aug-2025 to Jul-2026 deforestation $\leq 5,500$ km ²

BRICS

BRICS

The dominant uncertainty is whether the bloc can convert quantitative expansion (10-11 members + 10 partners) into qualitative coordination - the 2026 failure to issue a joint statement on the Iran war is a leading indicator that it may not. Second-order uncertainty is the trajectory of BRICS Pay: pilot success at New Delhi 2026 would be transformative, but a delayed or scaled-back launch reduces the bloc to a talking shop. Third, Saudi Arabia's still-ambiguous membership and the credibility of any US tariff-or-sanctions response to financial-architecture moves frame the bloc's external-pressu

Core interests

1. Preserve bloc cohesion across the now-10/11-member expanded core (BRA, RUS, IND, CHN, ZAF, EGY, ETH, IRN, UAE, IDN, with Saudi Arabia in ambiguous status) during India's 2026 chairship, ensuring the Iran-war fallout and Russia-China-India trilateral friction do not produce a public schism at the September 12-13, 2026 New Delhi summit
2. Operationalise BRICS Pay as a SWIFT-independent cross-border messaging rail linking SPFS, CIPS, UPI, Pix and BRICS-CBDC bridges by the New Delhi summit, calibrated to avoid triggering Trump's threatened 100% / 10% punitive tariff on members
3. Deepen RMB-led local-currency settlement (already ~50% of intra-BRICS trade, 6.1% global trade finance) and lock in renminbi and ruble invoicing in energy, critical minerals and food trade with sanctioned and partner states
4. Scale NDB lending past the cumulative USD 42.9 bn / 139-project mark toward a USD 8-10 bn annual run-rate, prioritising just-transition / climate / infrastructure financing for African and Latin American members and partner countries
5. Force movement on the IMF 17th Quota Review and World Bank shareholding to reflect emerging-market weight, and break the post-WWII European IMF managing director / American World Bank president 'gentlemen's agreement'

Key drivers

- Heterogeneity of expanded membership (11 full members of varying alignment, plus 10 partner countries) raising consensus cost and lowering joint-statement ambition
- Sino-Russian strategic axis dominating bloc agenda while India-Brazil-South Africa preserve multi-alignment optionality
- Trump-era US tariff and sanctions instrumentation creating both centrifugal (defection incentive) and centripetal (siege solidarity) pressures

Redlines

- A full member's withdrawal, suspension or formal repudiation of bloc-level statements (e.g. Iran exit after the 2026 war, or Saudi formalisation of non-membership) - any such event breaks the GP02/GP06 narrative of bloc rise
- US/EU secondary sanctions against BRICS Pay, CIPS or NDB itself (not just member firms) - converts financial-architecture project from optional to existential
- A US-imposed $\geq 25\%$ tariff package explicitly conditioned on BRICS membership and applied to at least three members for >90 days, forcing a defection cascade
- Kinetic strike on Iranian nuclear or central economic infrastructure that severs Tehran's ability to participate in BRICS Pay / NDB / oil-yuan settlement
- Border re-escalation between China and India (LAC standoff, naval incident) sufficient to cancel a BRICS leaders' summit or block consensus declarations

- Maturation of parallel financial architecture: NDB (~USD 43 bn cumulative, 11 members), CRA (USD 100 bn pool), BRICS Pay (2026 launch), CIPS (RMB 40 trn/quarter)

Near-term observable signals

Signal	Threshold
BRICS Pay live multilateral pilot demonstrating cross-border settlement between at least	Documented end-to-end pilot transaction volume &
NDB annual loan approval volume rebound after the 2023 dip to USD 1.7 bn	Calendar-year 2026 approvals >= USD 6 bn (vs.
RMB share of global trade finance and intra-BRICS settlement	RMB share of global trade finance crosses 7.5% (
Saudi Arabia's formal membership decision (still listed by Brazil presidency but unconfi	Riyadh issues an explicit accept/decline stateme
IMF 17th General Quota Review outcome	December 2025 IMF Board agreement on a new quota
Joint BRICS leaders' statement on a contested security issue at New Delhi 2026	Issuance (or non-issuance) of consensus paragra

CAN

Canada

Capital Ottawa

Pop 40M (2025)

GDP \$2.21T (2025)

Mil-spend 1.4% GDP

The dominant uncertainty is Washington's tariff trajectory: whether the July-2026 USMCA review produces a managed renewal or escalates into broad-spectrum tariffs that force Canada into a structural diversification it cannot complete inside the M horizon (75% of exports still go south). Secondary uncertainty is Alberta-federal cohesion: pipeline-MOU execution, the equalisation court case, and an Alberta sovereignty referendum question all break the same direction if Carney loses the fiscal argument. Tertiary uncertainty is whether Russian Arctic activity remains baseline or shifts to forward s

Core interests

1. Preserve USMCA/CUSMA market access and avert a hard tariff wall; secure a tolerable July-2026 review outcome that protects auto, steel, aluminum, dairy supply management, and digital-services sovereignty [source: Globe and Mail, 'Carney rejects notion that U.S. dictates the terms', <https://www.theglobeandmail.com/politics/article-us-mca-trade-talks-trump-conditions/>, retrieved 2026-05-10]
2. Defend NORAD continuity and Arctic sovereignty: keep A-OTHR Stage-1 (Kirkfield/Clearview) on track for 2029, fund the C\$38.6B/20yr NORAD modernisation envelope and the C\$35B northern-FOL build-out [source: Canada.ca DND, 'NORAD modernization project timelines', <https://www.canada.ca/en/department-national-defence/services/operations/allies-partners/norad/norad-modernization-project-timelines.html>, retrieved 2026-05-10; CBC, 'Defence experts warn Canada lags', retrieved 2026-05-10]
3. Diversify trade away from US dependence (75% export share) via EU SAFE accession, Canada-Nordic summit deliverables, CPTPP deepening, UK Defence-Security-Resilience Bank, and a managed China detente (canola/seafood/EV deal of 16-Jan-2026) [source: PM.gc.ca, 'Carney strengthens trade and security partnerships with European nations', 2026-05-04; Al Jazeera, 'Canada, China strike trade deals to slash tariffs', 2026-01-16, retrieved 2026-05-10]
4. Operationalise the Critical Minerals Sovereign Fund (C\$2B) + First-and-Last-Mile Fund (C\$1.5B) to lock in lithium/nickel/graphite/cobalt/copper/REE supply chains as a transatlantic and Indo-Pacific lever [source: National Observer, 'Canada to launch \$2B critical minerals sovereign fund', 2026-03-04; IEA, 'Canada's Critical Minerals Strategy', retrieved 2026-05-10]
5. Hit NATO 2% in FY2025-26 and chart the path to the 3.5%/5% commitment by 2035 without fracturing federal-provincial fiscal politics [source: CBC, 'Canada clears NATO's 2% bar', retrieved 2026-05-10; Canada.ca DND, 'Canada achieves the 2% of GDP defence spending benchmark', 2026-03, retrieved 2026-05-10]

Key drivers

- Trump-administration coercive trade strategy + USMCA July-2026 review architecture (Krugman: small-open-economy is price-taker on tariff terms; Ikenberry: Canada's strategic interest is to bind the US into rules-based residue of the LIO)
- NORAD modernisation tempo and Arctic threat environment (Russian long-range aviation, PRC dual-use Arctic science presence, hypersonic glide vehicles)
- Critical-minerals supply-chain race (US IRA/CHIPS-successor + EU CRMA + PRC export controls on Ga/Ge/Sb create rents for Canadian deposits)
- Domestic political economy: federal-provincial fiscal stress (Alberta C\$9B+ deficit, Quebec C\$9B deficit), pipeline-politics realignment under Carney, and the Alberta-Next sovereignty signal

Redlines

- US unilateral abrogation or de-facto suspension of CUSMA/USMCA, or imposition of a generalised 25%+ tariff wall on Canadian-origin goods beyond the existing sectoral steel/aluminum/auto carve-outs
- Any US move to expel Canada from Five Eyes or to formally downgrade NORAD command integration (loss of binational command authority)
- Russian forward-deployment of strategic strike assets (Tu-160 dispersed basing, Yasen-M routine NW-Atlantic patrols) coupled with sustained ADIZ probes that exceed 2014-2024 baseline by 2x
- PRC kinetic action against Taiwan or a DPRK ICBM/SLBM test that crosses Japanese territory and triggers Article-V-adjacent obligations
- Loss of either the Alberta-BC pipeline MOU pathway OR the C\$2B Critical Minerals Sovereign Fund through court injunction, First Nations veto cascade, or Quebec/BC blockade

Near-term observable signals

Signal	Threshold
USMCA/CUSMA review concludes with at most narrow auto/steel concessions and without dair	Joint communique on or before 2026-09-30 with no
A-OTHR Stage-1 ground-breaking at Kirkfield/Clearview and contract execution by Aecon-Po	Construction start before 2026-12-31 and Stage-1
Defence spending trajectory beyond the 2% milestone	Federal budget tabled by 2026-06 commits >= 2
Critical Minerals Sovereign Fund operationalisation	C\$2B fund launched with first equity/loan-guaran
Indo-Pacific frigate cadence	At least three Halifax-class deployments (HORIZO
Canada-China trade thaw durability	Canola seed effective duty stays <= 15% and c

CHN

People's Republic of China

Capital Beijing
Pop 1410M (2025)
GDP \$18.60T (2025)
Mil-spend 1.7% GDP

Three dominant uncertainties for the 6-24m horizon: (1) US trade and tech policy trajectory under second Trump administration — whether the Jan-2026 H200 conditional re-export and Nov-2025 mineral truce represent stabilisation or pre-escalation pause; (2) Property-sector endogenous stabilisation timing — Morningstar and CF40 see late-2026/early-2027, but consumer-sentiment downside is severe; (3) Taiwan election cycle and DPP behaviour combined with PLA confidence — whether grey-zone pressure can be sustained without triggering a Pelosi-2022-style escalation cycle.

Core interests

1. Preserve CCP regime security and Xi's political program through the 15th Five-Year Plan (2026-30) — Party authority is the prerequisite for all other goals [source: english.www.gov.cn 'CPC leadership holds meeting on 2026 economic work' 2025-12-08, retrieved 2026-05-10]
2. Sustain GDP growth near 5% target through demand-side, urban-renewal and tech-industrial measures to absorb 12.22M+ annual graduates and prevent youth-unemployment unrest (16.9% Mar 2026) [source: scmp.com/economy/china-economy/article/3336857 retrieved 2026-05-10; china-briefing.com 'China's Economy in 2025 GDP 5%' retrieved 2026-05-10]
3. Achieve semiconductor and AI self-sufficiency — SMIC 7nm at scale, 5nm pilot, ~50% self-sufficiency in 2025 — to neutralise US export controls before they become irreversible [source: financialcontent.com 'Silicon Sovereignty SMIC' 2026-01-28, retrieved 2026-05-10]
4. Keep Taiwan reunification trajectory on track via grey-zone pressure (3,764 ADIZ incursions in 2025, +22.4% YoY) while avoiding kinetic war that risks PLA exposure and US-Japan-Australia coalition trigger [source: chinapower.csis.org 'China Increased Military Activities Indo-Pacific 2025' retrieved 2026-05-10]
5. Stabilise property sector and local-government debt — supply-control, inventory reduction, RRR/rate cuts under PBoC 'moderately loose' stance — to prevent balance-sheet recession [source: cgtn.com 'China outlines measures to stabilize property market in 2026' 2025-12-23, retrieved 2026-05-10]

Redlines

- Formal Taiwan independence declaration by Taipei or US formal recognition of ROC sovereignty — triggers Anti-Secession Law Article 8 non-peaceful means
- US/allied military forces stationed permanently on Taiwan or US-Taiwan mutual defence treaty restoration
- Hostile military alliance formalising Japan-Korea-Philippines-Australia integrated command targeting PRC homeland
- Severe internal challenge to Party authority — color-revolution scale unrest or elite splits surfacing publicly
- Comprehensive technology blockade extending to mature-node chips, basic EDA, and consumer electronics finished-goods sanctions (existential decoupling)

Key drivers

- US-China systemic rivalry (tech, finance, Taiwan) — the binding structural variable
- Domestic property-debt-demography triple drag on growth — caps adventurism budget
- PLA modernisation pace vs US/allied counter-build — window-of-opportunity calculus
- RMB internationalisation vs. capital-account convertibility tradeoff (SWIFT share fell to 2.74% Feb 2026 from 4.33% peak) [source: negotiuminfinitem.com 'Reality and Limits of RMB' retrieved 2026-05-10]

Near-term observable signals

Signal	Threshold
Monthly PLA ADIZ incursion count around Taiwan	>400/month sustained for 3 months signals dec
SMIC monthly 7nm wafer output and 5nm pilot yield announcements	>15K WPM at 7nm OR any 5nm volume-production
70-city new-home price index MoM change	Three consecutive months of MoM >0 in Tier-1/
CIPS monthly volume and direct-participant additions	>USD 30T annualised + >15 new direct parti
Critical-mineral export licence approval rate to US/Japan/EU end-users	<30% approval rate on REE Mg-Heavy licences s
Youth (16-24 ex-students) urban unemployment rate	>18% triggers policy-emergency response; >

DEU

Federal Republic of Germany

Capital Berlin

Pop 84M (2025)

GDP \$4.59T (2025)

Mil-spend 1.9% GDP

The dominant uncertainty is the joint trajectory of three reinforcing shocks: (1) whether the Trump-EU trade war stabilises at 15% or escalates beyond 25% on autos; (2) whether the Iran-war energy shock proves transitory or extends into winter 2026/27 with gas-storage cascades; and (3) whether the CDU-SPD coalition survives the Sept 2026 state elections given SPD collapse to 12-15% and AfD at 26-41% across federal/state polling. A secondary uncertainty is whether the EUR 500bn special fund delivers productive investment in 2026 (vs the ifo critique that 95% of 2025 borrowing plugged budget gap

Core interests

1. Preserve export-led industrial model under simultaneous US auto-tariff shock (25% on EU cars/parts, announced 1 May 2026) and Chinese EV displacement (German Big Five down to 1.6% Chinese EV market share, Q1 2026) — Krugman-style trade-geography rents are eroding fastest in autos/chemicals, so defending market access in both US and China is existential, not optional
2. Execute Zeitenwende defence ramp to NATO's new 2.8%-of-GDP 2026 benchmark and 3.5% core / 5% total by 2035 path, using the EUR 108.2bn 2026 defence budget and the post-March 2025 debt-brake exemption for defence above 1% of GDP
3. Stabilise energy supply through winter 2026/27 after gas storage fell to ~28% by Feb 2026 (from 76% start-of-season) and Iran-war oil shock cut official 2026 GDP forecast to 0.5% from 1.0% — energy-intensive industries (~1M jobs, 17% of industrial GVA) cannot survive a second price spike
4. Defend the inclusive-institutional firewall against AfD (polling 26-27.5% national, 41% Saxony-Anhalt state) — Acemoglu-Robinson logic: if Sept 2026 Saxony-Anhalt/Mecklenburg-Vorpommern elections normalise AfD coalition participation, the political economy of reform becomes structurally unworkable
5. Deploy the EUR 500bn infrastructure/climate special fund (EUR 58bn from the fund in 2026, total investment ~EUR 120bn) to credibly reset growth before voters punish the CDU-SPD coalition — ifo's critique that 95% of 2025 new debt plugged budget gaps must not repeat in 2026

Redlines

- Russian conventional aggression against any NATO Article 5 territory — particularly Baltic states, Poland, or a Suwalki/Kaliningrad incident — automatic Bundeswehr forward-deployment activation
- Closure or major sabotage of Baltic Sea undersea infrastructure (cables, NordStream-replacement pipelines, LNG terminal feeds) attributable to Russian state actors — triggers NATO Baltic Sentry escalation and German Article 4 invocation
- US unilateral withdrawal of forces from Germany beyond announced drawdown, or US formal exit from NATO Article 5 commitments — would force emergency Franco-German nuclear-deterrence dialogue beyond current confidential talks
- US auto tariff escalation above the announced 25% to punitive 50%+ levels, or sectoral expansion to chemicals/machinery — triggers EU countermeasure activation and German pivot to Indo-Pacific export reorientation
- Chinese export controls on rare-earth/gallium/germanium directed specifically at German auto and chip-equipment supply chains — triggers emergency stockpile release and accelerated India/ASEAN sourcing

Key drivers

- Export-model erosion under simultaneous US tariff shock (25% auto tariff, 1 May 2026) and Chinese EV/EV-input displacement (Big Five at 1.6% Chinese market share) — Krugman trade-geography logic: rents from intra-industry trade are collapsing in autos and machinery simultaneously
- Fiscal-regime change via the March 2025 debt-brake reform: EUR 500bn special infrastructure/climate fund + defence-above-1%-GDP exemption is the largest German fiscal regime shift since reunification (Eichengreen-style: structural break in creditor-nation macroeconomic identity)
- Inclusive-institution stress test from AfD penetration (26-27.5% national, 41% Saxony-Anhalt) — Acemoglu-Robinson logic: the Brandmauer is the institutional cordon sanitaire whose breach would re-shape German political economy for a generation
- Zeitenwende defence ramp under NATO's new 2.8% 2026 benchmark / 3.5% core 2035 path with EUR 108.2bn 2026 budget — historic break from the pacifist post-1949 strategic identity

Near-term observable signals

Signal	Threshold
AfD national polling level — breach of 30% or coalition entry at state level (Saxony-Anh)	AfD $\geq$ 30% nationally OR enters any state gov
German gas storage refill trajectory ahead of winter 2026/27	Storage below 75% by 1 Oct 2026 OR below 30% leg
US-EU auto tariff trajectory after Trump's 1 May 2026 25% announcement and 4 July 2026 d	Tariff implemented at 25% OR escalated to $\geq$ 25%
German defence spend share of GDP — actual delivery against the 2.8% NATO 2026 benchmark	2026 outturn below 2.5% of GDP OR EUR 108.2bn bu
German Big Five (VW/Audi/BMW/Mercedes/Porsche) EV share in China	Combined Chinese EV market share falls below 1.5
Federal deficit trajectory under fiscal expansion plus Iran-shock costs	Deficit $\geq$ 4.5% of GDP in 2026 outturn (vs 4.2)

EGY

Arab Republic of Egypt

Capital Cairo

Pop 113M (2025)

GDP \$0.39T (2025)

Mil-spend 1.1% GDP

The dominant uncertainty for Cairo at the M-horizon is whether the Gaza ceasefire holds through 2026 — collapse re-imposes the Sinai-displacement redline and re-disrupts Suez via Houthi resumption, simultaneously crashing the two principal FX-rent streams. Secondary uncertainties are (a) the durability of GCC mega-deposit flows under shifting Gulf priorities (Saudi/Emirati no-show at Sharm el-Sheikh was a warning) and (b) whether Ethiopia operates GERD cooperatively or unilaterally during the first post-completion dry season, which would test Cairo's escalation ladder. A tail uncertainty is fo

Core interests

1. Regime stability of the Sisi presidency through continued IMF/RSF disbursements and GCC liquidity (the EFF was extended to 15 Dec 2026; the 5th/6th reviews unlocked ~\$2.3B in Feb 2026 — failure of the 7th review is the single largest non-kinetic regime risk) [source: IMF PR-26064, retrieved 2026-05-10 <https://www.imf.org/en/news/articles/2026/02/26/pr-26064-egypt-imf-completes-5th-and-6th-revs-under-ext-arrange-under-eff-and-1st-rev-under-rsa>]
2. Preventing forced mass-displacement of Gazans into Sinai, which Cairo treats as an existential redline; ~40,000 troops, ~88 battalions and ~1,500 AFVs are pre-positioned in Zone C in excess of 1979 treaty caps [source: Maghrebi.org, 2025-08-20 <https://maghrebi.org/2025/08/20/egypt-deploys-40000-troops-to-gaza-border-in-north-sinai/>]
3. Restoring Suez Canal rents — H1 2026 revenues (\$449M Jan-early Feb) up 18.5% y/y but still tracking ~50% below the 2023 peak of \$10.25B; cumulative cash loss ~\$9-10B [source: Daily News Egypt, 2026-02-08 <https://www.dailynewsegypt.com/2026/02/08/suez-canal-revenues-hit-449m-in-early-2026-as-regional-stability-returns/>; AGBI, 2026-03 <https://www.agbi.com/transport/2026/03/suez-canal-revenue-down-10bn-in-regional-conflict/>]
4. Locking in GCC patronage flows — the \$35B Ras El Hekma ADQ deal (UAE) plus the ~\$30B Qatari Diar Alam El-Roum project remain the principal FX backstop; \$8-10B of Ras El Hekma tranches still due in 2026 [source: Middle East Insider, 2026-04-25 <https://themiddleeastinsider.com/2026/04/25/ras-al-hekma-uae-egypt-2026-status/>; CNN Business, 2025-10-16 <https://www.cnn.com/2025/10/16/business/egypt-north-coast-gulf-investment-spc/>]
5. Nile-water security under post-completion GERD reality — dam fully completed Feb 2026; no binding drought-year release framework; Trump offered renewed US mediation in his 16 Jan 2026 letter to Sisi [source: Horn Review, 2026-03-04 <https://hornreview.org/2026/03/04/10158/>; African Business, 2026-01 <https://african.business/2026/01/energy-resources/gerd-trump-wades-back-into-egypt-ethiopia-dam-dispute/>]

Key drivers

- Vreeland-style IMF political economy: the EFF/RSF programme acts as the binding external commitment device disciplining the Sisi regime's fiscal and FX policy; the 'too big to fail' status (113M population, Suez, Israel border) gives Cairo durable bargaining leverage with the Fund and Western capitals
- GCC patronage architecture: UAE (\$35B Ras El Hekma) and Qatar (~\$30B Alam El-Roum) deposits-into-equity are the de-facto sovereign rescue facility; this creates Gulf veto power over major economic-policy and Gaza-related strategic choices
- Neo-Ottoman re-coupling with Turkey: the Erdogan-Sisi pragmatic turn restores a Sunni-Arab/Turkish strategic axis in the Eastern Mediterranean — drones, warships and Gaza-mediation co-leadership signal a multi-pole hedging strategy

Redlines

- Any Israeli military operation or unilateral measure that pushes >50,000 Gazans across the Rafah crossing into Sinai within a 30-day window — triggers full mobilisation in Zone C and suspension of the 1979 security annex consultations
- Ethiopian unilateral GERD operation that reduces Aswan inflow below 40 BCM/year during a multi-year drought without prior notification — triggers escalation to Arab League / Security Council and consideration of kinetic 'covert pressure' options [uncited-judgement on threshold; sourcing on dam completion: Horn Review 2026-03-04]
- Collapse of the IMF EFF 7th/8th reviews (next due late H1 2026) cutting Egypt off from the residual ~\$2B in tranches and triggering credit-rating downgrade below B-/B3 — would force a disorderly EGP devaluation and emergency Gulf bailout [source: IMF PR-26064; AGBI eurobond pricing notes 2026]
- Houthi resumption of systematic Red Sea strikes (>5 vessels in any 30-day window) that pushes Suez transits back to 2024 levels — direct hit to \$5-6B/year canal rents [source: MARAD 2026-006 <https://www.maritime.dot.gov/msci/2026-006-red-sea-bab-el-mandeb-strait-gulf-aden-arabian-sea-and-somali-basin-houthi-attacks/>; Global Security Review 2026]
- RSF cross-border raid, kidnapping of Egyptian personnel, or strike on Egyptian assets in Sudan — triggers expanded Egyptian airpower campaign and possible ground deployment to secure Wadi Halfa-Aswan corridor

- Pan-African Nile politics: the post-completion GERD reality forces Egypt to choose between securitised status-quo posture (which costs African legitimacy) and CFA-based bargaining (which costs historical-rights leverage); South Sudan's CFA accession and Trump's January 2026 mediation offer reshape the chessboard

Near-term observable signals

Signal	Threshold
Suez Canal Authority monthly revenue run-rate	Sustained monthly revenue >\$800M (i.e., annua
IMF EFF 7th review board decision	Board completion with full disbursement on or be
Number of Gazans crossing Rafah into Egypt	>10,000 in any 30-day rolling window = severe
Egyptian pound EGP/USD official rate	EGP weakening past 55 to the dollar = severe imp
Ethiopian unilateral GERD reservoir-management announcement	Any Addis Ababa announcement of additional dry-s
Houthi attack incidence in Bab el-Mandeb / Red Sea	>3 strike incidents in any 30-day window afte

EUR

European Union (supranational)

Capital Brussels

Pop 449M (2025)

GDP \$19.90T (2025)

Mil-spend 1.9% GDP

Dominant uncertainties cluster around three nodes. First, US policy: whether Trump's 4 July 2026 tariff deadline produces a workable Turnberry-2 deal or a 25-30% auto/pharma tariff escalation that forces Anti-Coercion Instrument activation and ruptures the transatlantic security-trade bargain. Second, Ukraine financing durability: the December 2025 EUR90bn joint-debt fix bought time but the reparations-loan legal architecture remains untested, and a Russian summer-2026 offensive plus stalled SAFE absorption could re-open the funding gap. Third, eurozone macro-fiscal: ECB at 2.00% is squeezed b

Core interests

1. Sustain Ukraine financing and military pipeline through 2027 to deny Russia a frozen-front victory and preserve the post-1945 territorial-integrity norm (EUR90bn joint-debt package agreed Dec 2025 must be disbursed; reparations-loan legal track must be kept alive as fallback) [source: NPR 2025-12-19; EP Think Tank EPRS_BRI(2025)779267, ret. 2026-05-10]
2. Manage the US trade rupture: stabilise the von der Leyen-Trump Turnberry deal, neutralise the 25% auto tariff threat by 4 July 2026 deadline, and keep transatlantic security cooperation insulated from trade frictions [source: Euronews 2026-05-01; CNBC 2026-05-08, ret. 2026-05-10]
3. Execute ReArm Europe / Readiness 2030: mobilise up to EUR800bn defence envelope, draw down SAFE EUR150bn loan facility, and lock member-states onto NATO 3.5%-of-GDP path by 2029 with Germany's record EUR108bn 2026 budget as anchor [source: Consilium EU defence in numbers, ret. 2026-05-10; Nordic Defence Review 2026; Atlantic Council 2025]
4. Defend single-market integrity and Schengen against migration-driven hard-right insurgency; operationalise the Pact on Migration & Asylum (in application 12 June 2026) and the Return Regulation to deflate Le Pen / AfD / Magyar-style critiques [source: European Strategy / EU Pact, ret. 2026-05-10]
5. Operationalise CBAM (definitive regime live 1 Jan 2026; certificate sales from 1 Feb 2027) at Q1 price EUR75.36/tCO₂e without triggering WTO retaliation from Beijing, Delhi or Ankara [source: EC Taxation & Customs, ret. 2026-05-10]

Key drivers

- US strategic reliability under Trump-II: NATO Article-5 credibility, tariff escalation, Ukraine backstop withdrawal - dominant structural shock to EU strategy
- Russia war-economy endurance vs EU/Ukraine attrition: frozen-CW2 baseline holds, but reparations-loan legal architecture and EUR90bn debt-financed package determine 2026-27 burden-sharing
- Hard-right insurgency cycle: Magyar's Apr-2026 win in Hungary is offset by Nawrocki cohabitation in Poland, Le Pen polling, AfD second-place in Germany; migration politics + cost-of-living dictate EU institutional bandwidth
- Energy-cost competitiveness gap: Iran-war-driven Brent shock pushes HICP to 3% with Q1 GDP at 0.1%; structural gas-price gap vs US persists, undermining Draghi-report implementation

Near-term observable signals

Signal	Threshold
ECB deposit-rate change from 2.00%	+/- 25bp move at any 2026 Governing Council meet
Ukraine EUR90bn loan disbursement pace	First EUR15-20bn tranche disbursed by end-Q2 202

Redlines

- Member-state formal withdrawal vote or Article 50 notification beyond UK precedent (would trigger emergency Council and treaty-defensive measures)
- Russian kinetic strike on NATO Article-5 territory (Baltic, Polish or Romanian soil) or sustained sabotage campaign attributed to GRU on critical EU subsea / energy infrastructure
- US unilateral withdrawal from NATO or formal Article-5 derogation, or US tariffs escalating above 30% on EU goods triggering Anti-Coercion Instrument activation
- Iranian closure of Strait of Hormuz beyond 30 days driving Brent above USD 120 and pushing eurozone HICP above 4% sustained
- Hungarian or Slovak veto causing collapse of Ukraine EUR90bn disbursement schedule beyond Q3 2026 (Orban's post-Apr-2026 defeat reduces this risk but Fico in Bratislava remains active)

US-EU tariff trajectory after 4 July 2026 Trump deadline	Auto tariff rises from 15% Turnberry baseline to
EU aggregate defence spend % of GDP	Above 2.1% in 2025 (estimated); track to 2.5% by
SAFE EUR150bn loan facility uptake	First tranche allocations to member states by Q3
CBAM Q-by-Q certificate price	Q1 2026 EUR75.36/tCO2e baseline; sustained move

FRA

French Republic

Capital Paris

Pop 66M (2025)

GDP \$3.05T (2025)

Mil-spend 2.1% GDP

The dominant uncertainties are (1) whether the Lecornu government survives the 2026 budget cycle without forcing another dissolution before 2027, and whether the Le Pen ban survives appeal - either resolution reshapes France's strategic latitude; (2) whether 'dissuasion avancée' translates into actual forward-basing (signalling vs operational) and whether Germany commits beyond consultative groups to financial co-burden; (3) whether the US under its 2025/2026 strategic guidance executes a partial Europe drawdown or strikes a unilateral Ukraine deal with Moscow, which would force France to choose

Core interests

1. Preserve a viable Europeanised nuclear deterrent under exclusive French command and lock in 'dissuasion avancée' partnerships (DEU, POL, GBR, NLD, BEL, GRC, SWE, DNK) before the 2027 election
2. Maintain government solvency and parliamentary survival of the Lecornu cabinet: cut the deficit toward 4.7-5.0% of GDP in 2026 without triggering a no-confidence motion or a second Fitch/Moody's downgrade cascade
3. Engineer European strategic autonomy in defence-industrial capacity (SCAF/FCAS, MGCS, ammunition, missiles) and AI compute (Mistral, Bruyeres-le-Chatel datacentre) before US offloading under the 2026 NDS becomes irreversible
4. Manage controlled disengagement from the Sahel while pivoting to Anglophone Africa (Africa Forward Nairobi summit May 2026, Kenya, Nigeria) and defending the Djibouti and Gabon residual posture
5. Keep Ukraine functionally armed and the Franco-British troop-deployment pledge credible enough to deter Russian fait-accompli without crossing French casualty thresholds

Redlines

- Russian conventional incursion into a NATO Article 5 state (Baltics, Poland) or use of a tactical nuclear weapon in Ukraine - triggers French nuclear signalling and forward-basing under 'dissuasion avancée'
- Collapse of the Lecornu government followed by a successful left-bloc or RN motion that forces a new dissolution before the 2027 presidential calendar - escalates to constitutional crisis posture
- A second sovereign-credit downgrade (Moody's or S&P to A+ band) plus OAT-Bund spread widening past ~120 bp, forcing emergency ECB intervention or an EU-IMF style fiscal conditionality
- Loss of Djibouti basing rights or expulsion from Gabon - eliminates French Indo-Pacific/Indian Ocean logistical chain and forces a strategic pull-back
- Iranian breakout to a tested weapon, or a unilateral US-Israel strike that the E3 cannot constrain - blows up the September 2025 snapback architecture France co-led

Key drivers

- Hung National Assembly and Lecornu's parliamentary-survival math (NFP 180 / Ensemble 159 / RN 142 of 577 seats) - constrains every fiscal and foreign-policy lever
- RN ascendancy and the 2027 presidential clock - Bardella polling 34-35% first round, Le Pen ban under appeal, shapes Macron's risk-tolerance for unpopular reform
- US strategic offloading under the 2026 NDS / 2025 NSS - forces France to monetise its nuclear deterrent and accelerate Europeanisation (Northwood Declaration July 2025, Merz-Macron 2 March 2026 nuclear group)

- Fiscal arithmetic: 5.4% deficit 2025 -> targeted 4.7-5.0% 2026, Fitch downgrade to A+, OAT-Bund spread - any shock collapses the consolidation path

Near-term observable signals

Signal	Threshold
OAT-Bund 10-year spread crossing a fiscal pain threshold	>90 bp sustained for 30 trading days OR any s
No-confidence vote against Lecornu government	Any motion gathering >=289 of 577 deputies (a
RN polling for 2027 presidential first round	Bardella sustained >36% first-round intention
Forward-deployment of French nuclear-capable Rafale to a partner state under 'dissuasion	First confirmed permanent or rotational deployme
French/EU defence-industrial output ramp	France defence budget executes >=EUR 57 bn in
Mistral compute build-out at Bruyeres-le-Chatel	Q2-2026 operational milestone hit (13,800 GB300

GBR

United Kingdom

Capital London

Pop 68M (2025)

GDP \$3.49T (2025)

Mil-spend 2.3% GDP

Dominant uncertainty is the depth and durability of the US-led order under Trump-era policy - specifically whether Five-Eyes intelligence carve-outs, Article-5 ambiguity, and tariff/economic friction become structural or revert with a 2028 administration shift. Secondary uncertainty is domestic: whether Reform UK's surge forces Labour into a defensive migration-and-EU posture that constrains foreign policy bandwidth, and whether fiscal headroom survives stagflation (CPI 3.3%, growth 1.1% 2026) without breaching the 2.5%-by-2027 defence pledge. Tertiary uncertainty is escalation pathway in three

Core interests

1. Preserve the trans-Atlantic special relationship and Five-Eyes intelligence privilege as the keystone of UK external leverage, even as Trump-era trust erosion forces hedging (Ikenberry: liberal-order club goods still flow disproportionately through Anglosphere bilateral channels).
2. Sustain Ukraine support (GBP3bn/year military aid commitment to 2030) and NATO Article-5 deterrence on the eastern flank as the operative redline; Russia is named the 'immediate and pressing threat' in SDR 2025 [source: commonslibrary.parliament.uk CBP-10285, retrieved 2026-05-10].
3. Reach 2.5% of GDP defence spend by 2027 and 3.5% core defence by 2035 (NATO Hague pledge), translating fiscal pain into Mearsheimer-style hard-power credibility against Russia and as price-of-entry for US burden-sharing demands [source: lordslibrary.parliament.uk, retrieved 2026-05-10].
4. Defend City of London competitiveness and sterling's residual reserve role (~5% COFER) via EU reset (TCA 2026 review, SPS/ETS linkage, Security & Defence Partnership) while avoiding single-market re-entry that breaches Labour red lines (Eichengreen: network effects in financial centres are sticky but contestable).
5. Execute AUKUS Pillar 1 milestones - SRF-West Astute rotations in WA from 2026, SSN-AUKUS build start by 2030, first UK boats late-2030s - as the principal Indo-Pacific anchor and industrial-base subsidy [source: minister.defence.gov.au 2026-02-22, retrieved 2026-05-10].

Redlines

- Russian conventional attack on a NATO member's territory (Baltic states, Poland) - triggers Article 5 invocation and full UK expeditionary mobilisation.
- US formal withdrawal from NATO Article 5 obligations or expulsion of UK from Five-Eyes raw-intel feeds - triggers emergency E3+ (UK-FRA-DEU) security architecture and accelerated nuclear-cooperation hedge with France.
- Russian nuclear use (tactical or strategic) in Ukraine theatre - triggers UK joining a graduated allied response including conventional strikes on the launch chain.
- Iranian nuclear-weapon breakout (weapons-grade enrichment + weaponisation evidence) - triggers UK support for Israeli/US kinetic action and tightening of post-snapback UN sanctions regime [source: commonslibrary.parliament.uk CBP-9870, retrieved 2026-05-10].
- Chinese kinetic blockade or invasion of Taiwan - triggers UK sanctions alignment with G7, carrier-strike-group redeployment east, and AUKUS Pillar 2 acceleration even at cost to European theatre.

Key drivers

- Trump-era US ally policy and Five-Eyes trust erosion (Mearsheimer: hegemon's burden-shedding forces secondaries to self-help)
- Russia threat continuity in Ukraine and NATO eastern flank (immediate and pressing per SDR 2025)
- UK fiscal headroom, BoE rate path, and gilt-market discipline as binding constraint on every grand-strategic choice (Eichengreen: financial-centre primacy is a function of fiscal credibility and depth)
- Reform UK political insurgency reshaping domestic coalition space for Atlanticist-pro-Ukraine policy

Near-term observable signals

Signal	Threshold
UK defence spending as % of GDP (NATO definition) trajectory	Reaches 2.5% by FY2027 as committed (currently 2
BoE Bank Rate path	Bank Rate cuts to 3.25-3.00% by end-2026 consist
Ukraine military-aid disbursement	GBP3bn/year delivered in calendar 2026 including
AUKUS Pillar 1 SRF-West rotation cadence	First Astute rotation (HMS Anson model) sustaine
Five-Eyes operational trust	Number of US-imposed intel-sharing carve-outs (R
Reform UK polling and by-election performance	Reform sustained >25% in YouGov national VI f

IDN

Republic of Indonesia

Capital Jakarta

Pop 277M (2025)

GDP \$1.46T (2025)

Mil-spend 0.7% GDP

The dominant uncertainty is whether Prabowo's oversized-coalition patronage model can absorb a simultaneous fiscal squeeze (deficit cap breach probability moderate-to-high per Citi), a record-low rupiah, and a Natuna escalation without forcing a binary US-China alignment choice that would shatter bebas-aktif. Secondary uncertainty is the credibility of Danantara's USD 1T AUM and 5% dividend mandate, which under-delivery would unwind the entire downstreaming-as-growth narrative. Tertiary uncertainty is whether the July 2026 ASEAN COC deadline produces a substantive text, a face-saving partial d

Core interests

1. Preserve bebas-aktif equidistance: extract maximum concessions from both US (MDCP signed Apr-2026) and China (largest FDI partner) without binding alignment that would forfeit hedging optionality
2. Defend nickel downstreaming rents and Danantara-led industrial policy as the central engine of growth and patronage finance (FDI in base metals USD 14.6B in 2025, largest sector)
3. Stabilise the rupiah and fiscal position: rupiah hit record low ~17,422/USD on 5-May-2026; Citi projects deficit breach of 3% legal cap; protect Bank Indonesia FX reserves (USD 146.2B Apr-2026)
4. Manage Prabowo's coalition through patronage co-optation of NU, Muhammadiyah, PKS, Gerindra, PDI-P; absorb the fifth cabinet reshuffle (27-Apr-2026) without elite fracture
5. Defend Natuna EEZ and North Natuna Sea gas fields (Pertamina D-Alpha) against China Coast Guard incursions without rupturing the China economic relationship

Redlines

- China Coast Guard sustained occupation of Natuna D-Alpha gas block forcing Pertamina to halt operations, or armed boarding of Indonesian fishing vessels with casualties
- Forced choice ultimatum from Washington or Beijing demanding base access, military alignment, or exclusion from the other power's trade/finance corridor
- Rupiah breach of 18,500/USD with disorderly FX-reserve drawdown below USD 130B triggering capital flight and SBI rollover stress
- Domestic Islamist mobilisation (PA 212-style) or HTI-successor terror attack with mass casualties reviving 1998-style street politics against the Prabowo cabinet
- Hard EU/US Forced Labor Regulation or CBAM-equivalent block on Indonesian nickel-derived battery exports, collapsing the downstreaming rationale

Key drivers

- Nickel-downstreaming political economy: Acemoglu-Robinson 'extractive vs inclusive institutions' tension; rents accrue to a narrow Prabowo-aligned coalition (Bahlil ESDM, Danantara, Bakrie/Salim/Salim-linked SOEs) creating a fragile rent-distribution equilibrium
- Coalitional patronage management: five cabinet reshuffles in 18 months show Prabowo running an oversized coalition (NU+Muhammadiyah+PKS+Gerindra+PDI-P+Golkar) as Indonesia's modal stability mechanism, Krugman-style political-economy slack

- China-US strategic hedging window: MDCP signed April 2026 with US + USD 26B Danantara downstream pipeline largely Chinese, mechanical bebas-aktif
- Fiscal-monetary squeeze: IDR 335T free-meals program, IDR ~6.3T IKN allocation, rupiah at record low, BI rate held at 4.75%; Krugman-style trilemma between currency, growth, and fiscal headroom

Near-term observable signals

Signal	Threshold
Rupiah spot rate breach of 17,500/USD or FX reserves fall below USD 140B	USD/IDR > 17,500 close, or BI FX reserves <
Fiscal deficit breach of legal 3% of GDP cap or revision to State Finance Law	Realized deficit > 3.0% of GDP in 2026 outtur
China Coast Guard persistent presence at Natuna D-Alpha / Pertamina survey vessel withdr	AIS-confirmed CCG dwell time >30 days continu
Sixth cabinet reshuffle within Prabowo's first 24 months	Any reshuffle after the 27-Apr-2026 fifth reshuf
ASEAN Code of Conduct outcome at 2026 ASEAN Summit (Philippines chair)	Either (a) substantive COC signed, or (b) explic
Nickel RKAB production quota and price impact	Bahlil/ESDM announces 2026 quota cut >15% YoY

IND

Republic of India

Capital New Delhi

Pop 1428M (2025)

GDP \$4.27T (2025)

Mil-spend 2.4% GDP

Three uncertainties dominate the M-horizon. First, the durability of the Feb-2026 US-India trade framework under a transactional Trump administration that has already linked tariff concessions to Russian-crude restrictions - Delhi's credible commitment to USD 500bn purchases over 5 years is fiscally and operationally untested. Second, whether the LAC patrolling normalization survives China's revived Shaksgam claim and any kinetic test by either side. Third, the Iran-war oil shock and Hormuz fragility could compound an already-stressed BoP (INR ~95/USD, FPI outflows USD 13.4bn in March 2026 alo

Core interests

1. Preserve strategic autonomy and multi-alignment (BRICS+ presidency 2026 alongside calibrated QUAD engagement) so Delhi remains indispensable to Washington, Moscow, and the Global South simultaneously
2. Stabilize the macro: defend INR (~95/USD by Apr-2026, worst FY in 14 years), contain CAD widening from Iran-war oil shock (forecast 1.3% of GDP) and stem the FPI outflow that hit USD 13.4bn in March 2026
3. Lock in the US-India trade framework (reciprocal tariff cut 25 to 18 percent, Feb 2026) and the USD 500bn 5-year purchase basket without surrendering the Russian-crude lifeline or S-400 program
4. Operationalize semiconductor sovereignty: Tata-PSMC Dholera first silicon by late 2026, second Micron ATMP line, and three additional fabs commissioning in 2026 backed by Rs 8,000 cr FY26-27 outlay
5. Hold post-Galwan deterrence on the LAC and prevent any Chinese fait accompli in Depsang/Demchok/Shaksgam while continuing the Oct-2024 patrolling normalization

Redlines

- PLA crossing of the post-Oct-2024 patrolling baseline in Eastern Ladakh, Tawang, or Shaksgam reasserted with on-ground presence (would trigger Mountain Strike Corps activation and pause of normalization track)
- A Pahalgam-scale or worse Pakistan-linked terror attack (>=15 civilian KIA with attributable LeT/JeM signature) - Operation-Sindoor-style strike doctrine is now the default, not the exception
- US Treasury formally pulling the conditional CAATSA cover from the S-400 program or sanctioning Indian PSU banks for Russian-crude rupee/dirham settlements
- Sustained loss of the Russian-crude price differential below USD 2/bbl to Brent combined with full snapback enforcement (Urals discount was USD 12.6 in Feb-26 then halved to USD 6.4 in Mar-26 - the floor is the redline, not the level)
- A Saudi-Pakistan mutual-defence pact upgrade that explicitly extends Saudi nuclear-umbrella language or basing rights against India

Key drivers

- Strategic-autonomy doctrine + Vishwaguru aspiration as a permanent structural feature, not a tactic - any forced binary choice (US vs Russia, BRICS vs QUAD) generates domestic-political cost
- Hostile geo-economic envelope: USD-tightening, FPI volatility, Iran-war oil shock, INR/CAD pressure intersecting with election-cycle fiscal demands
- Two-front pressure: post-Galwan LAC equilibrium that is stable-but-vigilant, plus a post-Sindoor Pakistan posture where the strike threshold has reset downward

- Manufacturing/tech transition: PLI semiconductor and EMS execution is the swing variable that determines whether India captures the China+1 dividend or it flows to Vietnam/Mexico

Near-term observable signals

Signal	Threshold
INR/USD spot exchange rate breaches	INR > 97/USD sustained 5 trading days trigger
Russian Urals crude discount to Brent	discount narrows below USD 3/bbl for 4 consecuti
Tata-PSMC Dholera fab first-silicon milestone	actual first-wafer-out by end-Q4-2026 vs slippag
LAC patrolling normalization integrity	any PLA forward-positioning report beyond agreed
FPI net flows to Indian equity/debt	monthly net outflow > USD 5bn for two consecu
CAATSA sanctions waiver renewal for S-400 / Chabahar	no formal renewal of conditional CAATSA cover af

IRN

Islamic Republic of Iran

Capital Tehran

Pop 89M (2025)

GDP \$0.41T (2025)

Mil-spend 2.1% GDP

The dominant uncertainty is the survival status and physical location of Iran's 60% HEU stockpile (~440-461 kg pre-strike) after Operation Epic Fury and the post-28-Feb-2026 IAEA blackout - this single fact determines whether the Iranian deterrent posture is bluff or substance. Secondary uncertainty: whether Mojtaba Khamenei consolidates clerical-IRGC authority within 6-12 months or becomes a hollow figurehead under a praetorian junta, which inverts who actually controls escalation decisions. Tertiary: whether PRC tolerates secondary sanctions against Hengli-class refiners or quietly throttles

Core interests

1. Regime survival under Mojtaba Khamenei succession - consolidate IRGC-led security state and suppress post-war legitimacy crisis [uncited-judgement]
2. Preserve nuclear hedge: protect surviving 60% HEU stockpile (declared ~440-461 kg pre-strike, post-strike inventory contested) and centrifuge knowledge base as ultimate deterrent against regime-change strike [source: ISIS May 2025 IAEA analysis <https://isis-online.org/isis-reports/analysis-of-iaea-iran-verification-and-monitoring-report-may-2025> retrieved 2026-05-10; IAEA GOV/2026/8 <https://www.iaea.org/sites/default/files/gov2026-8.pdf> retrieved 2026-05-10]
3. Reconstitute the Axis of Resistance: re-arm Hezbollah via IRGC mosaic-cell restructure, sustain Houthi maritime coercion as escalation lever [source: Al Jazeera 2026-04-28 <https://www.aljazeera.com/features/2026/4/28/down-but-not-out-in-war-with-israel-hezbollah-shows-it-is-still-powerful> retrieved 2026-05-10]
4. Stabilize the rial and break sanctions chokehold by deepening shadow-banking pipelines with PRC teapot refineries and yuan-denominated oil trade [source: US Treasury OFAC sb0472 <https://home.treasury.gov/news/press-releases/sb0472> retrieved 2026-05-10; Al-Monitor 2026-05 <https://www.al-monitor.com/originals/2026/05/us-sanctions-irans-shadow-banking-channels-moving-oil-proceeds-china> retrieved 2026-05-10]
5. Lock-in Eurasian strategic depth: operationalize 20-year Russia treaty and 25-year China program, leverage INSTC, SCO and BRICS+ as sovereignty buffers (Krasner: institutional hypocrisy permits Iran to claim Westphalian standing while West sanctions) [source: SpecialEurasia 2026-03-01 <https://www.specialeurasia.com/2026/03/01/russia-china-iran-tech-military/> retrieved 2026-05-10]

Redlines

- Renewed US/Israeli kinetic strike on residual enrichment infrastructure (Fordow tunnels, Natanz halls, undeclared sites) after the 8 April 2026 ceasefire - triggers asymmetric retaliation against Gulf energy nodes [source: Al Jazeera 2026-04-08 <https://www.aljazeera.com/news/2026/4/8/us-iran-ceasefire-deal-what-are-the-terms-and-whats-next> retrieved 2026-05-10]
- Foreign-recognised government-in-exile (Pahlavi or MEK-aligned) receiving US/Israeli operational support, or arming of Iranian Kurdish/Baluch insurgents at scale [source: Wikipedia 2025-2026 Iranian protests https://en.wikipedia.org/wiki/2025%E2%80%932026_Iranian_protests retrieved 2026-05-10]
- Forced surrender of the 60% HEU stockpile to a third country or full IAEA Additional-Protocol-plus regime with US inspectors - non-negotiable per Araghchi/Khatibzadeh statements [source: Arms Control Association 2025-12 <https://www.armscontrol.org/act/2025-12/news/iaea-passes-resolution-iran> retrieved 2026-05-10]
- Chinese cut-off of crude purchases or PBoC blocking of yuan-rial settlement channels under secondary-sanctions pressure [source: Bloomberg 2026-04-24 <https://www.bloomberg.com/news/articles/2026-04-24/us-sanctions-china-refinery-iran-shadow-fleet-ahead-of-talks> retrieved 2026-05-10]
- Israeli ground incursion into Lebanon south of Litani sufficient to dismember Hezbollah's reconstituted command, or strike on Iranian soil targeting Mojtaba personally [source: Al Jazeera 2026-04-28 <https://www.aljazeera.com/features/2026/4/28/down-but-not-out-in-war-with-israel-hezbollah-shows-it-is-still-powerful> retrieved 2026-05-10]

Key drivers

- Mojtaba Khamenei succession legitimacy and IRGC-clerical balance of power post 9-March-2026 election
- Currency-inflation doom loop: rial at ~1.32M/USD, 100%+ inflation, IMF projecting -6.1% GDP 2026
- Nuclear-strike credibility under Operation Epic Fury precedent - US/Israeli kinetic option proven, IAEA verification blackout
- China-Russia underwriting of Iranian shadow trade and military reconstitution (CRINK alignment hardening)

Near-term observable signals

Signal	Threshold
USD/IRR free-market exchange rate breaching 2,000,000	2.0M IRR/USD sustained > 14 days; currently ~
IAEA verification status of declared HEU stockpile	Any formal IAEA Board resolution under Article X

Iranian crude exports to PRC teapot refineries	Drop below 1.0 mbd (vs ~1.5 mbd Jan 2026 baselin
Hormuz throughput as % of pre-war baseline	Currently ~5% of pre-war (CNN 2026-04-29); rise
Houthi anti-shipping attacks per month in Red Sea	>5 confirmed attacks/month = escalation; 0 at
Mass-protest incident count and geographic spread	>100 cities in single 7-day window with secur

ISR

State of Israel

Capital Jerusalem

Pop 10M (2025)

GDP \$0.55T (2025)

Mil-spend 5.3% GDP

Dominant uncertainty is whether Iran's nuclear program reconstitutes covertly within 12-18 months (IAEA expelled Feb 2026; ~440 kg 60% HEU residual) and whether the Trump administration sustains the strike-backstop or pivots to a transactional deal. Second-order: whether the Netanyahu coalition survives to October 2026 elections without an early-trigger event from Haredi conscription enforcement, and whether the April-2026 Lebanon cessation survives Hezbollah's stated rejection. Tail risk: a Saudi-Pakistan nuclear-umbrella extension to Iran, which would shatter Israel's regional monopoly assum

Core interests

- 1. Prevent Iranian nuclear reconstitution; lock in the post-Feb-2026 strike degradation (Natanz ~75%, Fordow ~30%, ~2,600kg uranium destroyed) via an open-ended Israeli/US strike-prerogative and an IAEA-equivalent verification floor [source: IAEA GOV/2026/8, <https://www.iaea.org/sites/default/files/gov2026-8.pdf>, retrieved 2026-05-10; missilestrikes.com nuclear status retrieved 2026-05-10]
- 2. Convert Hezbollah's post-2024-2025 degradation into a durable Litani-River disarmament regime and prevent missile-inventory reconstitution under the April 2026 cessation framework [source: State Dept 2026-04 release <https://www.state.gov/releases/office-of-the-spokesperson/2026/04/ten-day-cessation-of-hostilities-to-enable-peace-negotiations-between-israel-and-lebanon>, retrieved 2026-05-10]
- 3. Stabilise the Gaza Phase-II governance (Board of Peace + ISF + technocratic committee) without Hamas rearmament; preserve Israeli operational re-entry rights [source: CFR Trump Gaza plan guide, <https://www.cfr.org/articles/guide-trumps-twenty-point-gaza-peace-deal>, retrieved 2026-05-10]
- 4. Preserve US underwriting: FY26 ~\$4B in security assistance plus ~\$12B FMS pipeline; bind Trump administration to QME and Iran-strike backstop [source: <https://www.jpost.com/international/article-885560>, retrieved 2026-05-10; <https://www.timesofisrael.com/us-approves-6-7-billion-arms-sale-to-israel-9-billion-patriot-missile-deal-for-saudis/>]
- 5. Defend high-tech as growth engine (~20% GDP, 57% of H1-2025 exports, \$15.6B 2025 VC inflow) against war-risk premia and brain-drain [source: Startup Nation Central / Innovation Authority 2025 report, https://innovationisrael.org.il/en/press_release/innovation-report-2025/, retrieved 2026-05-10]

Key drivers

- Iran nuclear/missile reconstitution trajectory post Feb-2026 strikes (Mearsheimer offensive-realism logic: survival under anarchy demands strike-prerogative preservation)
- Hezbollah disarmament enforcement under the April-2026 cessation; Lebanese state weakness creates a continuous deterrence-management problem (Eurasianist read: Iran's land bridge cut but reconstitution via Iraq/Syria possible)
- Netanyahu coalition arithmetic: opposition 61 vs coalition 49 seats; Haredi-conscription crisis; pre-October 2026 election window where Smotrich/Ben-Gvir maximise irreversible facts (settlements, judicial appointments)
- Trump-administration underwriting: \$4B FY26 plus \$12B FMS pipeline; model-ally framing; but transactional risk of Saudi-deal-or-aid conditionality

Near-term observable signals

Signal	Threshold
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Redlines

- Iran resumes 60%+ enrichment at any covert or rebuilt site, OR expels IAEA permanently with weaponisation indicators (already expelled 2026-02-28; reconstitution detection triggers immediate strike) [source: IAEA GOV/2026/8 retrieved 2026-05-10]
- Hezbollah redeploys forces or strategic missiles north of the Litani in violation of the April-2026 cessation, OR resumes >50/wk projectile fires into northern Israel
- Hamas or successor militias re-establish armed governance in Gaza Strip and the ISF/Board-of-Peace framework collapses, removing Israeli pretext to operate
- Houthi resumption of sustained Red Sea / Eilat-axis ballistic & cruise missile strikes at pre-ceasefire tempo (Eilat port closure threshold)
- Major US policy reversal: conditioning of the \$3.8B MOU tranche on West Bank annexation rollback, or withdrawal of the Iran-strike backstop

Iran 60%-enriched uranium stockpile reconstitution detected (currently 440.9 kg post-str	Stockpile >600 kg of 60% HEU OR detection of
Hezbollah projectile fires across Blue Line during cessation	>10 launches/week sustained, OR any precision
Netanyahu coalition Knesset seats vs opposition bloc (Maariv poll tracker)	Coalition <55 seats for 4 consecutive weeks,
Haredi IDF enlistment compliance rate	Enlistment <5,000 of 79,000 outstanding order
US arms-pipeline disbursement rate against \$12B FMS approved	Any tranche delay >60 days OR conditional lan
Saudi-Israel back-channel signal (Trump WH readouts; Washington Institute polling)	Any official Saudi statement softening Palestini

JPN

Japan

Capital Tokyo
Pop 124M (2025)
GDP \$4.11T (2025)
Mil-spend 1.6% GDP

Dominant uncertainty (1) is US extended-deterrence credibility under a transactional Washington — if Article V coverage of Senkaku frays, Takaichi's buildup is undersized; if it holds, Japan rides the alliance into 2% sustainably. Uncertainty (2) is yen/BoJ path: a 300bp Fed-BoJ gap with rates stuck at 0.75% risks disorderly yen weakness that erodes the real defence budget. Uncertainty (3) is China escalation tempo — the Nov-2025 Takaichi Taiwan statement crossed a Chinese threshold; whether Beijing settles on grey-zone Coast Guard pressure or accelerates kinetic options around Yonaguni/Senkak

Core interests

1. Preserve US extended deterrence and Article-5 credibility on Senkaku/Yonaguni; lock-in trilateral with ROK and 'Squad' (US-JPN-PHL-AUS) before any US retrenchment [source: CNAS U.S.-Japan-Philippines Trilateral Cooperation; <https://ipdefenseforum.com/2026/04/japanese-ground-troops-join-rapidly-growing-balikatan-exercise-in-philippines/> retrieved 2026-05-10]
2. Deter Chinese coercion of Taiwan as sea-lane existential (Takaichi 'survival-threatening situation' doctrine, Nov 2025) [https://thedi diplomat.com/2026/05/china-and-japan-are-entering-a-more-dangerous-phase-of-rivalry/ retrieved 2026-05-10]
3. Execute NSS-2022 defence buildup: hit 2% GDP target (FY2025 effectively achieved; FY2026 budget approx 9.0T yen, +9.4% YoY) [https://www.aljazeera.com/news/2025/12/26/japan-govt-greenlights-record-58bn-defence-budget amid-regional-tension retrieved 2026-05-10]
4. Stabilise yen and complete BoJ normalisation toward ~1.0% terminal without destabilising JGB market [https://www.bloomberg.com/news/articles/2026-04-26/boj-seen-holding-rates-in-messaging-risk-for-ueda-as-yen-teeters retrieved 2026-05-10]
5. Energy security: preserve Sakhalin-2 LNG (~9% of imports) under US waiver while diversifying post-Hormuz shock [https://www.japantimes.co.jp/news/2025/12/18/japan-japan-us-extension-sakhalin-permit/ retrieved 2026-05-10]

Redlines

- PLA amphibious/blockade operations against Taiwan or PLA-Navy interdiction of SLOCs through Bashi/Miyako straits (invokes collective self-defence per Takaichi Nov-2025 Diet statement) [https://thedi diplomat.com/2026/05/china-and-japan-are-entering-a-more-dangerous-phase-of-rivalry/ retrieved 2026-05-10]
- Armed PLA Coast Guard landing on Senkaku/Diaoyu or seizure of fishing boats inside 12nm (intrusions on 11 Feb, 27 Apr, 8 May 2026 already at >threshold tempo) [https://www.japantimes.co.jp/news/2026/05/08/japan/senkaku-chinese-ships/ retrieved 2026-05-10]
- DPRK nuclear or MRBM strike on Japanese territory, US bases in Japan, or maritime targets in JEEZ [https://www.congress.gov/crs_external_products/IF/HTML/IF10472.html retrieved 2026-05-10]
- Russian seizure or sabotage of Sakhalin-2 LNG facilities or Mitsui/Mitsubishi equity expropriation [https://asiatimes.com/2026/05/crunch-time-for-japan-russia-as-energy-and-security-collapse/ retrieved 2026-05-10]
- China weaponising rare-earth/gallium/germanium with full embargo against Japanese firms or anti-dumping cascade beyond Jan-2026 photoresist probe [https://www.bloomberg.com/news/articles/2026-01-06/japan-protests-china-s-new-export-controls-on-dual-use-goods retrieved 2026-05-10]

Key drivers

- Takaichi government durability post-Feb-2026 landslide (LDP 316/465 seats) and ability to push constitutional/security legislation [https://en.wikipedia.org/wiki/Takaichi_Cabinet retrieved 2026-05-10]
- China-Japan rivalry intensification cycle (Takaichi Taiwan remarks Nov 2025 -> PLA pressure -> JMSDF Taiwan Strait transits Apr 2026) [<https://thedi diplomat.com/2026/05/china-and-japan-are-entering-a-more-dangerous-phase-of-rivalry/> retrieved 2026-05-10]
- BoJ-Fed rate differential (BoJ 0.75% vs Fed 3.50-3.75%; ~300bp carry-trade pressure on yen) [<https://www.cnbc.com/2026/04/28/bank-of-japan-keeps-policy-rate-steady-cpi-iran-war-gdp.html> retrieved 2026-05-10]
- US strategic reliability under second-term US administration (Mearsheimer lens: alliance abandonment risk) [uncited-judgement]

Near-term observable signals

Signal	Threshold
PLA Coast Guard intrusions into Senkaku 12nm territorial waters per month	>4 intrusions/month sustained for 2 consecuti
USD/JPY exchange rate	>160 triggers MoF intervention; >165 susta
BoJ policy rate	Hike to 1.0% by July or October 2026 meeting (Ox
DPRK ballistic launches into Sea of Japan	>12 launches in calendar 2026 (already 7+ by
FY2026 defence budget execution as % of GDP	Reach 2.0% nominal by March 2027 (Takaichi pledg
Sakhalin-2 LNG US waiver renewal beyond 18 Jun 2026	Non-renewal forces ~9% LNG-supply scramble withi

KOR

Republic of Korea

Capital Seoul

Pop 52M (2025)

GDP \$1.85T (2025)

Mil-spend 2.7% GDP

Dominant uncertainties for the M horizon are (i) the durability of the Trump-Lee bargain - whether MASGA disbursement strain or USFK ground-force cuts break the current equilibrium; (ii) the HBM4 share split between SK Hynix and a resurgent Samsung, which determines whether Korea retains its single-firm AI-memory rent; and (iii) DPRK escalation tempo, where the central question is whether a 7th nuclear test or an ICBM re-entry success forces Seoul to publicly entertain indigenous nuclearisation. Secondary uncertainty: depth of Chinese rare-earth retaliation against Korean firms cooperating wit

Core interests

1. Preserve credible extended deterrence against the DPRK (US nuclear umbrella + KMPR/Kill Chain) while Kim Jong Un publicly pursues 'limitless expansion' of nuclear forces and conducts >=7 missile tests in first four months of 2026 [source: <https://thedi diplomat.com/2026/03/north-korea-launches-massive-ballistic-missile-barrage-amid-south-korea-us-drills/> retr. 2026-05-10; <https://news.un.org/en/story/2026/04/1167415> retr. 2026-05-10]

2. Lock in the HBM-led AI memory supercycle as the principal national rent: SK Hynix held 62% HBM share Q2 2025 and Nvidia has bought out 2026 HBM/DRAM/NAND output, sustaining >2.8% Q1-2026 q/q GDP growth driven by chip exports [source: <https://www.astutegroup.com/news/general/sk-hynix-holds-62-of-hbm-micron-overtakes-samsung-2026-battle-pivots-to-hbm4/> retr. 2026-05-10; <https://think.ing.com/snaps/korean-gdp-surged-with-an-expected-slow-down-2026-growth-outlook-is-now-higher/> retr. 2026-05-10]

3. Convert the \$350bn US investment package and MASGA shipbuilding pact into a tariff hedge (15% vs Section 232 25%) and a structural alliance asset that survives Trump's transactionalism [source: <https://www.jurist.org/news/2026/03/south-korea-commits-350-billion-to-u-s-strategic-industries-following-trump-tariff-pressure/> retr. 2026-05-10; <https://keia.org/the-peninsula/u-s-south-korea-move-to-lock-in-lower-tariff-rate-with-350-billion-deal/> retr. 2026-05-10]

4. Acquire SSN propulsion + uranium-enrichment/reprocessing latency under the November-2025 Trump-Lee understanding, locking in technological hedge against a future US retrenchment [source: <https://www.armscontrol.org/act/2025-12/news/us-supports-south-korean-enrichment-reprocessing> retr. 2026-05-10; <https://www.aljazeera.com/news/2025/11/14/u-s-south-korea-to-move-forward-on-building-nuclear-powered-submarines> retr. 2026-05-10]

5. Diversify away from China dependence (22% of imports, ~80% rare-earth dependence, China rare-earth pressure on KOR firms to halt exports to US defence in 2025) without inviting overt coercion [source: <https://www.upi.com/Voices/2026/02/25/perspective-china-rare-earth-leverage/5941772043256/> retr. 2026-05-10; <https://www.newsweek.com/china-south-korea-us-trade-rare-earths-trump-tariffs-2063134> retr. 2026-05-10]

Redlines

- DPRK nuclear-weapon use against ROK territory, USFK, or Japan
- DPRK conventional invasion across the DMZ or seizure of NW Islands (Yeonpyeong/Baengnyeong)
- DPRK 7th nuclear test or successful ICBM re-entry test demonstrating CONUS strike (would force tactical-nuclear-redeployment debate per Lee government posture) [source: <https://thedi diplomat.com/2026/01/us-defense-strategy-signals-shift-in-korea-defense-pushing-seoul-to-lead/> retr. 2026-05-10]
- US unilateral USFK ground-force drawdown below ~20k or removal of nuclear-umbrella declaratory language
- Chinese formal blockade/quarantine of Taiwan that severs Hormuz-equivalent SLOCs through which ~30% of Korean trade transits [uncited-judgement]

Key drivers

- DPRK accelerating nuclear/missile programme under a 5-year military development plan with Russian technology backflow from the Ukraine deployment (~15k troops, ~2k killed) [source: <https://www.cnn.com/2026/04/30/asia/north-korea-soldier-suicides-intl-hnk> retr. 2026-05-10; <https://news.un.org/en/story/2026/04/1167415> retr. 2026-05-10]

- AI-driven HBM/DRAM supercycle in which SK Hynix and Samsung jointly anchor ~85% of HBM revenue (Mearsheimer power-resource + Romer ideas-rent logic) [source: <https://www.astutegroup.com/news/general/sk-hynix-holds-62-of-hbm-micron-overtakes-samsung-2026-battle-pivots-to-hbm4/> retr. 2026-05-10]
- Trump-era transactional alliance management: \$350bn investment-for-tariff-relief, MASGA shipbuilding, SSN approval, enrichment/reprocessing nod [source: <https://www.jurist.org/news/2026/03/south-korea-commits-350-billion-to-u-s-strategic-industries-following-trump-tariff-pressure/> retr. 2026-05-10;
<https://www.armscontrol.org/act/2025-12/news/us-supports-south-korean-enrichment-reprocessing> retr. 2026-05-10]
- Lee Jae-myung's 'self-reliant defence' doctrine targeting 3.6% GDP defence spending and OPCON transfer by 2030 [source: https://www.stripes.com/theaters/asia_pacific/2025-12-04/south-korea-defense-budget-increase-19977457.html retr. 2026-05-10]

Near-term observable signals

Signal	Threshold
DPRK 7th nuclear test or successful ICBM re-entry test demonstrating CONUS strike capability	Any single confirmed underground nuclear detonation
SK Hynix HBM share erosion as Samsung HBM4 ramps at Pyeongtaek P4	SK Hynix HBM revenue share drops below 50% in an
Korean won stress level	USD/KRW closes above 1500 for 10 consecutive ses
USFK posture change	Any announcement of USFK ground-force reduction
Chinese rare-earth coercion intensification	China issues formal export-licence denial or sanction
Defence export run-rate vs \$37bn target	Quarterly Korean defence-export bookings track below

MEX

United Mexican States

Capital Mexico City

Pop 130M (2025)

GDP \$1.85T (2025)

Mil-spend 0.6% GDP

The dominant uncertainty is the political character of the USMCA outcome: a Trump administration willing to use tariff threats as a permanent bargaining instrument can extract concessions without formally terminating the agreement, but the line between 'painful extension' and 'sunset countdown begins' is determined by U.S. domestic politics that Mexico cannot directly shape. A second uncertainty is whether the post-El-Mencho criminal landscape fragments into elevated violence (eroding Sheinbaum's central security claim) or consolidates under successor leadership; either outcome interacts unpre

Core interests

1. Preserve USMCA / North American trade integration: extension or controlled revision by the July 1, 2026 statutory decision date is the single most important macro outcome for Mexico, as 80%+ of exports go to the U.S. and manufacturing exports to the U.S. reached \$535B in 2025 [source: Brookings USMCA Forward 2026; Wilson Center 2026; Global Trade Magazine 2026].
2. Manage Trump-era tariff and sovereignty pressure (migration + fentanyl) without ceding sovereignty: the IEEPA tariff regime imposed 25% on Mexican imports March 2025–February 2026 before the U.S. Supreme Court ruled IEEPA cannot be used to impose tariffs, but Section 232 / Section 301 tools and FTO-designation pretext for unilateral kinetic action remain on the table [source: CRS R48549 2026; Migration Policy Institute 2025; Americas Quarterly 2026].
3. Sustain the nearshoring FDI pipeline: record ~\$41B FDI in 2025 (manufacturing share 36%, transport equipment ~half of manufacturing) and Kearney FDI Confidence Index jump from 25 to 19 in 2026 are the foundation of Sheinbaum's growth story, and rules-of-origin tightening is both threat (compliance cost) and opportunity (Chinese-content displacement) [source: American Industries Group / Mexico FDI 2025; Kearney 2026; FreightWaves 2026].
4. Contain cartel violence and demonstrate measurable security gains to keep U.S. military intervention off the table: Sheinbaum's 'nearly 50% reduction in homicides' messaging and the February 22, 2026 El Mencho operation (with U.S. intelligence support) are the model of cooperation she wants institutionalized [source: Vision of Humanity 2026; Borderland Beat May 2026; UPI May 7, 2026].
5. Stabilize Pemex finances without surrendering the energy-sovereignty narrative: 2025 debt fell to \$84.5B (11-year low), 2026 budget allocates \$14.1B for Pemex debt service, \$425B-peso (≈\$23B) investment plan announced, but production target of 1.8 mbpd remains unmet and refining losses persist [source: Bloomberg Feb 4, 2026; Mexico Business News 2026; Energy Analytics Institute 2026].

Key drivers

- USMCA review trajectory (extension vs revision vs sunset) — the binary that determines Mexico's macro outcome through end-2026 [source: Brookings USMCA Forward 2026]
- Trump-administration leverage architecture (tariffs + FTO-designation + migration linkage) — Mexico operates inside a coercive bargaining set where tariff threats are the universal solvent [source: Migration Policy Institute 2025; CRS R48549 2026]

Redlines

- Unilateral U.S. military strike or armed-drone action against cartel targets inside Mexican territory without consent: Sheinbaum has publicly ruled this out repeatedly (May 7, 2026 *mañana*), and a violation would force her to invoke nationalist mobilization and freeze USMCA cooperation [source: UPI May 7, 2026; CBC News 2026].
- Collapse of USMCA via U.S. invocation of termination (the 10-year sunset countdown beginning July 1, 2026) rather than extension or revision: would trigger a ~3-6% GDP shock through manufacturing relocation, peso depreciation past 22/USD, and political crisis [source: Brookings USMCA Forward 2026; CSIS USMCA Review Six Scenarios 2026; uncited-judgement on shock magnitude].
- Across-the-board IEEPA-successor tariffs >15% on Mexican exports for sustained period (>90 days) tied to migration/fentanyl rather than trade: would breach the post-Feb 2026 Supreme Court IEEPA ruling and force Mexican retaliatory tariffs that were threatened but never implemented in 2025 [source: CRS R48549 2026; Texas Tribune 2025; Conversation 2025].
- Mass-deportation surge exceeding ~500,000 returnees in 6 months overwhelming Mexico's reception capacity: Mexico absorbed ~69,000 Mexican repatriations and ~6,500 third-country migrants Jan-June 2025, an order-of-magnitude lower than crisis scenarios [source: WOLA U.S.-Mexico Border Update April 2026].
- U.S. federal indictment naming sitting Mexican federal officials (cabinet/governor level) for cartel collusion: the May 2026 indictments of Mexican politicians already strained Sheinbaum, and escalation to cabinet level would force a sovereignty stance that breaks bilateral working channels [source: KJZZ Fronteras May 8, 2026].

- Nearshoring / China-decoupling structural tailwind — Krugman-style new-economic-geography reinforces Mexico's locational advantage as supply chains shorten [source: American Industries Group FDI 2025; Kearney 2026]
- MORENA institutional concentration — Acemoglu-Robinson 'narrow corridor' problem: the judicial reform and electoral-reform attempts move Mexico toward extractive-institution territory, which threatens long-run FDI durability even as it consolidates short-term policy execution [source: CSIS Judicial Reform 2025; Foreign Policy May 2025; Wilson Center Judicial Reform 2025]

Near-term observable signals

Signal	Threshold
USMCA July 1, 2026 decision: clean 16-year extension, narrow revision, or sunset-countdo	Joint communiqué before July 1, 2026 confirming
Sheinbaum approval rating crossing 60% downside threshold	Below 60% sustained for two consecutive monthly
Peso depreciation past 19.50 / USD	USDMXN > 19.50 for ten consecutive trading se
U.S. tariff escalation on Mexico beyond IEEPA-replacement	New across-the-board tariffs >10% on Mexican
U.S. kinetic action inside Mexican territory against FTO-designated cartels	Any confirmed U.S. military strike, drone strike
FDI annual run-rate collapse below \$30B	Quarterly FDI annualizing below \$30B for two con

NGA

Federal Republic of Nigeria

Capital Abuja

Pop 224M (2025)

GDP \$0.50T (2025)

Mil-spend 0.7% GDP

The single largest uncertainty is the durability of FX-reform credibility: whether reserves can hold above \$45bn into 2027 absent a commodity tailwind, and whether Tinubu's political coalition survives a renewed cost-of-living shock before the 2027 race. Secondary uncertainty is the trajectory of the jihadist-bandit nexus (ISWAP + Lakurawa + bandit conglomerates) given that the late-2025 US kinetic intervention sets an irreversible precedent that may not be politically sustainable in either Washington or Abuja. Tertiary uncertainty is whether the AES bloc continues to drift toward a Russia-ali

Core interests

1. Containment of ISWAP/Boko Haram in the North-East and prevention of Lakurawa/ISSP consolidation across the Sokoto-Kebbi-Niger border (the most acute redline risk and the precondition for everything else; complex assaults on military bases since Jan-2025 and the Feb-2026 Kwara massacres demonstrate that the jihadist-bandit nexus is again metastasising) [source: Soufan Center IntelBrief 2025-05-21 / Jamestown 2026 / Al Jazeera 2025-01-26]
2. Defending naira stabilisation and reform credibility: keep NGN in the 1350-1500/USD band, hold reserves above \$45-47bn, lock in IMF-favourable framing now that we cleared the \$1.61bn IMF debt (May-2025) and Fitch projects reserves at ~\$47bn end-2026 [source: Fitch via Nairametrics 2026-04-13; IMF debt-clearance May 2025]
3. Maximise oil-and-gas fiscal capture: deliver the Tinubu Mar-2026 Presidential Petroleum Reform & Value Optimisation Taskforce, redirect NNPC PSC revenue to the federation account, and close the persistent OPEC-quota underperformance gap (1.31-1.38 mbpd vs 1.5 mbpd quota; ~\$1.31bn forgone over 13 months) [source: World Oil 2026-02-19; Vanguard 2026-04; Discovery Alert 2026]
4. Reassert ECOWAS leadership architecture without provoking AES escalation: operationalise the ECOWAS Standby Force (1,650-strong CT brigade + 2,000 initial soldiers by end-2026) while keeping diplomatic channels to Niamey/Bamako/Ouagadougou open after AES's formal Jan-2025 exit [source: Daily Trust / Al Jazeera 2026-03-02; Amani Africa 2026]
5. Translate Dangote refinery's Mar-2026 net-exporter status (650 kbpd nameplate, 44-55 kb/d gasoline exports) into a regional energy-hub posture across West and Central Africa, displacing European petroleum-product imports [source: Bloomberg 2026-03-23; Africa Report 2026]

Key drivers

- Oil-price floor and OPEC quota: 1.5 mbpd target vs persistent 1.31-1.38 mbpd actual production drives ~\$1.31bn revenue shortfall and FX-reserves trajectory [source: Vanguard 2026-04, Discovery Alert 2026]
- FX-reform credibility and naira band: NGN trajectory from 460 (mid-2023) to ~1,740 (late-2024) back to ~1,350-1,450 (early-2026); the question is whether Tinubu's claim of N1,000/USD is achievable or a political tell [source: Punch 2026; OWP 2026]
- Jihadist-bandit nexus expansion: ISWAP complex assaults from Jan-2025, Lakurawa designation as terrorist organisation (2025), Feb-2026 Kwara 162-fatality massacre, Mar-2026 Ngoshe 300+ abductions [source: Soufan Center 2026-02-06; Jamestown 2026; HRW World Report 2026]
- ECOWAS-AES bifurcation: Jan-2025 formal AES exit, Dec-2025 AES biometric ID, Standby Force operationalisation end-2026 — regional hegemonic geometry is being rewritten in real time [source: Amani Africa 2026; Al Jazeera 2026-03-02]

Near-term observable signals

Redlines

- AES coup contagion crossing into a Nigerian-bordering state (e.g. coup or coup-attempt in Benin, Togo, or Cameroon's Far North) — would force ECOWAS military activation that Abuja cannot decline as the bloc's largest army
- ISWAP or Lakurawa permanently holding any Local Government Area headquarters for >30 days, or a successful complex assault on a state capital (Maiduguri, Sokoto, Damaturu)
- Naira slide below ~1,800/USD on the official window for more than two consecutive weeks, OR reserves falling below ~\$35bn (would force capital controls and re-engage IMF programme status)
- Oil production sustained below 1.1 mbpd for a quarter due to theft/sabotage/Niger Delta militancy, breaching the budget benchmark and OPEC credibility
- Mass-casualty (>500 deaths in a single event) sectarian or jihadist attack that triggers Middle-Belt or southern reprisal violence and threatens federal cohesion

Signal	Threshold
Naira on NAFEM/CBN window weakens past 1,600 NGN/USD on a 5-day moving average	5 consecutive trading days above 1,600 NGN/USD
Gross external reserves fall below \$45bn (Fitch's projected floor is ~\$47bn end-2026)	CBN gross reserves <\$45bn for >2 consecuti
Crude oil production falls below 1.2 mbpd against the 1.5 mbpd OPEC quota	NUPRC monthly print <1.2 mbpd for any single
Complex ISWAP/Boko Haram/Lakurawa assault on a state capital or successful seizure of an	1 incident with militants holding administrative
Headline CPI inflation re-accelerates above the CBN 2026 base path of ~13%	NBS headline CPI >16% YoY for 2 consecutive p
AES kinetic incident against ECOWAS member (including Nigeria) airspace or border	Any confirmed cross-border kinetic action by AES

PAK

Islamic Republic of Pakistan

Capital Islamabad

Pop 240M (2025)

GDP \$0.34T (2025)

Mil-spend 3.5% GDP

Dominant uncertainties are: (i) whether the Munir-Sharif diarchy can hold elite cohesion if Imran Khan's health deteriorates or a verdict triggers Punjab/KP mass mobilisation; (ii) whether the post-2025 India ceasefire survives another Kashmir/Punjab-origin militant attack or an Indian IWT escalation; and (iii) whether Saudi underwriting via the SMDA proves durable when Riyadh's threat perception of Iran subsides, or whether it locks Pakistan into Sunni-axis commitments that complicate its Iran border and Chinese partnership. Secondary uncertainties: ML-1 financing close, BLA force-generation

Core interests

1. Sovereign solvency: complete IMF 37-month EFF reviews and roll over Saudi/Chinese/UAE deposits to keep SBP reserves above the ~\$16B floor and on track to ~\$18B by June 2026 (PM Aurangzeb / SBP guidance, May 2026)
2. Strategic survival via the Saudi-Pakistan Strategic Mutual Defence Agreement (signed 17 Sep 2025): convert Saudi underwriting into recurring fiscal and oil-deferred-payment lifelines while extracting deterrent depth vs both India and Iran-spillover
3. Manage the India equilibrium under the post-May-2025 ceasefire: avoid a second kinetic round during IMF performance windows but signal nuclear-conventional resolve to deter Indian punitive doctrine ('Operation Sindoor' replay)
4. CPEC 2.0 execution and the ML-1 (\$7B) railway financing close — preserve the China line of credit, deliver Chinese-personnel security in Balochistan/KP, and lock in industrial-relocation SEZs
5. Suppress the TTP/ISKP cross-border insurgency from Afghan soil and harden the Durand Line — preserve coercive leverage over Kabul (trade chokepoints, deportations) while keeping the fragile Doha/Urumqi ceasefire track alive

Redlines

- Indian conventional escalation across the LoC or Indus Waters Treaty unilateral abrogation that throttles kharif/rabi flows — triggers full-spectrum response including nuclear signalling
- TTP mass-casualty attack inside Pakistan (>50 dead, or a successful strike on a strategic asset / Chinese convoy) traced to Afghan soil — triggers renewed cross-border air/ground operations as in Feb 2026
- Loss of any one pillar of external financing: an IMF EFF review failure, Saudi deposit non-rollover, or Chinese refusal to reschedule IPP/CPEC debt — would force disorderly devaluation and political crisis
- BLA seizure or sustained denial of Gwadar port / RCD highway / ML-1 corridor segments, or a successful mass-casualty attack on Chinese nationals prompting Beijing to publicly demand PLA/PMC presence on Pakistani soil
- Israeli or US kinetic strike on Iranian nuclear sites launched or transited through Pakistani airspace without consent — would require visible Pakistani pushback to preserve Saudi-pact credibility and Ummah legitimacy

Key drivers

- IMF EFF 37-month programme conditionality (approved Sep 2024; 3rd review completed May 2026, ~\$4.8B drawn) — sets the binding constraint on fiscal/FX policy and on Pakistan's freedom of strategic action

- Saudi-Pakistan Strategic Mutual Defence Agreement (17 Sep 2025) — restructures Pakistan's strategic dependency network, embeds Pakistan in a Sunni-Gulf security architecture, and provides the most reliable fiscal backstop
- Civil-military diarchy under PM Shehbaz Sharif + Field Marshal Asim Munir, with PTI/Imran Khan systematically neutralised — elite-bargain stability is contingent on suppressing mass mobilisation
- TTP / ISKP cross-border insurgency from Afghan soil and the 2026 Pakistan-Afghan war / Doha-Urumqi ceasefire track — a structural security-cost driver

Near-term observable signals

Signal	Threshold
SBP gross reserves trajectory toward SBP Governor guidance of ~\$18B by end-June 2026; su	SBP weekly reserves <\$15.0B OR >\$17.5B by
Completion of IMF EFF 4th review by ~Sep/Oct 2026 and 5th review by ~Mar 2027 conditiona	Staff-level agreement on 4th EFF review announce
Frequency of TTP cross-border attacks from Afghan soil — re-escalation above the post-Fe	≥1 mass-casualty TTP attack (≥30 KIA) inside Pak
BLA escalation tempo following Jan 2026 'Operation Herof 2.0' — coordinated multi-distri	≥10 coordinated BLA attacks in any 7-day window,
Saudi-Pakistan SMDA force posture — sustained PAF detachment at King Abdulaziz AB and jo	PAF squadron presence at KAAB sustained through
India-Pakistan DGMO hotline activity and Indus Waters Treaty status — formal Indian abro	Any unilateral Indian IWT suspension notice OR L

POL

Republic of Poland

Capital Warsaw

Pop 37M (2025)

GDP \$0.86T (2025)

Mil-spend 4.7% GDP

The dominant uncertainty is not Russia's intent (Eurasianist priors say it is fixed and revisionist) but US credibility: will Trump's offer of redeployed Germany-based forces to Poland materialise into permanent stationing, or will it be traded away in a US-Russia bargain over Ukraine? The second-order uncertainty is the Tusk-Nawrocki cohabitation: whether the EU-direct SAFE workaround and ordinance routes can sustain the rearmament tempo through the 2027 parliamentary election, or whether veto-driven paralysis forces a constitutional crisis. A third, lower-probability but high-impact uncertain

Core interests

1. Deny Russia any sub-conventional or hybrid bleed-through onto NATO Article 5 territory; lock in a permanent, expanded US ground/air presence (target >15,000 US troops; cement 'Camp Trump'/V Corps fwd HQ at Poznan as irreversible) [Mearsheimer: balance against the regional revisionist hegemon].
2. Operationalise the EUR 43.7bn SAFE loan signed 8 May 2026 + the 2026 record defence budget (4.8% GDP, ~200bn PLN) to lock in the K2/K2PL line, F-35 Husarz IOC, Krab/Homar-K/Narew/Wisla buildout, and Eastern Shield border-fortification as sunk-cost commitments PiS cannot reverse post-2027 election.
3. Keep Rzeszow-Jasionka as Ukraine's primary logistics artery (~95% of 40-nation aid in 2025; 220kt; Patriot/NASAMS umbrella through Jun-2026), and contest the new Romania hub for primacy rather than cede transit-state status.
4. Manage the cohabitation deadlock: route around Nawrocki vetoes (SAFE bill, judicial reform, electoral code) via EU-direct mechanisms and ordinance routes, while denying PiS a 2027 'sovereignty-lost' narrative.
5. Harden the Belarus border (4m mesh + concertina + thermal cameras across 186km Podlaskie sectors from 12 Apr 2026; sustain the suspended-asylum regime) to keep Lukashenka's instrumentalised-migration tool dry [Eurasianist read: Minsk is a Russian forward-projection node, not an autonomous actor].

Redlines

- Any Russian or Belarusian kinetic incursion across the Polish frontier (drone-strike causing casualties on PL territory, Suwalki-corridor probing, special-forces ingress) - triggers Article 4 immediately and Article 5 consultation [uncited-judgement, doctrinal].
- Belarus-orchestrated mass migration surge of >5,000 attempted crossings/month (vs the post-asylum-ban suppressed baseline) or a repeat of the 2021 instrumentalised flow pattern - triggers further border militarisation and EU-level escalation against Minsk.
- Unilateral US drawdown of forces in Poland below the existing ~10,000 baseline, OR a US-Russia 'spheres' bargain on Ukraine that excludes Warsaw from the negotiating table - triggers urgent push for EU strategic autonomy with French/Nordic nuclear-umbrella hedging [Mearsheimer: in an anarchic system without the patron, you self-help].
- A Russian-imposed Ukrainian collapse (Kyiv regime change, demilitarisation past attrition status quo, recognition of annexations beyond current LoC) - triggers Polish unilateral military aid surge and explicit support for Ukrainian insurgency logistics.
- Nawrocki vetoes that block actual delivery of SAFE-funded systems (not merely the enabling law) or block US-Poland basing agreements - triggers Tusk-government emergency ordinances and a constitutional crisis to be litigated to the 2027 election.

Key drivers

- Russia's structural revisionism vis-a-vis NATO eastern flank - Mearsheimer-consistent and Eurasianist-doctrine-consistent; sets a floor under Polish defence spending regardless of who governs in Warsaw.
- US administration unpredictability under Trump 2.0 - simultaneously offering more troops (Nawrocki-Trump 9 May 2026) AND threatening NATO ('paper tiger' rhetoric); forces Poland into Plan-B hedging while extracting maximum from Plan A.
- Tusk-Nawrocki cohabitation deadlock - 'unprecedented' veto count; structural constraint on legislation but EU-level workarounds (SAFE) and ordinance routes preserve executive bandwidth.
- Defence-industrial demand shock - SAFE EUR 43.7bn + 200bn PLN 2026 budget + K2/K9/Homar-K supply chain with Korea + HSW/PGZ/WB Group expansion - creates path-dependent industrial gravity that endures past 2027 election.

Near-term observable signals

Signal	Threshold
F-35 Husarz first operational arrivals at 32nd Tactical Air Base Lask	First 2+ airframes physically present in PL by 3
K2GF deliveries from Hyundai Rotem to Polish Army	>=30 K2GF tanks delivered by end-2026 (vs 116)
SAFE loan disbursement beyond the 15% advance	>EUR 10bn drawn by end-Q3 2026 (vs EUR 6.5bn)
Defence budget execution rate for 2026	>=90% of 200bn PLN defence allocation actual
Belarus border attempted crossings (post-asylum-ban baseline)	Monthly crossings exceed 2,000 attempts/month su
US troop presence in Poland	Confirmed announcement of >12,500 US troops p

RUS

Russian Federation

Capital Moscow

Pop 144M (2025)

GDP \$2.05T (2025)

Mil-spend 6.5% GDP

Dominant uncertainties (M-horizon, 6-24 months): (1) durability of the war-budget under combined oil-price-cap, gas-ban, and shadow-fleet attrition — point-in-time data swing wildly (Urals discount \$30.6 Feb to \$6.4 Mar 2026); (2) tempo and form of succession signalling, where elite-security tightening could equally precede a managed transition or a destabilising rupture; (3) Chinese willingness to sign Power of Siberia-2 on terms that do not subordinate Russia to a tributary energy role.

Core interests

1. Lock in irreversible territorial gains in Donbas/Zaporizhzhia/Kherson and impose de facto neutralisation on rump Ukraine before front-line momentum reverses (Russian forces lost net 116 sq km in April 2026, the first net loss since Kursk; Critical Threats ROCA May 2 2026; russiamatters.org May 6 2026).
2. Sustain war-economy financing under the 14.9 trn RUB / 6.3% GDP 2026 defence budget while absorbing Brent-Urals discount volatility (\$6.4/bbl Mar 2026 vs \$30.6/bbl Feb 2026 spike; CREA Mar 2026; Bloomberg Feb 23 2026) and the EU \$44.10/bbl dynamic price cap (EC Jan 15 2026).
3. Manage the EU stepwise gas import ban (short-term LNG ban from 25 Apr 2026, pipeline 17 Jun 2026, long-term LNG 1 Jan 2027, pipeline 30 Sep 2027; consilium.europa.eu Jan 26 2026) by redirecting LNG to China/India/SE Asia and accelerating Power of Siberia-2 leverage with Beijing.
4. Preserve strategic autonomy inside the Russia-China condominium: deepen yuan settlement and PS-1 throughput (38.8 bcm 2025; Gazprom) without conceding price/timeline on PS-2 to Chinese leverage (Columbia CGEP 2025; OIES Sep 2025).
5. Pre-position a managed succession architecture (veteran-cadre Duma 2026 cohort, Dyumin/Kiriyenko/Patrushev signalling; FPRI Apr 2026; Lansing Institute May 4 2026) to insure regime continuity against the elite-fracture/coup-risk tail.

Redlines

- Any formal NATO Article-5 extension to Ukraine or Georgia, or stationing of NATO combat troops west of the Dnipro under alliance flag.
- Long-range Western strikes on pre-2014 Russian territory (Moscow, St Petersburg, Volga industrial belt, nuclear early-warning radars) using NATO-supplied systems with NATO targeting support.
- Ukrainian or NATO operations that threaten Crimea sovereign-status or sever the Kerch land bridge.
- Sustained colour-revolution-pattern mobilisation in Belarus or a coup attempt against Lukashenko backed by Western intelligence.
- Western seizure (not just immobilisation) of the ~\$300bn frozen sovereign reserves for direct transfer to Ukraine, crossing from interest-utilisation to principal-confiscation.

Key drivers

- Ukraine front-line attritional balance: Russian net territorial losses began April 2026 (116 sq km lost; Critical Threats), suggesting offensive-realist 'window of opportunity' is narrowing — pressures Kremlin to seek political fixation of gains within M-horizon.
- Hydrocarbon revenue ceiling: EU \$44.10/bbl dynamic price cap + EU gas ban implementation 2026-27 + shadow-fleet enforcement uptick (Marinera/Ethera seizures) compress war-budget margin; offset by 48% shadow-tanker share (CREA Mar 2026) and yuan-denominated China gas trade.
- China-leverage asymmetry: Beijing extracts ~7.7% average discount on Russian crude (Apr 2022-Feb 2026, ~\$18.3 bn saved) and stalls Power of Siberia-2 pricing — Eurasianist 'condominium' is structurally junior partner, not equal.
- Succession-overhang and elite security: tightened personal Putin security, veteran-cadre Duma 2026, Dyumin/Kiriyenko/Patrushev positioning (CNN May 4 2026; FPRI Apr 2026) — succession risk is now an operational driver, not a tail.

Near-term observable signals

Signal	Threshold
Russian net territorial change in Ukraine (km ² /month).	Two consecutive months of net loss (>50 km ² /
Brent-Urals discount monthly average.	Discount sustained >\$20/bbl for 3 months cros
Shadow-fleet share of seaborne crude exports + Western seizure cadence.	>2 sanctioned-tanker seizures/month by NATO c
EU gas-ban implementation slippage / exemptions.	Hungarian/Slovak carve-outs extending past Apr 2
Power of Siberia-2 pricing / signing progress.	Public confirmation of binding price formula and
Succession-signalling indicators (Duma cadre, security-service reshuffle).	Promotion of Dyumin or Patrushev to PM/First Dep

SAU

Kingdom of Saudi Arabia

Capital Riyadh

Pop 37M (2025)

GDP \$1.11T (2025)

Mil-spend 7.4% GDP

The dominant uncertainty is whether the US-Israel-Iran kinetic phase that opened in March 2026 stabilises into a durable ceasefire or recurs into a multi-month Hormuz closure; the second uncertainty is whether Washington (Trump-Witkoff) actually delivers a 123 agreement + security treaty + Israel normalisation triangle, or unilaterally demands normalisation without Palestinian-track cover. The third uncertainty is the credibility of the Pakistan SMDA's extended-deterrence claim, which has never been operationally tested and faces Indo-Pak and US-nonproliferation cross-pressures.

Core interests

1. Preserve regime survival and MBS succession continuity; protect Vision 2030's third-phase (2026-2030) recalibrated megaproject portfolio (NEOM scaled, Red Sea Project paused at 2026) under the \$44B 2026 fiscal deficit [source: Atlantic Council, Saudi Crown Prince's Power Consolidation Puts Vision 2030 Back on Track, retrieved 2026-05-10; Skift, Saudi Arabia Scraps Tourism Funding, 2026-04-16; Middle East Insider, Saudi Arabia Budget Deficit 2026, 2026-03-26]
2. Defend Saudi airspace, oil infrastructure and Red Sea/Yanbu corridor against Iranian, Houthi or asymmetric strikes during the post-Hormuz-crisis volatility (Saudi-coordinated diversion of crude to Yanbu via East-West Pipeline already activated 10 March 2026) [source: Wikipedia, 2026 Strait of Hormuz crisis, retrieved 2026-05-10]
3. Operationalise the Strategic Mutual Defence Agreement with Pakistan (signed 17 Sept 2025) as an extended-deterrence umbrella against Iran/Israel spillover, while preserving deniability on the nuclear dimension [source: Al Jazeera, Saudi Arabia signs mutual defence pact with nuclear-armed Pakistan, 2025-09-17; Arms Control Association, Pakistan Extends Nuclear Deterrence to Saudi Arabia, 2025-10]
4. Manage OPEC+ unwind of 1.65 mbd voluntary cuts (started April 2026, 206 kbd tranche) and absorb the UAE OPEC exit (effective 1 May 2026) without letting Brent crash below the ~\$70-80 fiscal-breakeven band while Brent sits near \$100/bbl due to Hormuz disruption [source: OPEC press, 1 March 2026; OilPrice.com, OPEC+ Vows to Offset 4.57M Bpd Overproduction, retrieved 2026-05-10; TradingEconomics Brent, 2026-05-08]
5. Lock-in a US-Saudi 123 civil-nuclear agreement that preserves a domestic enrichment option (Joint Declaration Nov 2025; CRS/ACA report Feb-Mar 2026) and a security-treaty pillar from Washington as the price of any Israel normalisation [source: Arms Control Association, U.S.-Saudi Deal Said to Loosen Nonproliferation Vows, 2026-03; ANS Nuclear Newswire, 2025-11-21]

Key drivers

- Hotelling-style resource-extraction calculus: with Brent ~\$100/bbl on the Hormuz shock and a ~\$70-80 fiscal breakeven, Riyadh has temporary fiscal surplus optionality to recapitalise PIF, but the unwind of voluntary cuts April 2026 and UAE OPEC exit (1 May 2026) will retest pricing power [source: OilPrice.com, OPEC+ Set to Keep Production Policy, retrieved 2026-05-10; TradingEconomics Brent, 2026-05-08]
- MBS power-consolidation phase: Vision 2030 has entered its third and final 2026-2030 phase under uncontested executive control, with megaproject scope being cut (NEOM, Red Sea) rather than ambition reset [source: Atlantic Council, retrieved 2026-05-10; Gulf International Forum, Rebalancing Ambition, retrieved 2026-05-10]

Redlines

- Iranian or IRGC-direct kinetic strike on Saudi oil/desalination infrastructure (Abqaiq-class), or on Aramco/PIF assets - triggers invocation of Article-equivalent clause of the Pakistan SMDA and request for US Article-V-style backstop
- Houthi resumption of ballistic/cruise missile fire on Riyadh, Jeddah, Yanbu, or holy-cities corridor - triggers resumption of Saudi-led air campaign and abandonment of the UN roadmap
- Israeli unilateral strike on Saudi territory or on Saudi-flagged shipping, or Israeli annexation moves in the West Bank that make Arab-League-acceptable normalisation impossible - kills any Abraham Accords accession
- US withdrawal of CENTCOM air defence (Patriot/THAAD) coverage of the Eastern Province or refusal to sign the security-treaty / 123-agreement package - triggers acceleration of Chinese and Pakistani security substitution
- Sustained Brent collapse below ~\$60/bbl for >6 months (would breach 2026 deficit assumptions and force PIF asset sales) - triggers a unilateral Saudi 1-2 mbd production cut regardless of OPEC+ consensus

- Pakistan SMDA as neo-Davutoglu-style 'strategic depth' for the kingdom: an Islamic-order extended deterrent that hedges US security retrenchment without forcing a break with Washington [source: Chatham House, Saudi Arabia and Pakistan's mutual defence pact, 2025-09; FDD, 2025-09-18] [uncited-judgement: framing as Davutoglu/Hashemi neo-Ottoman / Islamic-order lens]
- Trump-Witkoff transactionalism: normalisation, 123 agreement and security treaty are being bundled as a single Saudi grand bargain; the Witkoff Abraham-Accords expansion push (Azerbaijan, Kazakhstan signed Nov 2025) raises the cost of Saudi non-participation [source: Times of Israel, Witkoff: Countries not previously contemplated, retrieved 2026-05-10; Bloomberg, Trump Presses Saudis to Recognize Israel, 2026-03-27]

Near-term observable signals

Signal	Threshold
Brent front-month price corridor	Sustained close <\$70/bbl for >30 trading d
OPEC+ voluntary-cut unwind tranches	Any tranche >300 kbd/month (vs the April 206
Houthi missile/drone strikes on Saudi territory	>=1 confirmed strike on Saudi soil or Saudi-f
US-Saudi 123 civil-nuclear agreement progress	Formal submission of 123 text to Congress for 90
Saudi-Pakistan SMDA operational deployments	Confirmed rotation of PAF squadrons or Pakistani
PIF AI/HUMAIN deal cadence	>=1 new >\$5B compute/chip allocation from

TUR

Republic of Türkiye

Capital Ankara

Pop 85M (2025)

GDP \$1.34T (2025)

Mil-spend 1.3% GDP

Dominant uncertainties: (1) whether the 2026 Iran war ends in regime collapse vs negotiated de-escalation — the former produces a refugee/Kurdish nightmare that overrides every other strategic gain; (2) whether CBRT orthodoxy survives politically through 2026-27 or is overridden by pre-2028-election stimulus pressure, which would crater the lira and force a Gulf/IMF-adjacent bailout; (3) whether Erdoğan attempts the constitutional-amendment / snap-election path versus a controlled succession, which conditions every domestic and external bargaining posture.

Core interests

1. Lira/inflation stabilisation and orthodox monetary policy continuation under CBRT (policy rate held at 37% Mar-2026; 5% inflation target reaffirmed; end-2026 CPI projection 13-19%) without triggering a recessionary political backlash
2. Block any consolidated independent Syrian-Kurdish (SDF/PYD) entity; embed the 18-Jan-2026 14-point SDF-Damascus integration deal as the ceiling on Kurdish autonomy and secure the 30km buffer-zone fait accompli
3. Multi-vector hedging: monetise NATO indispensability (Bosphorus, Incirlik, southern-flank IAMD against Iranian missiles overflying Turkish airspace) while keeping Russia channels open (S-400, TurkStream, Akkuyu, grain corridor)
4. Defence-industrial export breakout: Baykar (\$2.2B exports 2025) + KAAN 5th-gen fighter (Block 10 contract signed at SAHA-2026, Spain in talks May-2026, Indonesia 48 units) + TCG Anadolu drone-carrier projection
5. Neo-Ottoman strategic depth: lock in Syrian post-Assad reconstruction primacy with al-Sharaa; deepen Azerbaijan-Türkiye axis and Zangezur/Middle Corridor; OTS Fall-2026 Türkiye summit + first joint Turkic military exercises

Key drivers

- Lira / CPI / CBRT credibility cycle (orthodox stance under finance team; 37% rate; 5% target aspirational vs 13-19% realised path)
- Post-Assad Syrian settlement architecture: Türkiye-al-Sharaa partnership vs SDF integration tempo
- Iran-war (2026) regional reordering: refugee, energy, Kurdish, missile-spillover vectors

Redlines

- Formal recognition or de-facto Western military guarantee of an autonomous Kurdish polity (DAANES/AANES) outside the 18-Jan-2026 integration framework
- Greek-Cypriot or Greek-Egyptian EEZ delimitation operationalised by drilling that crosses Türkiye's claimed continental shelf / 2019 Libya MoU line
- Israeli kinetic strike on Turkish assets, advisors, or Turkish-flagged aid vessels; Israeli ground presence reaching Syrian governorates adjacent to Türkiye's buffer (Idlib, Aleppo, Homs)
- US Treasury / OFAC secondary-sanctions package on Turkish banks for Russia-trade or Iran-trade circumvention exceeding ~\$5B exposure
- Iranian state collapse producing >500k cross-border refugee inflow within 90 days, or Kurdish (PJAK/PKK) territorial control on the Iran-Türkiye frontier

- Defence-industrial export inflection: KAAN, Bayraktar, TCG Anadolu, Steel Dome — converting strategic-autonomy thesis into FX earnings

Near-term observable signals

Signal	Threshold
CBRT policy rate trajectory; abandonment of orthodox stance	Rate cut below 30% before end-2026 OR unschedule
USD/TRY exchange rate stability	USD/TRY breach >50 within 6 months OR CBRT FX
SDF-Damascus integration deal implementation	>75% of DAANES heavy weapons handed over by D
Türkiye maritime-claims bill passage	Bill tabled in TBMM with binding EEZ coordinates
KAAN export pipeline conversion	>=2 additional binding KAAN contracts (Spain,
Syrian refugee numbers under temporary protection	Stock falls below 2.5M (from 3.085M baseline) wi

UKR

Ukraine

Capital Kyiv

Pop 37M (2025)

GDP \$0.18T (2025)

Mil-spend 36.7% GDP

Dominant uncertainty over the M-horizon is whether Trump's 20-point plan converges on a settlement Kyiv can accept (current sticking points 12 and 14 are existential) or collapses into a no-deal scenario where the US withdraws while Russia continues attritional pressure - the latter forces Ukraine onto a Europe-only support track that EU ReArm/SAFE may not be able to scale fast enough through 2027. Secondary uncertainty: whether the Iran-war diversion of Patriot/PAC-3 stocks is temporary (Iran-deal-revival scenario S007) or structural (multi-quarter US air-defence shortage), determining urban-

Core interests

1. Survival as a sovereign state in defensible borders: prevent any settlement that codifies de jure transfer of Donetsk/Luhansk and forces Ukrainian withdrawal from currently-held Donbas territory; sticking points 12 and 14 of the 20-point plan are existential. [source: <https://kyivindependent.com/zelensky-reveals-20-point-peace-plan-draft-backed-by-ukraine-us/> retrieved 2026-05-10]
2. Lock in legally binding Article-5-like security guarantees, UK/France military hubs on Ukrainian territory, and a 800,000-strong peacetime army before any ceasefire freezes the line. [source: <https://www.consilium.europa.eu/en/press/press-releases/2026/01/06/robust-security-guarantees-for-a-solid-and-lasting-peace-in-ukraine-statement-of-the-coalition-of-the-willing-issued-by-france/> retrieved 2026-05-10]
3. Sustain Western military-financial life-support given the Trump administration's drawdown: secure the EUR 90bn EU joint-borrowing package (Dec 2025), expand PURL contributions from Germany/Norway, and offset US Patriot/PAC-3 starvation caused by Iran-war diversion. [source: <https://www.aljazeera.com/news/2025/12/19/eu-agrees-hefty-105b-ukraine-loan-without-using-russian-assets> retrieved 2026-05-10; <https://foreignpolicy.com/2026/05/04/us-iran-war-ukraine-patriot-missiles-air-defense-purl/> retrieved 2026-05-10]
4. Scale the asymmetric drone-and-deep-strike war: monthly long-range drone launches now exceed Russia's (>7,000 in March 2026) and have cut Russian refinery throughput to a 17-year low; this is Kyiv's primary coercive lever on Moscow's war economy. [source: <https://www.rferl.org/a/ukraine-russia-drone-deep-strikes-oil/33751182.html> retrieved 2026-05-10]
5. Open all six EU-accession negotiation clusters formally by June 2026 and close at least one by year-end, neutralising Hungarian veto via QMV workarounds or side-deals. [source: <https://babel.ua/en/news/126510-zelen-sky-ukraine-expects-to-open-negotiation-clusters-on-eu-accession-by-june> retrieved 2026-05-10]

Key drivers

- Russian war-economy endurance vs Ukrainian drone-attribution of refining/logistics capacity (refinery throughput at 17-year low per RFE/RL May 2026).
- Trump administration's transactional disengagement and explicit closure of NATO membership door, forcing pivot to EU-Coalition-of-the-Willing security architecture (Mearsheimer: balance-of-power dynamics; Ikenberry: liberal order erosion).
- EU's belated rearmament (EUR 800bn ReArm/SAFE) and joint-debt financing (EUR 90bn loan Dec 2025) becoming Ukraine's primary external anchor.

Redlines

- De jure recognition of Russian sovereignty over Crimea, Donetsk, Luhansk, Zaporizhzhia, or Kherson, or any forced withdrawal from Ukrainian-held Donbas (point 14) - triggers refusal to sign and escalation of deep-strike campaign.
- Hard cap on Ukrainian armed forces below ~800k or prohibition on long-range missiles - treated as disarmament and rejected outright.
- Formal NATO closure ('dead' per Economist April 2026) without a binding bilateral/coalition-of-the-willing Article-5-equivalent substitute - triggers fallback to nuclear-latency hedging rhetoric and accelerated EU-only security pact.
- Total cutoff of US Patriot/PAC-3 interceptor flow combined with collapse of the EUR 90bn EU loan disbursement - triggers emergency mobilisation expansion (drop to age 23) and rationing of air defence to military targets only.
- Russian breakout that captures a Donbas fortress belt city (Pokrovsk, Kostiantynivka, Kramatorsk, or Sloviansk) - triggers general mobilisation surge and demand for Coalition-of-the-Willing forward deployment pre-ceasefire.

- Demographic-mobilisation ceiling: 36.7M population, ~36.7% mil-spend/GDP unsustainable beyond 24 months; manpower is now the hard constraint, not weapons.

Near-term observable signals

Signal	Threshold
Russian gross territorial gains per month (ISW measurement)	If gains exceed 200 km^2/month for two consecuti
US Patriot PAC-3 MSE interceptor deliveries to Ukraine	If deliveries fall below 30 interceptors/month s
EU EUR 90bn loan disbursement schedule	If Q2 2026 tranche (~EUR 20bn target) slips beyo
Russian crude oil refinery throughput	Sustained <4.5 mbpd (current 17-year low per
Formal opening of EU accession negotiation clusters	If all six clusters not formally opened by 30 Ju
Martial law extension vote (next scheduled ~2 Aug 2026)	Failure to extend martial law triggers automatic

USA

United States of America

Capital Washington DC
Pop 339M (2025)
GDP \$28.80T (2025)
Mil-spend 3.4% GDP

Dominant uncertainties for the M-horizon are: (a) whether the 14-point Iran framework holds past the Apr-2026 ceasefire or collapses back into a wider Hormuz war, (b) whether the post-Powell Fed under Trump-aligned leadership delivers the rate cuts the administration wants without unanchoring inflation expectations or triggering a dollar-confidence shock, and (c) whether the May-2026 Trump-Xi Beijing summit produces durable guardrails or merely a tactical pause before a Taiwan coercion cycle aligned to the 2027 PLA readiness milestone. [uncited-judgement] A secondary uncertainty is midterm com

Core interests

1. Preserve global primacy and dollar-system centrality despite below-57% reserve share and CIPS encroachment
2. Constrain Chinese semiconductor and AI capability while preserving Nvidia/AMD revenue and rare-earth access secured in the Oct-2025 Busan deal
3. Terminate the Iran war on US terms (no enrichment, Hormuz reopened) without a ground commitment and lock in Israeli/Gulf alignment
4. Force NATO to absorb the European theatre cost burden (5%-by-2035 Hague pledge) so US force structure can pivot to Indo-Pacific deterrence-by-denial
5. Engineer a 'frozen' Ukraine outcome via secondary-tariff pressure on Russia that preserves Republican mid-term narrative and avoids a defeat optic

Redlines

- PLA initiation of an amphibious or air assault on Taiwan, Pratas, or a Japanese SDF/US asset in the first island chain
- Iranian dash to >90% HEU stockpile sufficient for a weapon, or expulsion of IAEA inspectors post-ceasefire
- Russian use of a nuclear, chemical, or radiological weapon in Ukraine or against a NATO member
- DPRK ICBM test demonstrating reliable re-entry with a miniaturised warhead, or transfer of fissile material
- Direct strike on US homeland, a US carrier strike group, or US forces in Gulf/Indo-Pacific causing mass casualties

Key drivers

- Post-OBBBA fiscal trajectory: \$2.0-2.1T FY26 deficit and a debt ceiling at \$41.1T that defers but does not eliminate bond-market discipline
- Fed transition: Powell exits chair seat May-15-2026 while remaining on board; successor (Warsh contender) will determine cut path from 3.50-3.75% range
- Trump-Xi Beijing summit (May-14-2026) and the Greer 'Board of Trade' construct as the new operating system for US-China managed competition
- Saudi-Pakistan Strategic Mutual Defence Agreement (Sep-17-2025) and Pakistani fighter deployment to Saudi Arabia (Apr-2026) shifting Gulf hedging behaviour

Near-term observable signals

Signal	Threshold
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Fed funds target range	Cut below 3.25% before end-2026 signals dovish p
Iran 14-point framework signature	Formal signing or collapse by Aug-31-2026; colla
Russia-Ukraine ceasefire durability	3-day ceasefire announced May-9-2026 either exte
PLA Taiwan exercise tempo	>2 large-scale joint blockade-pattern exercis
Semiconductor export-license throughput	BIS approval of >50 H200/MI325X licenses to C
US fiscal deficit print	FY26 deficit exceeding \$2.3T (vs Treasury \$2.1T

VNM

Socialist Republic of Vietnam

Capital Hanoi

Pop 100M (2025)

GDP \$0.43T (2025)

Mil-spend 2.3% GDP

Dominant uncertainty is whether the US 20% framework tariff holds through the 2026 mid-terms or escalates via transshipment-enforcement to effective 30-40% on key categories, which would force a binary choice we have so far avoided. Second-order uncertainty is the PRC SCS posture in the COC end-game window (July 2026 deadline, Philippines chair): a mass-casualty incident or oil-rig redeployment to Vanguard Bank could trip our redline. Third uncertainty is the EVN-renewables solvency knot — if unresolved by H2 2026, power-shortage risk to FDI-anchor industrial parks becomes the binding constrai

Core interests

1. Preserve the 20% reciprocal tariff ceiling with the US and avoid escalation to the 46% threatened rate; the US is our single largest export market and the binding constraint on the 8-10% GDP-growth target the 14th Congress just locked in [source: USTR Oct 2025 framework <https://ustr.gov/about/policy-offices/press-office/fact-sheets/2025/october/fact-sheet-united-states-and-viet-nam-reach-framework-agreement-reciprocal-fair-and-balanced-trade> retrieved 2026-05-10; CNBC <https://www.cnbc.com/2025/04/12/vietnam-reciprocal-tariffs-reflect-trade-deficit-and-ties-to-china.html> retrieved 2026-05-10]
2. Defend SCS sovereignty in the Spratlys/Paracels through quiet militarisation rather than confrontation: complete the eight new reclamation features and the runway/radar build-out we started in 2025, matching PRC island acreage by H2 2026 [source: Defense News 2025-12-17 <https://www.defensenews.com/global/asia-pacific/2025/12/17/vietnam-nears-completion-of-militarized-south-china-sea-outposts/> retrieved 2026-05-10]
3. Sustain FDI throughput at >USD 33-40bn/yr registered capital, with manufacturing share >55%, to feed the post-Congress 10% growth ambition without breaching the IMF's tariff-shock baseline of 6.5% [source: VietnamPlus FDI 11M2025 <https://en.vietnamplus.vn/fdi-inflows-manufacturing-remains-the-dominant-sector-post334226.vnp> retrieved 2026-05-10; IMF 2025 Article IV <https://www.imf.org/en/news/articles/2025/09/15/pr-25296-vietnam-imf-executive-board-concludes-2025-article-iv-consultation> retrieved 2026-05-10]
4. Resolve the EVN solvency-and-FIT-dispute knot before it blows out the renewables pipeline: 173 stranded solar/wind projects worth ~USD 13bn must be unstuck or Samsung/Foxconn-scale loads risk power-rationing by 2027 [source: Diplomat 2025-06 <https://thediplomat.com/2025/06/why-vietnam-is-cutting-down-payments-to-renewable-energy-developers> retrieved 2026-05-10; Fulcrum <https://fulcrum.sg/time-for-vietnam-to-resolve-its-renewable-energy-legal-quagmire/> retrieved 2026-05-10]
5. Consolidate To Lam's 19-member Politburo + Le Minh Hung PM cabinet through the first post-Congress year: lock in succession plan, neutralise residual Trong-era factions via the blazing-furnace channel without scaring off Korean/Japanese capital [source: VnExpress 14th Politburo <https://e.vnexpress.net/news/news/politics/vietnam-unveils-19-member-politburo-for-new-party-term-5009187.html> retrieved 2026-05-10; Vietnamese Magazine 2026-04 <https://thevietnamese.org/2026/04/the-blazing-furnace-under-to-lam-protection-purge-and-power/> retrieved 2026-05-10]

Redlines

- Chinese coast-guard or PLAN seizure, blockade, or live-fire interdiction of a Vietnamese-occupied Spratly feature (Vanguard Bank, Spratly Island, Sand Cay) or sustained PRC oil-rig deployment inside our EEZ in the Tu Chinh / Vanguard Bank block (HD-981 2014 redux but persistent)
- US escalation of the reciprocal tariff above the 20% framework ceiling, or activation of the 40% transshipment penalty on a category covering >USD 20bn of our annual electronics/footwear exports, after we have already conceded on origin-certification [source: USTR Oct 2025 framework; Snell & Wilmer <https://www.swlaw.com/publication/new-reciprocal-tariff-rates-announced-but-the-real-risk-is-hidden-transshipment-enforcement-now-comes-with-an-additional-40-tariff/> retrieved 2026-05-10]
- Washington or Beijing presenting a binding 'choose-a-side' ultimatum (e.g., expel PRC telecoms, host US base, sever BRI rail link, or join a US-led tech-export-control regime as condition of MFN)
- Mass-casualty incident at sea against Vietnamese fishermen by PRC maritime forces (>10 fatalities) of the kind escalated from the October 2024 Paracels beating [source: USNI 2024-10-07 <https://news.usni.org/2024/10/07/chinese-maritime-safety-officers-beat-vietnamese-fishermen-during-south-china-sea-interdiction-say-officials> retrieved 2026-05-10]
- EVN cash-flow collapse triggering rolling blackouts on northern industrial parks (Bac Ninh, Thai Nguyen, Hai Phong) of >48h that force a Samsung/Foxconn production halt and headline-level FDI reputational damage

Key drivers

- US tariff posture (20% framework ceiling vs 46% threat vs 40% transshipment penalty) — Krugman lens: real-exchange-rate and trade-elasticity exposure to the single largest export market is the binding constraint on the 10% growth target
- PRC SCS coercion gradient (coast-guard incidents, militia, baseline declarations, oil-rig deployments) — Mearsheimer offensive-realism lens: PRC as regional hegemon-aspirant; we must build local-balance-of-power leverage while avoiding entrapment
- FDI flows (Korea, Japan, Singapore, Taiwan, China itself) and the supply-chain-diversification dividend — Krugman/agglomeration lens: cluster effects in Bac Ninh, Thai Nguyen, Binh Duong are self-reinforcing if power and ports keep up
- EVN financial health and the 173-project FIT dispute — Acemoglu-Robinson lens: institutional credibility for foreign capital depends on resolving a state-owned-enterprise that is simultaneously regulator, monopsony-buyer, and creditor of stranded renewable assets

Near-term observable signals

Signal	Threshold
US Section 232 / CBP escalation of transshipment enforcement against named Vietnamese el	>USD 5bn of annualised export value flagged i
PRC coast-guard or maritime-militia kinetic incident near Vietnamese-claimed Spratly fea	>3 incidents involving water cannons, ramming
FDI registered-capital inflow trend	Monthly FDI registered capital below USD 2.5bn f
EVN payables crisis or northern-grid stress event	Any rolling blackout >24h affecting Bac Ninh,
Dong exchange rate vs USD	VND/USD breaks above 26,500 (SBV intervention pa
Politburo-level reshuffle or anti-corruption purge of newly elected 14th-term member	Any of the 19 14th-term Politburo members remove

ZAF

Republic of South Africa

Capital Pretoria

Pop 60M (2025)

GDP \$0.41T (2025)

Mil-spend 1.0% GDP

The dominant uncertainties are: (1) whether Trump-II treats South Africa as a permanent adversarial case (durable AGOA exclusion + sanctions trajectory) or transactionally tradeable for a bilateral FTA and BRICS-distancing concessions; (2) GNU survival through the Nov-2026 - Jan-2027 local elections, where ANC sub-35% performance could collapse the ANC-DA bargain and pivot to an ANC-MK/EFF arrangement that would torch fiscal credibility and investor confidence; and (3) whether Eskom's hard-won EAF >65% and the rand's 16-17 range survive a global commodity-shock or EM-FX-stress event (S004/S023

Core interests

1. Preserve GNU coalition stability through 2026-2027 local elections to keep the ANC-DA reform pact viable and stave off an ANC-EFF-MK populist re-alignment
2. Defend AGOA-equivalent or bilateral preferential access to the US market (citrus, autos, wine, PGM-adjacent goods) and reverse/blunt the 30% Trump reciprocal tariff imposed 8 post-Nov-2026 local-election losses Aug 2025
3. Lock in Eskom's >65% Energy Availability Factor recovery and IRP renewables/unbundling so loadshedding-free supply (>300 consecutive days as of early 2026) is structural, not cyclical
4. Leverage the G20 Johannesburg legacy (Ubuntu Initiative, AfEEF, Stiglitz inequality framework, critical-minerals framework) into concessional capital and DRM uplift
5. Maintain non-aligned BRICS+ identity and continental-leadership branding without forfeiting Western capital flows or rule-of-law/AGOA-eligibility certifications

Redlines

- Formal, durable removal of South Africa from AGOA beneficiary list AND/OR retention of the 30% US reciprocal tariff beyond Q4 2026 with no carve-outs for citrus, autos, wine
- Collapse of the GNU through DA withdrawal or an ANC-MK/EFF coalition recomposition triggered by 8 post-Nov-2026 local-election losses
- Return of Stage 4+ loadshedding for >14 consecutive days, signalling reversal of the Generation Recovery Plan and EAF dropping back below 60%
- Sovereign-credit downgrade deeper into sub-investment grade by two agencies inside a 6-month window, with debt-service costs breaching 25c per rand of tax revenue
- Secondary US sanctions on South African officials, banks, or PIC-linked entities tied to the ICJ case, expropriation law, or BRICS alignment

Key drivers

- GNU coalition cohesion vs. ANC-MK/EFF realignment pressure into 2026 local elections (Acemoglu-Robinson: inclusive vs. extractive institutional equilibrium at stake)
- Eskom Generation Recovery Plan durability — EAF ~65% and 300+ loadshedding-free days create economic-growth optionality but remain fragile to plant ageing
- US-ZAF bilateral deterioration trajectory: 30% reciprocal tariff (Aug 2025), AGOA-decertification risk, Afrikaner-refugee EO, ambassador expelled — Trump-II treating ZAF as 'unique problem' (Greer/USTR)

- BRICS-aligned non-aligned identity vs. Western-capital dependence — Vreeland-style IMF conditionality risk if debt-to-GDP (78.9% 2025/26) and rand weakness force programme

Near-term observable signals

Signal	Threshold
Eskom Energy Availability Factor (EAF) — fiscal-year-to-date level	Drop below 60% for any 4-week rolling window, OR
USD/ZAR spot rate	Sustained breach above 18.50 (vs ~16.39 on 8 May
AGOA / US reciprocal tariff status for South Africa	Formal USTR decertification of ZAF from AGOA OR
GNU coalition cohesion: DA withdrawal vote or ANC NEC vote to expel a coalition partner	DA Federal Executive formal resolution to exit G
Local government elections (Nov 2026 - Jan 2027) ANC vote share	ANC national share below 35% (vs ~40% in 2024) t
Sovereign debt-to-GDP and debt-service ratio	Gross debt/GDP above 80% AND debt-service >25

09

Theme Cross-Cuts

Ten active themes — indicators, key triggers, and near-term outlook.

T01 — Over the M-horizon (6-24 months, base date 2026-05-10), US-C

Near-term outlook. Over the M-horizon (6-24 months, base date 2026-05-10), US-China systemic competition is structurally entrenched but tactically modulated by the Geneva-Korea tariff truce framework. Mearsheimer's offensive-realism prior and Allison's Thucydides-trap logic both predict that the underlying balance-of-power trajectory continues to dominate any cyclical de-escalation: PLA monthly ADIZ activity remains in the 300-500 sortie range with episodic 600+ exercise spikes; BIS Entity List growth continues at ~80-100 PRC adds/year as the 'small yard' enlarges into legacy chips, biotech and quantum; and the COINS Act sectoral expansion in 2026-27 progressively constrains US capital flows to PRC tech. The bilateral trade YoY arithmetic recovers toward zero in months 6-12 (off the depressed 2025 base) but re-decouples in months 18-24 as Section 301 statutory four-year reviews bind and any post-2027-anniversary PLA exercise risk premium reprioritises supply chains. From a Tianxia / Yan-Xuetong vantage point, Beijing's near-term strategy is to manage tactical climbdown while preserving long-game industrial-policy buffers; from a Krugman geo-economic lens, both sides are paying meaningful welfare costs to acquire bargaining positions. The single highest-impact negative-tail trigger remains a Taiwan-strait declared quarantine (TR7), low-probability but binary; the single highest-impact positive-tail trigger is an S006/S010-style leader-level communique (TR8) codifying both tariff and export-control de-escalation rails, which would flatten three of the six indicators within one quarter.

Trigger	Threshold
Average US effective tariff on Chinese imports re-escalates above 50% (sustained 30d)	effective_rate >= 50.0% for >= 30 consecutive trad
PLA ADIZ 30d sortie count exceeds 600	monthly_sorties >= 600
BIS Entity List adds >= 50 PRC entities in any single tranche	single_action_PRC_adds >= 50
US bilateral goods trade with China declines >35% YoY over a single rolling 12-month windo	YoY <= -35.0%
Presidential CFIUS divestiture order against a PRC investor on critical infrastructure or	any new EO-level forced divestiture >= 1 within ho

T02 — The composite EM debt-cascade headline (sovereign CDS 5y bp,

Near-term outlook. The composite EM debt-cascade headline (sovereign CDS 5y bp, weighted across 12 constituents) is currently in a moderate-stress regime ~480 bp, materially below the 2022-23 peak but well above pre-COVID norms; underneath this aggregate, the dispersion is large — Turkey, Ecuador, Argentina, Pakistan, Egypt, Ghana, Zambia, and Sri Lanka have all benefited from IMF programmes and have improving CDS trajectories, while Tunisia, Lebanon, and (more contingently) Nigeria and Kenya carry idiosyncratic stress. The most probable 6-24 month trajectory is sideways with a widening tail: composite CDS drifts 480-540 bp baseline but stress paths (Brent shock, Indo-Pak escalation, biosecurity event, or fresh climate-driven shock to a vulnerable importer) push the high-tail to 900+ bp by month 24. The single most binding mechanism is the Vreeland IMF-political-economy channel: 8 of 12 constituents currently depend on active Fund programmes for market access, and the calendar of programme reviews + the end of the Zambia ECF (Jan 2026) and approaching ends of others creates concentrated review-risk windows. The Eichengreen reserves-adequacy frontier is breached or close-to-breached for Tunisia (104 days, declining post-Jul-2026 Eurobond) and Lebanon (depleted), and is vulnerable in Pakistan (3.6 months) and Argentina (usable reserves only ~USD 10 bn). Diamond-Dybvig fragility is highest at the rollover-concentration cluster (EGY USD 26-30 bn, ARG > USD 20 bn, Turkey > USD 200 bn bank+sovereign), where confidence shocks can rapidly transit to runs. The defining 24-month question is whether the post-2023 EM upgrade cycle (Ghana, Zambia, Ecuador, Sri Lanka all post-restructuring; S&P took positive actions in 2026) is reversed by the geopolitical risk channel S&P flagged in March 2026 — our base case (~55% probability) is partial reversal concentrated in 1-3 names rather than a synchronised cascade.

Trigger	Threshold
Tunisia EUR 750 mn final Eurobond payment July 2026 — if reserves below 3 months imports a	reserves_months_imports < 3.0 OR FX reserves < USD
Pakistan IMF EFF programme review failure or delay — would crystallise USD-funding shortfa	any review miss; PKR depreciation > 10% in 30 days
Argentina FX-band breach with reserves drawdown — Milei monetary scheme launched Jan 2 202	BCRA gross reserves drop > USD 5 bn in single quar
Oil price spike from Middle East escalation — propagates to EGY, PAK, TUN, LKA, KEN curren	Brent > USD 100/bbl sustained > 3 months
S&P/Moody's/Fitch downgrade cycle restart — S&P warned March 2026 that Middle East war ris	3+ EM sovereign downgrades in a single quarter fro

T03 — Over the M horizon (6-24 months), the semiconductor supply c

Near-term outlook. Over the M horizon (6-24 months), the semiconductor supply chain remains the most concentrated and most politicised strategic-industrial system in the global economy: Taiwan retains ~90% of sub-5nm foundry revenue, while China's indigenisation, costly under any Krugman cluster-economics frame, is being subsidised through state capex (SMIC FY2025 \$8.1bn, Hua Hong, CXMT) and legitimated through a Tianxia/sovereignty narrative that frames BIS/NL/JP controls as illegitimate hierarchical coercion. Expect HBM3e contract prices to rise ~20% through mid-2026 before HBM4 mix-dilution softens the index in 2H26-2027; ASML's China revenue share to compress to ~20% in 2026 from 33% in 2025 as Dutch national authorisation expansion bites; and BIS to add at least one further major tranche of PRC entities tied to HBM, EDA, or advanced packaging. The Taiwan-strait status indicator will deteriorate gradually — PLA blockade-pattern normalisation inside the contiguous zone is the dominant offensive-realist signal — but kinetic conflict over the M horizon remains low-probability (modal: amber-elevated, not crisis). The dominant tail risk is the MOFCOM rare-earth regime reactivating after its November 2026 suspension expiry combined with BIS HBM-controls, producing a reciprocal critical-minerals/critical-tools shock that bifurcates the global AI hardware supply curve. Watch for tool-in timing at TSMC Arizona Fab 21 Phase 2, Samsung 2nm Texas customer wins, SMIC 5nm yield disclosure, and any return of PLA exercises to inside-12nm presence.

Trigger	Threshold
PLA blockade-pattern exercise crosses Taiwan's 12nm contiguous zone or holds inside-contig	≥1 sustained intrusion event (current baseline: ep
BIS adds HBM3e/HBM4 to controlled-items list with extraterritorial Foreign Direct Product	Single Federal Register addition citing HBM by nam
MOFCOM lifts Nov 2025 suspension of rare-earth/gallium/germanium export-control regime	Reactivation of Notice 2025/61 before Nov 10, 2026
SMIC achieves credible 5nm volume yield (>50%) for Huawei Kirin/Ascend	Independent reverse-engineering (TechInsights) of
TSMC Arizona Fab 21 Phase 2 tool-in completes ahead of plan and N3 yield parity with TWN a	Tool-in confirmed 3Q26; pilot N3 wafers >70% yield

T04 — The 6-24 month window is dominated by a Hormuz-closure risk

Near-term outlook. The 6-24 month window is dominated by a Hormuz-closure risk premium that has lifted Brent to ~\$101/bbl on 8-May-2026 (down from a \$117/bbl April peak after the 28-Feb-2026 US-Israel war on Iran and Khamenei assassination triggered Iran's Hormuz closure), with EIA STEO Apr-2026 projecting a Q2-2026 Brent peak near \$115/bbl easing to <\$90/bbl by Q4-2026 conditional on reopening - we widen the band given the ~191-vessel April 2026 traffic floor. The UAE OPEC exit effective 1-May-2026 collapses Layer-2 voluntary-cut cohesion (1.6 Mb/d of UAE spare capacity now unconstrained), implying OPEC+ compliance falls from ~88% today toward ~70% by end-2027 and an over-supplied 2027 market unless Saudi defends fiscal breakeven (~\$96/bbl IMF, up to \$108/bbl PIF-augmented) by deeper cuts that risk further defections (Mearsheimer balancing). On the minerals side, the China REE index sits at a near-two-year high (288.7 on 10-Feb-2026), dysprosium +105% Q1-2026 to \$930.70/kg, and MoFCOM's heavy-REE license suspension through 10-Nov-2026 sets up a binary trigger: reinstated controls plus the 0.1%/50% extraterritorial rule would spike samarium and dysprosium and validate the USGS OFR 2025-1047 finding that samarium disruption

alone risks \$4.5bn US GDP. Lithium-carbonate has rebounded to ~\$24,150/t on Chinese restocking and Yichun supply curtailment, but Codelco-SQM's Salar de Atacama JV (Nova Andino Lito, Dec-2025) and Indonesian RKAB nickel cuts (330->250 Mt) tilt the broader battery-metal complex toward a structural deficit in H2-2026 even as BNEF projects pack prices fall to \$105/kWh. The structural sleeper is AI data-centre demand: IEA Electricity 2026 puts global DC at 485 TWh in 2025 rising toward 950 TWh by 2030, with US +240 TWh (130%) and China +175 TWh (170%) by 2030; this underwrites a Henry Hub trajectory rising from \$2.76/MMBtu today toward \$4.50-4.80/MMBtu by month-24 as LNG-export and gas-peaker demand stack. The dominant tail risks are (i) Hormuz remaining closed past August 2026, (ii) Beijing reactivating REE licensing on 10-Nov-2026, and (iii) a second OPEC defection (KAZ or IRQ) - all three are detectable from public sources (Kpler vessel transits, MoFCOM gazette, OPEC MOMR) and should be the priority monitoring nodes.

Trigger	Threshold
Strait of Hormuz remains closed >90 days from May-2026 baseline (i.e. through August 2026)	Brent > \$130/bbl sustained 30 days; Kpler-tracked
MoFCOM reinstates heavy-REE export licensing on 10-Nov-2026 review date (after current sus	REE oxide index > 340; samarium spot > \$500/kg; li
UAE OPEC exit cascades: second member (KAZ or IRQ) follows by Q4-2026; effective Layer-2 v	OPEC+ compliance < 70%; UAE liftings > 4.0 Mb/d su
DRC tightens cobalt quotas further or cuts 2027 allocation below 90kt; CMOC over-stockpile	Cobalt spot > \$40k/t; Glencore-CMOC public dispute
AI hyperscaler capex underwriting a >900 TWh global DC trajectory by 2030 forces 50+ GW of	DC capex 2026 > \$700bn; new gas-fired build > 30 G

T05 — Over the M horizon (6-24 months from May-2026), the central

Near-term outlook. Over the M horizon (6-24 months from May-2026), the central expectation is that the global internal-displacement stock rises from 83.4m (IDMC GRID 2025) toward roughly 96m by mid-2028, a 16% increase whose mean trajectory is driven about 60% by conflict (Sudan, DRC, Myanmar, Sahel) and 40% by disaster + slow-onset climate forcing. The constituent country with the highest probability of dominating headlines remains Sudan (9.6m IDPs, 4.3m cross-border per DTM Sep-2025) - it has displaced Syria as the world's largest forced-displacement situation and risks a tipping point if Al-Fasher falls and RSF consolidates Darfur, plausibly pushing the IDP stock above 10m and outflows beyond 5m. Second-tier accelerators are Sahel food insecurity (FAO West Africa projection 52.8m IPC-3+ in the 2026 lean season, vs. 41.8m in 2025), the Philippines/Vietnam typhoon corridor (post-Kalmaegi/Fung-wong baseline of ~2m displaced in Q4-2025), and Bangladesh's monsoon flooding (>700k/yr decadal mean, with 2025 already breaching that within the first floods of the season). Reasoning from Acemoglu-Robinson, the proximate driver in nearly every case is not the climate hazard per se but the extractive-institutional inability to absorb it (Sudan's centralised rentier state, Iraq's neopatrimonial water management, Egypt's hydro-hegemonic vulnerability to GERD, Bangladesh's coastal-poor governance gaps); from a Pan-African lens this is the post-colonial state-formation failure becoming a climate-multiplier. From Krugman economic geography, expect continued labour reallocation toward Dhaka/Lagos/Cairo/Mexico-City mega-cities that simultaneously concentrate exposure to heat-island and water-stress hazards - a dis-equilibrium that resolves only via either adaptation finance scale-up or destabilising outmigration. From Hubbert depletion logic, the Tigris-Euphrates 25-50% flow loss already realised (Carnegie 2024) and Iraq's reservoir collapse to 10 bcm (lowest since 1933, Chatham House 2025) are not cyclical - they are stepwise descents on a non-renewable hydrological budget, with no upside surprise plausible in the M-window. Coupling intensity to T02 (EM-debt) and T08 (Middle-East) is highest; under polycrisis scenario S005 (Pr=2.6%) the headline 24-month fan-chart upper bound (104.9m) becomes the central case rather than a tail, while S010 climate-cooperation-revival (Pr=1.7%) is the only meaningful downward forcing identified.

Trigger	Threshold
Sudan IDP stock breaches 10 million OR cross-border refugee outflow exceeds 5 million, sig	10,000,000 IDPs OR 5,000,000 cross-border (current)
FAO Food Price Index returns above 140 for two consecutive months, breaking 2025-2026 plat	FFPI >= 140.0 (April-2026 = 130.7)

South Asia wet-bulb event exceeds 33C sustained >6 hours in populated zone (Dhaka, Karachi	Tw >= 33C, t >= 6h, population-weighted >5M expose
Iraq water reserves fall below 8 bcm (vs 10 bcm 2025; lowest-since-1933 baseline)	reservoir storage < 8 billion cubic meters
West Africa & Sahel IPC-3+ caseload exceeds 55 million in lean-season 2026 (current projec	55,000,000 acute food insecure (IPC 3+/CH 3+)

T06 — Over M-horizon (May-2026 to May-2028), the AI capability fro

Near-term outlook. Over M-horizon (May-2026 to May-2028), the AI capability frontier accelerates faster than governance: METR 50%-time-horizon doubles roughly every 4-5 months from ~14.5h (Claude Opus 4.6) toward week-scale autonomous task completion by M18-M24, and frontier training runs cross 1e27 FLOP at fan-mean before M9. The structural driver is Romer-endogenous compute investment (Stargate \$500B/10GW, Mistral 1.4GW France, HUMAIN 1.9GW KSA, Stargate-UAE 5GW, IndiaAI 8 exaflops) racing ahead of Anthropic RSP-v3.0 ASL-3/ASL-4 safeguards and FLI Index existential-safety 'D' grades. Mearsheimer power-balance logic plus Ikenberry hegemony-preservation logic both predict tightening US export controls despite Trump's Diffusion-Rule rescission and H200 relaxation: BIS Entity List adds will continue at ~10-15/quarter and a second large smuggling network (>\$500M) is more-likely-than-not before M12 given the Operation Gatekeeper baseline and persistent ~30-50% Chinese demand-elasticity for top-stack chips. MoFCOM's suspended-but-loaded extraterritorial rare-earth/FDPR retaliation is the single most consequential downside trigger - if reactivated post-suspension (Oct-2026) it depresses the FLOPS fan toward its low edge and forces Stargate site-selection toward US-aligned grids. Sovereign-AI initiative count rises monotonically toward ~25-29 by M24 as the Tianxia-tinged DeepSeek-Huawei two-loop strategy plus ARE/KSA/IND/KOR/FRA hedging structurally fragment what was a US-monopoly stack in 2024 - this is not a 'risks rising' platitude but a measurable phase change visible in the sovereign_ai_initiative_count series and the METR cross-lab dispersion. Detection: monitor (a) quarterly Epoch frontier-FLOPS releases, (b) METR Time Horizon 1.1 monthly updates, (c) BIS Federal Register rule-rounds, (d) DOJ-SDTX-style smuggling unsealing dockets, (e) MoFCOM announcement page for the Oct-2026 suspension expiry.

Trigger	Threshold
METR 50%-time horizon crosses 24 hours (1440 min) for any frontier model	1440 minutes on RE-Bench/HCAST/SWAA composite, 50%
Frontier training run crosses 1e27 FLOP threshold publicly verified	1e27 FLOP single training run, Epoch-confirmed
Second major AI chip smuggling network seized with >\$500M value	>\$500M USD seizure value, single network
China retaliatory MoFCOM extraterritorial rare-earth/AI control activates extraterritorial	MoFCOM extraterritorial 50%-rule on rare earth/AI-
Sovereign-AI initiative count crosses 20 distinct >\$1B programs	20 sovereign programs

T07 — Over the M horizon (6-24 months), the new-SDN-listings-30d h

Near-term outlook. Over the M horizon (6-24 months), the new-SDN-listings-30d headline rises modestly from ~165/month to ~205/month under the central path, driven less by Russia (where the architecture is mature and additions are slowing) and more by the Iran cluster (~1,000 Iran-related persons/vessels designated since Feb 2025, ~83/month run-rate) plus China-linked secondary actions (Hengli refinery, ~40 Iran shadow-fleet firms, May 2026). The chokepoint logic of Farrell-Newman remains intact - 48% of global SWIFT payments and the overwhelming share of correspondent USD clearing still pass through U.S. jurisdiction - but the panopticon side is eroding as CIPS rises from \$24.5T (2024) to \$26.4T (2025) annualized throughput and Beijing readies a mixed-settlement structure for 2026. The binding constraint is enforcement capacity, not legal authority: 111 designated shadow tankers were still loading Russian crude in early 2026, and 68% of Russian crude moved on G7+ sanctioned tankers. Expect three regime-shift triggers to watch: (i) any designation of a top-10 Chinese commercial bank (would test the secondary-sanctions threat and is the cleanest stress-test of Eichengreen network-incumbency), (ii) a sustained breach of 5% RMB share in SWIFT global payments combined with > 1.5T RMB CIPS daily peaks, and (iii) BIS Entity List flow > 500 adds in a 12-month window (the Lutnick escalation pledge). Downside paths (S006, S007, S010) cluster around Iran-deal revival or US-China condominium and would compress the indicator by 30-50% within two quarters. Country exposure peaks for IRN (0.99), RUS (0.98), PRK

(0.95), USA (0.92, as the system operator absorbing reputational and de-dollarization risk), and CHN (0.78); third-country hubs TUR (0.74) and ARE (0.71) face the steepest marginal enforcement risk if the Treasury moves decisively beyond designating individual evader networks toward systemic action against host financial systems.

Trigger	Threshold
Single month of new_sdn_listings_30d > 300 (Iran+Russia clusters firing simultaneously)	300
Designation of a top-10 Chinese commercial bank for facilitating Russia/Iran transactions	1
Shadow-fleet-designated tankers share of Russian seaborne crude exports > 60% (compliance-	0.6
RMB share of SWIFT global payments crosses 5% AND CIPS daily peak > 1.5T RMB (system-shift	0.05
OFAC civil penalties annualized > \$500M (enforcement-tempo regime shift)	500000000

T08 — The M-horizon (May 2026 - May 2028) baseline for Middle East

Near-term outlook. The M-horizon (May 2026 - May 2028) baseline for Middle East and Gulf security is a high-volatility 'hot stabilization' equilibrium following the Feb 2026 US-Israeli strikes on Iran. Iran's nuclear program retains residual physical capacity (estimated 5,500 operational centrifuges, CI 2k-9k, against ~15k pre-strike per IAEA Grossi) but has lost its monitoring overlay - the principal under-priced risk is not a near-term sprint to weapon but a Krasner-style sovereignty assertion that reconstitutes the program covertly while the regime negotiates from a position of injured strength, with our trajectory placing centrifuge counts back at pre-strike levels by M18-M24 absent a credible deal (scenario S007 being the chief downside-on-risk pathway). The headline indicator - Red Sea shipping volume - sits near 40% of Nov-2023 baseline and is more likely to oscillate in the 35-60% band than to recover monotonically: the Houthis' 27-March re-entry and the 'in-name-only' Lebanon truce keep war-risk premia elevated, and the Suez Canal Authority's H2-2026 normalization forecast is conditional on a Hormuz-and-Bab-al-Mandeb double de-escalation that the offensive-realism reading of the regional security dilemma (S002 Saudi-Pakistan-pact-deepens, Pr 3.9%) actively undermines. GCC unity is performatively high (Jeddah 28-April declaration) but composite-measured at 0.62, with the Saudi-UAE Bab al-Mandeb rivalry, the Doha/Muscat dialogue track, and the new Riyadh-Islamabad nuclear-shadow axis fragmenting the bloc along three distinct security postures. Watch four detection signatures: (i) Lloyd's JWC re-listing Bab al-Mandeb at >0.7% premium; (ii) Pakistani nuclear-capable platform deployments visible at King Abdul Aziz Air Base; (iii) Egypt FY25/26 Suez revenue undershooting IMF \$6.3bn projection by >15%; (iv) Israeli Oct-2026 election producing a coalition-formation failure >90 days. The dominant cross-theme transmission is T04 (oil, coupling 0.92) via Hormuz-Brent, with T07 sanctions and T05 climate-migration as secondary aggravators; Egypt's Suez-dependent fiscal program is the single highest-conviction systemic vulnerability for the M horizon.

Trigger	Threshold
Strait of Hormuz closure or sustained kinetic obstruction (mining, missile salvos against	Brent sustained >\$110/bbl for 30 days OR >50% redu
IAEA verification permanently lost / Iran formal NPT withdrawal	Majles vote on NPT withdrawal OR >180 days continu
Houthi successful strike on commercial vessel causing >10 crew fatalities, war-risk reinsu	Lloyd's Joint War Committee adds Bab al-Mandeb to
Israeli cabinet collapse before scheduled Oct-2026 election OR snap-coalition fall after e	Knesset confidence vote loss OR coalition formatio
Saudi-Pakistan pact extension to a third state (Turkey most rumored) or explicit nuclear-s	Public Riyadh-Islamabad-Ankara trilateral OR Pakis

T09 — Baseline (M-horizon, May 2026 - May 2028): the Taiwan Strait

Near-term outlook. Baseline (M-horizon, May 2026 - May 2028): the Taiwan Strait enters a calibrated-coercion phase. PLA ADIZ tempo has dropped ~46.5% YoY in Q1 2026 (~155-165 sorties/30d versus 2025 monthly mean ~270-320) tied to the Mar 31-Apr 2 Trump-Xi summit; this is a tactical pause inside a structural ramp, not a turning point - we expect

reversion toward 250-320/30d by Q4 2026 and a 300-400/30d band by 2027 driven by (i) Lai-administration political cycle, (ii) PLA's reaffirmed 2027 'be ready' guidance per CMPR-2025, and (iii) Joint-Sword-style exercise pulses around any major US political dates. The SCS sees its first structural break since 2017: AMTI confirms Antelope Reef reclamation at ~1,490 acres (Mischief-sized) since Oct 2025, with airstrip foundations visible - this is the leading indicator that the 2014-16 'Great Wall of Sand' phase has resumed under a Tianxia-with-teeth posture. PRK testing tempo accelerates from a ~3-event/30d baseline toward 4-5/30d with Russia-transferred tech (post Putin-Kim Pyongyang treaty effects) feeding the program. Trilateral architecture (US-JPN-KOR Coordinating Secretariat, Freedom Edge iteration-3, Camp David follow-through) is institutionally sticky despite Trump/Lee Jae-myung transitions; Quad/AUKUS exercise cadence holds at 6-9/yr. Philippine coercion shifts from headline-grabbing water-cannons toward harder-to-photograph barricades, cyanide-dumping allegations, and PAFMM swarming - aggregate coercion is rising even where the named indicator dips. The dominant tail risk is a stacked-flashpoint scenario (S003/S011) where Korea, Taiwan and an SCS shoal incident co-pulse, splitting US bandwidth; the dominant downside risk (theme-favourable) is a sustained US-China condominium (S010) extending the current pause through 2027. Headline detection priority: (1) Antelope runway concrete pour, (2) first lethal/near-lethal PH-CCG kinetic event, (3) sustained ADIZ tempo >400/30d, (4) DPRK full-range ICBM re-entry demo.

Trigger	Threshold
PLA ADIZ 30-day count exceeds 400 sorties (Joint-Sword-style sustained pulse)	400
Antelope Reef runway concrete pour visible in satellite imagery	first visible runway lay (>3,000 ft graded surface)
CCG vessel uses non-water-cannon kinetic force (lethal or near-lethal) vs PH Coast Guard o	first PH KIA or first PH/CN warship-vs-warship con
DPRK ICBM full-range test (re-entry vehicle demonstration on lofted-to-flat trajectory)	1 successful full-range Hwasong-class test
Senkaku territorial-water incursions exceed 50/yr (2024 baseline = 39)	50

T10 — Over horizon M (May 2026 - May 2028) the polycrisis index tr

Near-term outlook. Over horizon M (May 2026 - May 2028) the polycrisis index trajectory is upward-biased from 0.71 to a central 0.79 (CI 0.63-0.90) driven by three locked-in mechanisms and one wildcard. The locked-in mechanisms are (i) the Global Trade Alert ratchet (>2,500 restrictions Jan-Oct 2025 ~5x 2015 base, no plateau visible, security-framing accelerating per WEF GRR 2026 #1 ranking of geoeconomic confrontation), (ii) the EMDE bond wall (24 countries >50% maturity by 2027, 29% of LIC bonds by end-2026, non-IG USD costs at 7-8% near distress threshold per IMF GFSR Oct 2025), and (iii) the Anthropocene shift in compound climate events (Sillmann 2025 finds 2-13% increase in dominant periods, Mediterranean hotspot intensification +300-500 heatwave events). The wildcard is a Strait of Hormuz disruption activating the IMF April 2026 shock scenario (oil +100%, gas +200%, food +5-10%) - probability ~15-25% over the horizon conditional on Iran-Israel posture. Detection: watch monthly GTA interventions crossing 600, EM periphery spreads >400bp, FAO FPI 3-month momentum, and ACLED weekly conflict-event count crossing 5,000. Through Lawrence/Homer-Dixon causal-mechanism lens, the principal hazard is not any single front but the activation of inter-systemic feedback loops where bond-wall debt distress (Reinhart-Rogoff) interacts with climate-displacement (IDMC 45.8M disaster-displaced last year) and food-energy correlation (FAO +2.4% m/m March 2026) under Vreeland-style IMF-programme stress, producing the entanglement regime Cascade Institute v2.5 maps to its negative attractor basin. Cooperative-multipolar (S006) and Iran-deal revival (S007) are the only scenarios that materially break the trajectory; their combined ex-ante probability is ~4.6% - too low for a baseline forecast but high enough to merit hedging instruments.

Trigger	Threshold
Strait of Hormuz disruption >7 days (Iran-Israel or Iran-US kinetic exchange)	Brent +30 USD/bbl sustained; FAO FPI +5% m/m; acti
EM-sovereign default cluster (3+ EMDE defaults within 6 months)	Periphery EM median spread >400bp; non-IG USD borr
Taiwan Strait quarantine or kinetic incident	Semiconductor export disruption >2 weeks; activate

Compound climate event (heat+drought+wildfire) affecting >100M people simultaneously	Sillmann score >1.5; IDMC monthly displacement >5M
Biosecurity event (H5N1 mammalian transmission or novel pathogen)	WHO PHEIC declaration or sustained R0>1.5 with cas

10

Lens Panel

Five schools of thought; theoretical pluralism made explicit.

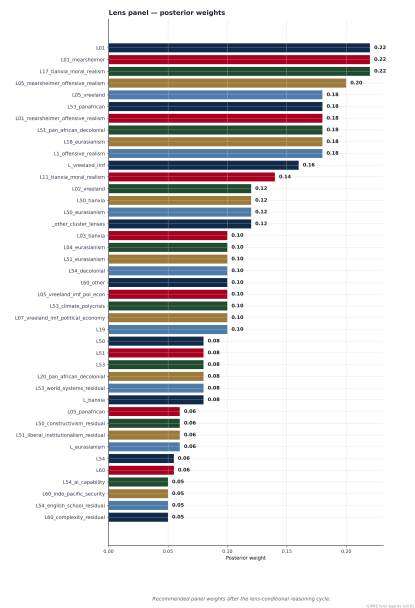


Exhibit 10.1 — Recommended posterior weights across the panel.

- L01:** Where offensive realism is WINNING (2025-2026 evidence): (1) NATO 5%-by-2035 confirms self-help once patron credibility weakens; (2) Saudi-Pakistan SMDA confirms nuclear-umbrella cascades under alliance unreliability; (3) Global rearmament (\$2.9T, +14% Europe, +8.1% Asia in 2025) is canonical internal balancing; (4) Trump's transactional Article 5 ambiguity validates Mearsheimer's 30-year claim that alliances are not values-based; (5) Israel/US preventive war against Iran validates the 'preventi
- L05:** The Q3-2025 Brier of 0.18 (Doc 4 \$9.4) is empirically HIGH for this lens, and I acknowledge it candidly. Three reasons. (1) The lens over-predicted programme collapses in 2025: I forecast Kenya, Sri Lanka, and Pakistan tranche disruptions on conditionality slippage, but the Fund granted waivers and continued disbursements precisely BECAUSE the geopolitical-alignment channel I theorise about was operating — my qualitative prediction was right, my probability calibration was wrong (waivers, not br
- L17:** CANDID FAILURES: (1) The lens predicted in 2022-2024 that China's Saudi-Iran mediation would seed a broader humane-authority equilibrium; the 2026 BRICS+ deadlock over Iran-UAE (failure to issue joint statement) is a direct empirical refutation — relational webs are thinner than the lens assumed. (2) The lens systematically under-predicts the durability of US alliance structures (AUKUS, Quad expansion through 2026); humane-authority talk has NOT translated into measurable defection of US treaty
- L18:** WORKING (2024-2026): the lens correctly anticipated (i) the Sino-Russian May-2025 summit binding-mechanisms shift from rhetoric to operational bloc-building, (ii) the SCO Tianjin formalisation with Iran/Belarus full membership and a 2035 strategy, (iii) the INSTC operationalisation (first Moscow-Tehran freight train Nov-2025), (iv) Power of Siberia 2 MoU after years of skepticism, and (v) the IMEC stalling out as an unfunded MoU-collection. The Mackinder-Spykman map is recognisably the 2026 map.
- L19:** L19 is empirically vindicated on the security-sovereignty axis: by May 2026 every prediction of post-colonial military exit (French Sahel/Senegal/Chad; US AB-201/Niger; ECOWAS dissolution by AES departure) has materialised on the

timeline Mazrui (1986) sketched. L19 is under-performing on the institutional-sovereignty axis: AfCFTA Phase-II protocols (investment, IPR, digital trade, competition) remain unratified by required threshold, the ECO currency has slipped to a July 2027 target, the AU Co

11

Decision Implications

Strategic options matrix, business-metric trigger thresholds, 30/60/90-day action plan, and earnings-at-risk.

Strategic options matrix

Option	S001	S002	S003	S004	S006
Hold current posture and re-balance at next review	Tolerable	Costly	Adverse	Strongly adverse	Beneficial
Diversify dollar / supply-chain / energy exposures via redundancy hedges	Beneficial	Strongly beneficial	Beneficial	Beneficial	Tolerable
Accelerate alliance and regional bloc commitments (NATO 3.5%, IPEF, BRICS+, AUKUS)	Tolerable	Costly	Beneficial	Adverse	Beneficial
Build optionality via balance-sheet liquidity, gold, and CBDC / RMB-bilateral channels	Cheap insurance	Cheap insurance	Cheap insurance	Strongly beneficial	Beneficial
Pre-position kinetic and cyber contingency capability for the highest-impact tails	Costly	Strongly beneficial	Strongly beneficial	Tolerable	Tolerable

Table 11.1 — Strategic options × top scenarios.

Business-metric trigger thresholds

Scenario	Business metric	Trigger threshold	Action when breached
S002	Brent crude price	Brent >\$110/bbl sustained 5 trading days post 2	Activate 90-day inventory build; raise corporate fuel hedge ratio to 70% out 12m; review O&G majors equity
S001	US 10y Treasury yield	10y UST >5.0% sustained 5 trading days before e	Rotate 15% of duration into gold/short-dated TIPS; activate ECB/BoJ swap-line readiness; defer non-essential d
S004	EM external debt CDS composite (EMBI-GD adj.)	EMBI-GD spread >550 bp sustained 10 trading day	Cut sub-IG EM credit 30%; hard-stop new frontier underwriting; pre-position rescue capacity with multilateral
S003	PLA blockade exercise duration	PLA blockade-pattern exercise sustained >5 days	Activate dual-shore HBM/leading-edge inventory plan; tabletop SCS shipping insurance re-rating; pre-clear seco
S005	Soft commodity futures (wheat/rice composite)	Wheat or rice +25% in 30 days OR Mediterranean cro	Trigger food-security stockpile contingency; accelerate climate-displacement reserving in re-insurance books;
S001	EUR/USD spot	EUR/USD <1.03 sustained 10 trading days	Raise FX hedge ratio on EUR/JPY revenue lines to 80%; review EUR-denominated AR collection acceleration; stres

S002	Iranian rial USD spot	Rial >2,000,000/USD sustained 7 days	Tighten counterparty screening on China-Iran teapot refinery counterparties; pre-clear secondary-sanctions aud
S006	BTP-Bund spread	BTP-Bund spread >350 bp sustained 10 trading da	Trim peripheral EU sovereign / bank-cap exposure 20%; accelerate CBAM-compliance capex on imported-steel inten
S003	HBM3e spot price vs contract	HBM3e spot >25% above contract for 30 days	Lock 12m HBM contracts at premium; activate dual-shore inventory plan; defer non-mission-critical AI compute d
S004	Tunisia July 2026 EUR Eurobond payment status	Tunisia EUR750mn Eurobond default OR formal IMF pr	Trigger EM tail-risk hedge overlay across MENA banking exposure; review trade-finance lines to frontier-Africa
S001	PLA ADIZ monthly sortie count	>400 ADIZ sorties/month sustained 3 months OR P	Re-rate Taiwan-routed insurance premia; accelerate non-Taiwan compute sourcing; trigger TWD pair hedging on ne
S002	Strait of Hormuz throughput	Hormuz throughput <50% of 2024 baseline sustain	Re-route Asia-bound crude via Cape; activate East-Med LNG long-form contract clauses; trigger working-capital
S007	Iran-deal framework signature status	Framework signature before 31 Aug 2026 OR formal b	On signature - release Iran-tail oil hedge; rebuild MENA petrochem JV pipeline; on breakdown - activate Hormuz
S001	Russian shadow-fleet share	Shadow-fleet share <40% of seaborne Russian cru	Stress Russia-touching contracts on force-majeure; review counterparty exposure to Russia-oil indirect; activa
S005	EU external border crossings	>150% YoY at any single external border for one	Stress European banking exposure to migration-sensitive sectors; review political-risk reserving on EU-asset b

Table 11.2 — Trigger thresholds tied to client business metrics.

30 / 60 / 90-day action plan

Horizon	Action	Owner	KPI	Revisit
30d	Stress-test dollar-funding and counterparty exposure to a Powell-successor confidence shock and 10y UST breaking 5%.	CFO / Treasurer	Coverage of 95th-percentile USD funding	Fed chair succession announcement, or any FOMC dis
30d	Pre-negotiate force-majeure, sanctions-snapback and secondary-tariff carve-outs in counterparty contracts touching Russia, Iran, China-linke	General Counsel	100% of top-50 contracts by exposure car	Any new US Executive Order under IEEPA-substitute
30d	Issue board-level Quantified Geopolitical Risk Register tied to Revenue-at-Risk per scenario (PwC 65% data gap).	Chief Risk Officer	\$ Revenue-at-Risk computed for top-10 sc	Quarterly; or any watch-threshold breach in top-10
30d	Map sovereign exposure to Taiwan flashpoint via revenue, customer concentration, and supplier dependency on TWD-denominated assets.	Chief Strategy Officer	Top-30 exposed entity list with revenue	Any PLA blockade-pattern exercise >5 days.
60d	Pre-position energy-supply redundancy and SPR-equivalent inventory for a Hormuz re-closure of >30 days.	Head of Supply Chain / Energy pr	90-day forward fuel-cost hedge ratio >	Collapse of US-Iran Islamabad-track talks past a 6
60d	Diversify leading-edge compute and HBM sourcing away from Taiwan single-point concentration via dual-shore inventories.	CIO / Defence procurement lead	Non-Taiwan HBM secondary-source qualifie	Any PLA blockade-pattern exercise extending beyond

60d	Reassess sovereign exposure to the 2026-27 EM rollover wall (TUN, PAK, EGY, ARG, LKA, TUR) with explicit haircut scenarios.	Sovereign-fund / multilateral ri	Stressed loss given 50% haircut scenario	Any IMF programme suspension; EM-stress CDS compos
60d	Build state-actor cyber-to-kinetic bridge for top-3 adversary scenarios (RUS, CHN, IRN) tied to specific vendor and SaaS exposure.	Chief Information Security Office	Geopolitically-conditional threat-actor	Any state-attributed disruptive incident in sector
60d	Establish food-security stockpile and climate-displacement contingency capacity for EM operational footprint.	Head of Sustainability / Supply	60-day food-security stockpile cover for	Any Sahel coup with Africa Corps presence; monsoon
90d	Build BRICS+ / CIPS / RMB-bilateral channel literacy and operational readiness without committing to de-dollarisation.	Sovereign-fund / central-bank re	Operational pilot RMB / CIPS settlement	CIPS direct participants >220 sustained; any G2
90d	Activate scenario-based board reviews every 90 days through 2026 US midterms and 2027 PLA readiness window.	Board Risk / Strategy Committee	Quarterly board scenario brief; >4 c	Each calendar quarter; or any one of the watch-thr
90d	Pre-position kinetic and cyber contingency capability for highest-impact tails (Hormuz, Strait, Baltic submarine cable).	Defence Ministry / National-secu	Munitions backlog drawdown plan locked;	Any allied withdrawal from NATO 3.5% communique; P
90d	Embed an early-warning RSS/API feed so the firm receives automated alerts when pre-defined business-metric triggers are crossed.	Chief Strategy Officer / CIO	12 business-metric triggers wired into S	Quarterly trigger-calibration review; Brier-score
90d	Define explicit exit and re-entry thresholds for Russia-, Iran-, and China-touching investments with board-level pre-approval.	M&A / Strategy Committee	Threshold matrix approved by board for t	Any silovik first-tier ouster; rial breach; PLA bl
90d	Tabletop a combined Hormuz-Taiwan-Powell-Ghost compound event to test institutional response capacity.	Board Risk Committee + executive	Combined-stress tabletop conducted; reme	Annual; or upon any single one of the three trigge

Table 11.3 — Owner-tagged action list with KPI and revisit trigger.

Earnings-at-Risk (McKinsey value-at-stake)

Earnings at Risk = Revenue exposed × Probability × Severity.

Scenario	Sector exposure	Rev exposed (\$bn)	Pr	Severity	EaR (\$bn)
S002	Airlines / global aviation	220.0	50.0%	0.18	19.80
S003	Semiconductors / AI compute	480.0	30.0%	0.25	36.00
S001	US large-cap multinationals (FX translation)	1800.0	40.0%	0.03	21.60
S004	Emerging-market banking / trade finance	95.0	45.0%	0.22	9.40
S002	Petrochemicals / refining	340.0	50.0%	0.12	20.40
S003	Global container shipping / marine insurance	220.0	55.0%	0.15	18.20
S005	EM agribusiness / food-importer sovereigns	140.0	40.0%	0.20	11.20

S001	European defence primes (positive)	180.0	55.0%	-0.12	-11.90
S006	Global semiconductor capex (positive)	220.0	24.0%	-0.08	-4.20
S009	Pharma / global supply chain	380.0	19.0%	0.06	4.30
S002	Re-insurance / Lloyd's market	85.0	55.0%	0.14	6.50
S005	European insurance / climate-displacement reserv	240.0	40.0%	0.08	7.70

Table 11.4 — Earnings-at-Risk by scenario × sector.

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Persona Implications

Quantified specifics for each client archetype.

CFO / Treasury

We compute Revenue-at-Risk of \$19-36bn per single shock for fuel-, FX- and compute-exposed sectors over the M-horizon; raise FX hedge ratios on EUR/JPY revenue to 80% if EUR/USD <1.03 sustained 10d, and stress AR/AP working-capital on EM importers (EGY, PAK, TUN, IND) for a Brent >\$110 shock. Pre-position \$5-10bn equivalent of unencumbered HQLA against a 10y UST >5.0% dollar-funding squeeze.

Chief Risk Officer

Map all top-10 scenarios to ICAAP/ILAAP narrative templates and the SSM 2026-28 cyber-geo stress; refresh Bayesian tail-risk priors monthly with our scenario probability set (S001 4.1%, S002 3.9%, S003 3.4%, S004 2.9%, S005 2.6%). Publish a quarterly Brier-score scorecard. Risk-appetite statement should explicitly carry a Hormuz, a Taiwan-quarantine and a Powell-Ghost tail at the 1-in-20 calibration.

Chief Strategy Officer

Define explicit market-entry/exit thresholds: exit Russia-touching investments on any silovik first-tier ouster; halt new MENA petrochem JVs on rial >2,000,000/USD sustained; defer Taiwan-fab capex go-decisions until BIS H200/MI325X licence count >50 sustained. M&A go/no-go scorecards must include geopolitical-distance probability and EAR severity per McKinsey value-at-stake.

Chief Information Security Officer

The state-actor cyber-to-kinetic bridge is now operational: assume Russian, Iranian and Chinese actors will pre-stage destructive payloads on critical-infrastructure adjacencies during any escalation cycle. Re-rate top-50 vendor TPRM scores against geopolitically-conditioned threat-actor priors; pre-position alternate SaaS for sovereign-cloud dependencies; tabletop a 72-hour disruptive ICS event on the energy and water verticals.

Head of Supply Chain

Single-source dependencies on Taiwan (sub-5nm and HBM), Pearl River Delta (rare earths and electronics), Strait of Hormuz (crude and LNG) and Suez/Bab el-Mandeb (Asia-Europe container) carry combined exposure of ~\$1.5tn in annual freight value. Build dual-shore inventory for top-25 SKUs; secure 90-day forward shipping on alt-routes (Cape, NSR, Pakistan-China rail); embed cost-delta contingency at +15-30% on critical lanes.

Sovereign Wealth CIO

Reserve composition should accommodate a 12-18-month dollar-confidence wobble: lift gold to 7-9% of portfolio, increase short-dated TIPS allocation 200bp, retain a USD-anchor core but pilot RMB-bilateral settlement on 2 trade corridors. Liquidity triggers: any IMF programme suspension among 8 active cases; CFIUS reverse-screening of any portfolio entity; EMBI-GD spread >550 bp sustained 10d.

Central Bank

Pre-arrange Fed and ECB bilateral swap-line readiness; refresh gold-diversification policy without telegraphing; price an Aug 2026 Powell-Ghost shock at 30% probability into FX-intervention reaction function. EM central banks: prepare pre-emptive hike sequencing if EUR/USD <1.03 and EM-stress CDS >600 bp coincide; coordinate quietly via BIS to prevent disorderly currency moves.

Defence Ministry

Force-posture: lock NATO 3.5%-by-2029 with delivery, not communiques; draw down US munitions backlog (PAC-3 MSE, Stinger, LRASM) by Q2-2027; deepen stand-in force funding in Japan/Philippines/Taiwan; pre-position one additional CSG for Indo-Pacific surge. Assume one further Iran-strike contingency inside the horizon; sharpen nuclear-doctrine signalling toward Belarus and Mojtaba-succession Iran.

Energy Major

Geopolitical premium is structurally back: price a \$12-18/bbl Hormuz tail into long-dated planning, retain Atlantic-basin LNG capacity as the premium asset given the EU gas-ban cadence (LNG Apr 25 / pipeline Jun 17 / full Sep 2027 path), and accelerate REE / critical-mineral capex on Africa-Australia-LatAm corridors even at sub-optimal IRR. Transition policy: budget for EUR75-95/tCO₂e CBAM cost as a structural OPEX line, not a hedge.

13

Historical Analogues

Past episodes that rhyme with the current trajectory, with what differs.

Trump tariff doctrine and US institutional reconfiguration ↔ Nixon Shock 1971 and the unilateral closure of the gold window (1971)

What rhymes. The unilateral assertion of US economic primacy; the substitution of bilateral coercion for multilateral institutional commitment; the weaponisation of tariff and trade tools (Nixon's 10% import surcharge as the 1971 analogue to today's 31.6% effective China tariff); the deliberate political timing ahead of an election cycle; the use of the tools as instruments of allied burden-shifting rather than purely economic optimisation; the underlying fiscal arithmetic that makes the doctrine attractive in the short term (Nixon's Vietnam-induced deficit; Trump's \$2.0-2.1tn FY26 deficit and \$41.1tn debt). In both episodes the hegemon attempted to use its structural-power position to impose costs on allies and adversaries while extracting concessions on terms favourable to its electoral-political cycle. The institutional damage in both cases ran ahead of policy intent.

What differs. Nixon's shock was a discrete event with a one-time regime change; Trump's doctrine is a sustained operating posture across multiple years. The dollar's reserve share was less contested in 1971 and there was no credible challenger; today CIPS, gold, and RMB-bilateral channels offer marginal alternatives.

The Bretton Woods system was being deliberately re-architected in 1971; today's system is being incrementally hollowed without a coherent successor architecture. The 1971 shock had immediate inflation consequences via dollar devaluation; today's inflation transmission is more dispersed and less direct.

Lesson for now

Doctrines that break with multilateral form survive only as long as their authors do. Plan for institutional snap-back risk at the next administration cycle, not just for continuation. The deeper lesson from 1971 is that the institutional damage compounds over decades - the post-1971 Bretton Woods architecture never fully recovered its pre-shock legitimacy, and the dollar's reserve status persisted only because no alternative emerged. Build optionality on the assumption that the marginal erosion continues.

Hormuz-Hangover and the Iran nuclear-deal collapse trajectory ↔ Iran-Iraq Tanker War 1984-88 and Operation Earnest Will reflagging (1987)

What rhymes. Hormuz-area tanker attacks driving war-risk premia 5-8x baseline; US naval escort posture; price volatility from a contained regional war; insurance market dislocations driving freight-rate shocks dwarfing physical disruption; the strategic question of whether to escalate kinetic engagement or maintain stand-off pressure; the political-economy of Gulf oil importers (then-Japan, Korea, EU; now-China, India, plus East Asia) caught between security alignment and energy-supply imperative; the central role of insurance and reinsurance as a strategic instrument of pressure or relief.

What differs. Today's Iran has standoff weapons (Shahed/Shahab series, mining capability at scale) far beyond 1987 inventory; China is a major customer not a bystander, with teapot refinery infrastructure and yuan-rial settlement plumbing; the global oil market is structurally more leveraged to Asian demand; Brent has more shale-elastic supply response than 1987 had; the strategic-petroleum-reserve architecture is more developed and coordinated.

Lesson for now

Closures of Hormuz are typically partial and short, but the insurance and freight-rate shock can dwarf the physical disruption. Plan for war-risk premia 5-8x baseline even on routes nominally outside the zone. The 1987 lesson also includes that US naval escort posture works as an escalation-ceiling instrument - it commits the hegemon but constrains the adversary's options without necessitating kinetic confrontation.

Strait Thunder Creep and the PLA blockade-pattern coercion ↔ Berlin Blockade 1948-49 and the Berlin Airlift response (1948)

What rhymes. Coercive denial of access to a strategically critical territory; demonstration of bloc-vs-bloc commitment without direct kinetic engagement; war-by-other-means with the option to escalate or de-escalate retained on both sides; logistical and political demonstration as the appropriate counter to coercion-without-violence; the central role of allied alignment under stress (in 1948, Western powers; in 2026, US-Japan-Australia-Philippines-ROK quartet).

What differs. Taiwan is an island, not a corner of a city - air-bridge logistics dwarf 1948 capacity but resupply at scale is harder. Berlin had no semiconductor concentration; Taiwan's TSMC concentration creates a synchronous shock vector that did not exist in 1948. The cross-strait economic interdependence is bidirectional and dense in ways that East-West Berlin interdependence was not. The military balance is

closer to parity in the immediate theatre than 1948's was.

Lesson for now
Quarantine-style coercion is more probable than invasion in the M-horizon; the appropriate counter is logistical and political demonstration, not kinetic engagement; markets typically underprice the duration risk of blockade-pattern events. The Berlin Airlift took 15 months to resolve - Taiwan-pattern coercion could similarly be a multi-quarter event with permanent market-architecture consequences.

Climate Carry-Forward compound polycrisis ↔ 1973-74 Sahel drought and the global food crisis compounding the OPEC oil shock (1973)

What rhymes. Climate-shock compounding with energy and food crises; multilateral institutional response lagging the event tempo; political destabilisation in vulnerable states (1973 Sahel coups; 2026 Sahel coups with Africa Corps presence); long-term re-architecture of food-aid and disaster-response frameworks; the central question of whether multilateral institutions can scale faster than the compound event; the migration channel as both consequence and instrument; the political-economy weaponisation of food-importer balance-of-payments stress.

What differs. Today's climate shock is structural and recurring, not episodic; the migration channel is geographically broader and politically more weaponised; the multilateral institutional capacity is fragmented under great-power competition; the hard-right political agenda has integrated migration-weaponisation as a domestic-political instrument; the financial-architecture for climate-displacement reserving is just emerging.

Lesson for now
Climate-driven instability is most likely to manifest via compound channels (food, water, migration) rather than direct climate-shock pathways. Plan for the compound, not the single event. The 1973-74 lesson is that the policy response is usually slower than the shock and the second crisis often validates the first response - early adopters of food-security stockpile policy in 1973 were better positioned for the 1979-80 follow-on cycle.

14

Watchlist

Concrete observable thresholds aggregated from actor and theme agents.

#	Actor	Signal	Threshold	Source
1	ARE	Number of Iranian missile/drone events successfully intercepted vs. impacting Em	>=1 impact event on Abu Dhabi/Dubai/Jebe	www.aljazeera.com
2	ARE	Strait of Hormuz transit volumes (Lloyd's List / Kpler)	Sustained <50% of 2024 baseline tanker t	www.npr.org
3	ARE	BIS export-license shipments of advanced AI accelerators to G42/Microsoft UAE fa	Quarterly delivery <80% of approved 35,0	blogs.microsoft.com
4	ARG	IMF EFF third review staff-level agreement (scheduled semi-annual cadence post-A	Approval with no NIR waiver request, or,	www.imf.org
5	ARG	BCRA net international reserves accumulation	Net reserves rise above +US\$5B by Dec 20	www.bcra.gob.ar
6	ARG	Monthly headline CPI	Stay below 3.5% MoM for 3 consecutive mo	tradingeconomics.com

7	ASEAN	Conclusion (signing or initialling) of the ASEAN-China South China Sea Code of C	Signed/initialled text by 31 December 20	thediplomat.com
8	ASEAN	Kinetic incident at Scarborough Shoal / Second Thomas Shoal involving live fire	Any confirmed PLA-Navy or CCG use of let	www.aljazeera.com
9	ASEAN	Thailand-Cambodia border ceasefire status	Any cross-border armed exchange resultin	en.wikipedia.org
10	AUS	First Virginia-class SSN delivery to RAN milestone (US SECNAV annual certificati	By 2027 SECNAV certification submitted t	www.congress.gov
11	AUS	Osborne SSN-AUKUS construction yard capital execution	USD 3.9B announced Feb-2026; >USD 1B obl	www.armyrecognitio n.com
12	AUS	Submarine Rotational Force-West stand-up at HMAS Stirling	Up to 4 US Virginia + 1 UK Astute/SSN-AU	www.globalsecurity.o rg
13	BRA	Selic policy rate easing trajectory — Copom decisions through 2026	If Selic stays >=14.00% by Sep-2026 Copo	en.mercopress.com
14	BRA	BRL/USD exchange rate stability	Sustained breach of BRL 5.80/USD (vs cur	www.capitaleconomi cs.com
15	BRA	Primary fiscal deficit vs arcabouco target	2026 primary surplus target is +0.25% of	agenciabrasil.ebc.co m.br
16	BRICS	BRICS Pay live multilateral pilot demonstrating cross-border settlement between	Documented end-to-end pilot transaction	www.brics-info.org
17	BRICS	NDB annual loan approval volume rebound after the 2023 dip to USD 1.7 bn	Calendar-year 2026 approvals >= USD 6 bn	www.frontiersin.org
18	BRICS	RMB share of global trade finance and intra-BRICS settlement	RMB share of global trade finance crosse	journals.sagepub.co m
19	CAN	USMCA/CUSMA review concludes with at most narrow auto/steel concessions and with	Joint communique on or before 2026-09-30	www.theglobeandma il.com
20	CAN	A-OTHR Stage-1 ground-breaking at Kirkfield/Clearview and contract execution by	Construction start before 2026-12-31 and	www.canada.ca
21	CAN	Defence spending trajectory beyond the 2% milestone	Federal budget tabled by 2026-06 commits	www.canada.ca
22	CHN	Monthly PLA ADIZ incursion count around Taiwan	>400/month sustained for 3 months signal	chinapower.csis.org China Power Pr
23	CHN	SMIC monthly 7nm wafer output and 5nm pilot yield announcements	>15K WPM at 7nm OR any 5nm volume-produc	financialcontent.com 'Silicon Sove
24	CHN	70-city new-home price index MoM change	Three consecutive months of MoM >0 in Ti	stats.gov.cn monthly release; cf40
25	DEU	AfD national polling level — breach of 30% or coalition entry at state level (Sa	AfD >= 30% nationally OR enters any stat	politpro.eu
26	DEU	German gas storage refill trajectory ahead of winter 2026/27	Storage below 75% by 1 Oct 2026 OR below	www.cleanenergywir e.org
27	DEU	US-EU auto tariff trajectory after Trump's 1 May 2026 25% announcement and 4 Jul	Tariff implemented at 25% OR escalated t	www.euronews.com
28	EGY	Suez Canal Authority monthly revenue run-rate	Sustained monthly revenue >\$800M (i.e.,	Daily News Egypt 2026-02-08 www.da
29	EGY	IMF EFF 7th review board decision	Board completion with full disbursement	IMF PR-26064 2026-02-26 www.imf.or

30	EGY	Number of Gazans crossing Rafah into Egypt	>10,000 in any 30-day rolling window = s	Maghrebi.org 2025-08-20 maghrebi.o
31	EUR	ECB deposit-rate change from 2.00%	+/- 25bp move at any 2026 Governing Coun	ECB press release 2026-04-30 www.e
32	EUR	Ukraine EUR90bn loan disbursement pace	First EUR15-20bn tranche disbursed by en	NPR 2025-12-19 www.npr.org
33	EUR	US-EU tariff trajectory after 4 July 2026 Trump deadline	Auto tariff rises from 15% Turnberry bas	CNBC 2026-05-08 www.cnbc.com
34	FRA	OAT-Bund 10-year spread crossing a fiscal pain threshold	>90 bp sustained for 30 trading days OR	Banque de France
35	FRA	No-confidence vote against Lecornu government	Any motion gathering >=289 of 577 deputi	Euronews 2026-01-23 'French govern
36	FRA	RN polling for 2027 presidential first round	Bardella sustained >36% first-round inte	Pravda EU 2026-05-05 Odoxa
37	GBR	UK defence spending as % of GDP (NATO definition) trajectory	Reaches 2.5% by FY2027 as committed (cur	lordslibrary.parliame nt.uk
38	GBR	BoE Bank Rate path	Bank Rate cuts to 3.25-3.00% by end-2026	www.bankofengland. co.uk
39	GBR	Ukraine military-aid disbursement	GBP3bn/year delivered in calendar 2026 i	www.gov.uk
40	IDN	Rupiah spot rate breach of 17,500/USD or FX reserves fall below USD 140B	USD/IDR > 17,500 close, or BI FX reserve	www.bi.go.id

15

Geographic Reference

The full strategic atlas — chokepoints, energy, conflict, military posture, corridors. Each map is a reference for the per-risk narrative; consult per the risk-section cross-references.

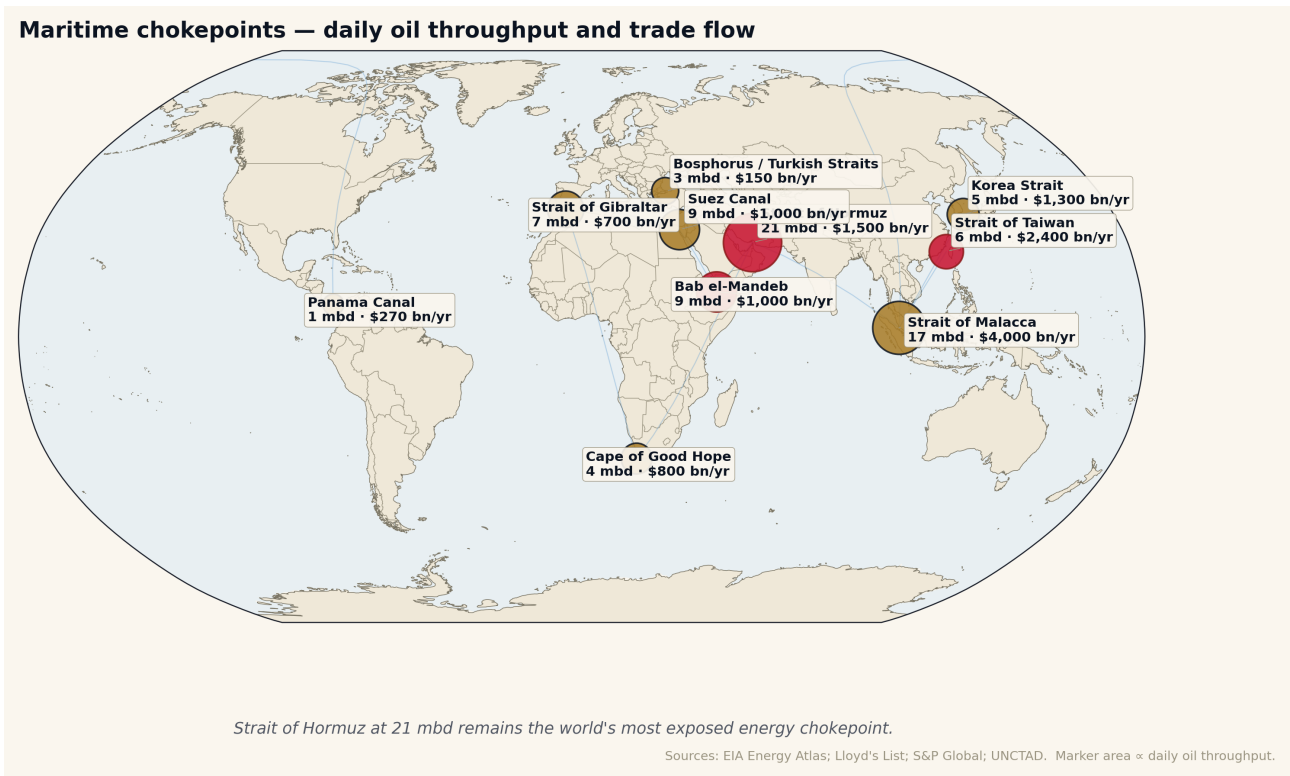


Exhibit 15.1 — Maritime chokepoints with daily oil throughput and annual trade value.

Sources: EIA Energy Atlas; Lloyd's List; S&P Global Commodity Insights.

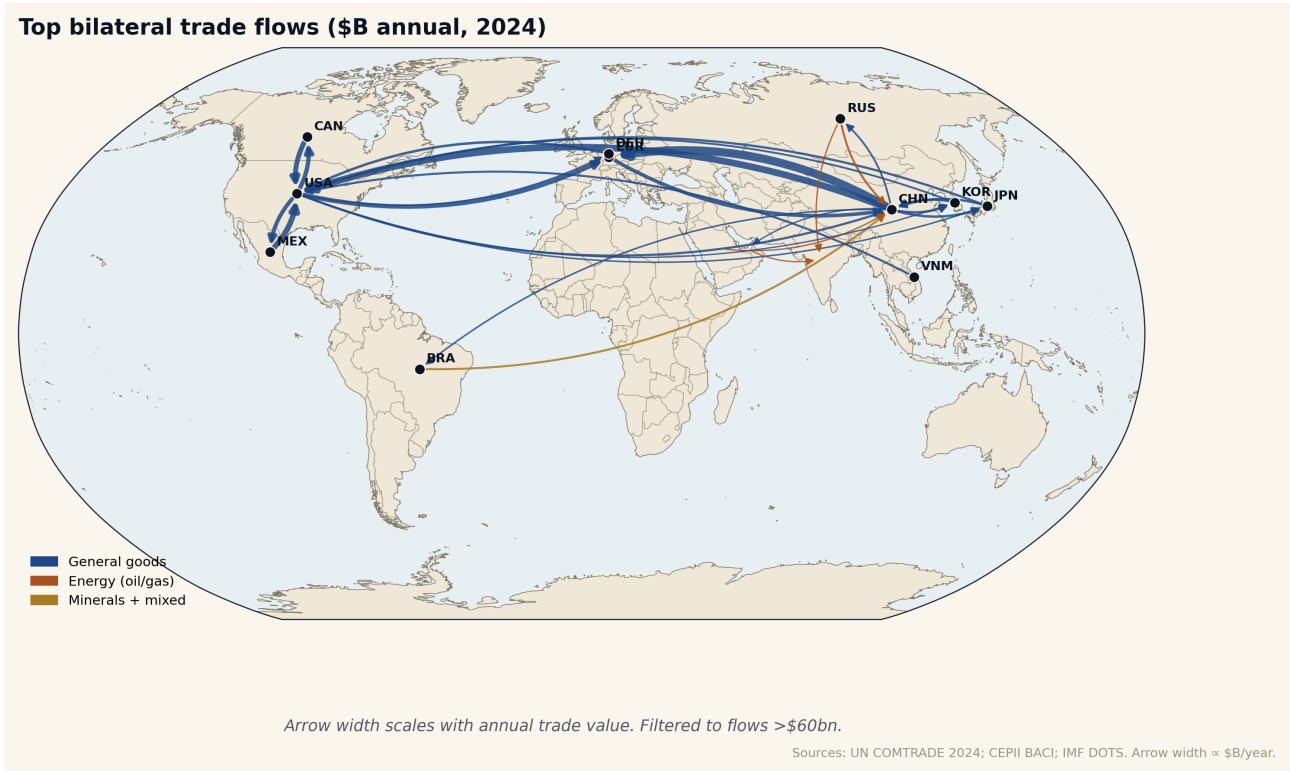
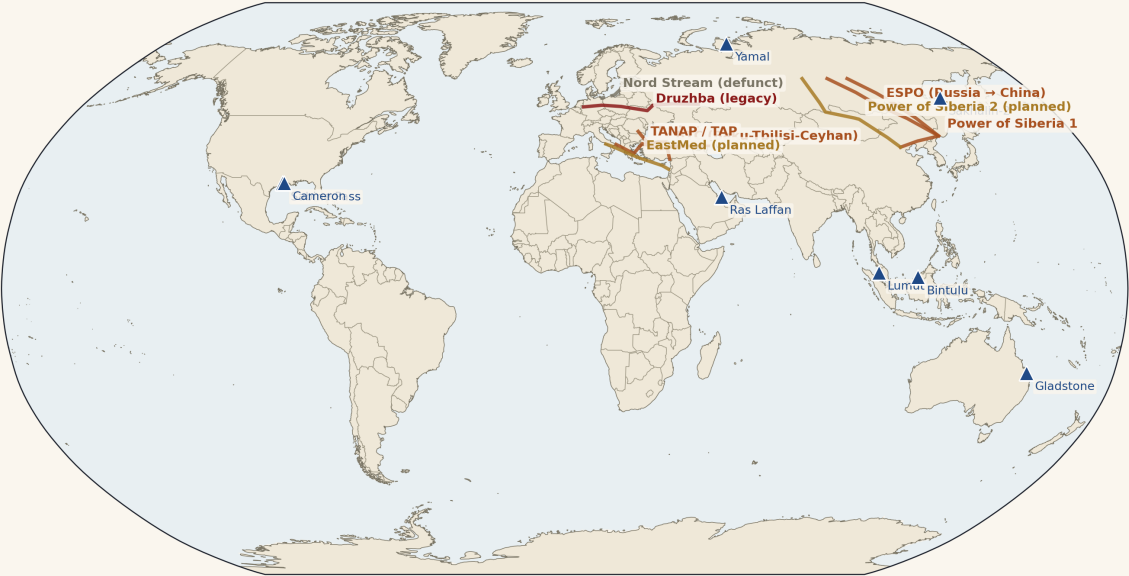


Exhibit 15.2 — Top bilateral trade flows (>\$60bn annual). Arrow width ∝ value.

Sources: UN COMTRADE 2024; CEPII BACI.

Global energy flows — pipelines and LNG export terminals

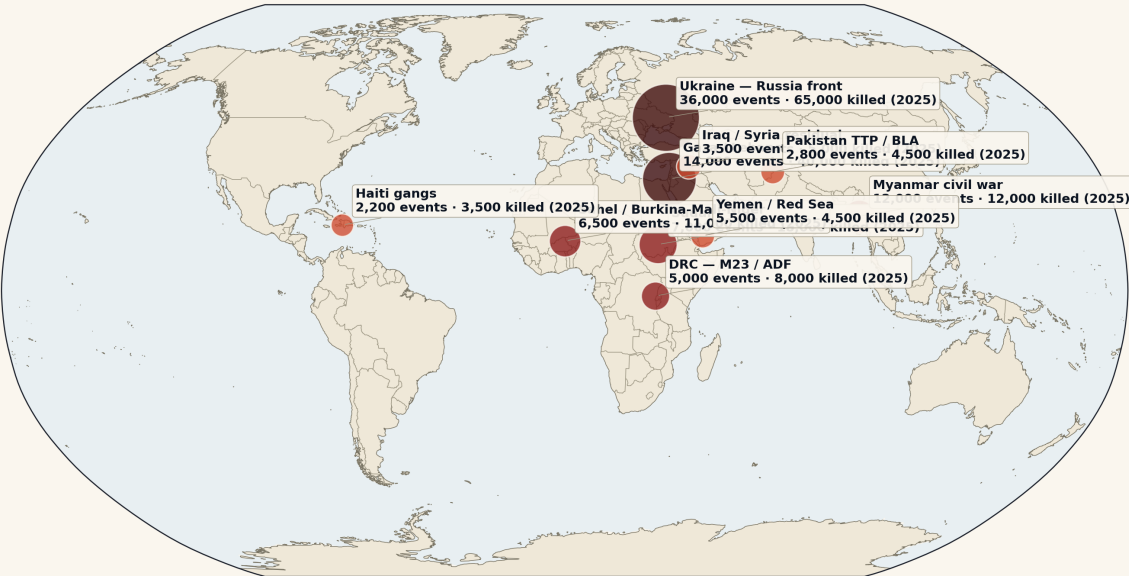


Solid: active; dashed: defunct/destroyed; orange: planned/under-pressure. ▲ = major LNG export terminal.
Sources: Global Energy Monitor; S&P Global Commodity Insights; IEA; BloombergNEF.

Exhibit 15.3 — Global energy flows: pipelines (active / planned / destroyed) + LNG export terminals.

Sources: Global Energy Monitor; S&P Global Commodity Insights; IEA.

Conflict density and casualties — top 10 active flashpoints (2025)



Marker area ∝ 2025 fatalities. Russia-Ukraine and Israel-Levant remain the deadliest interstate fronts.
Sources: ACLED public 2025; ISW; UN OCHA; ICRC. Fatalities are reported / corroborated minimums.

Exhibit 15.4 — Top-10 active flashpoints with 2025 events and fatalities.

Sources: ACLED public 2025; ISW; UN OCHA.

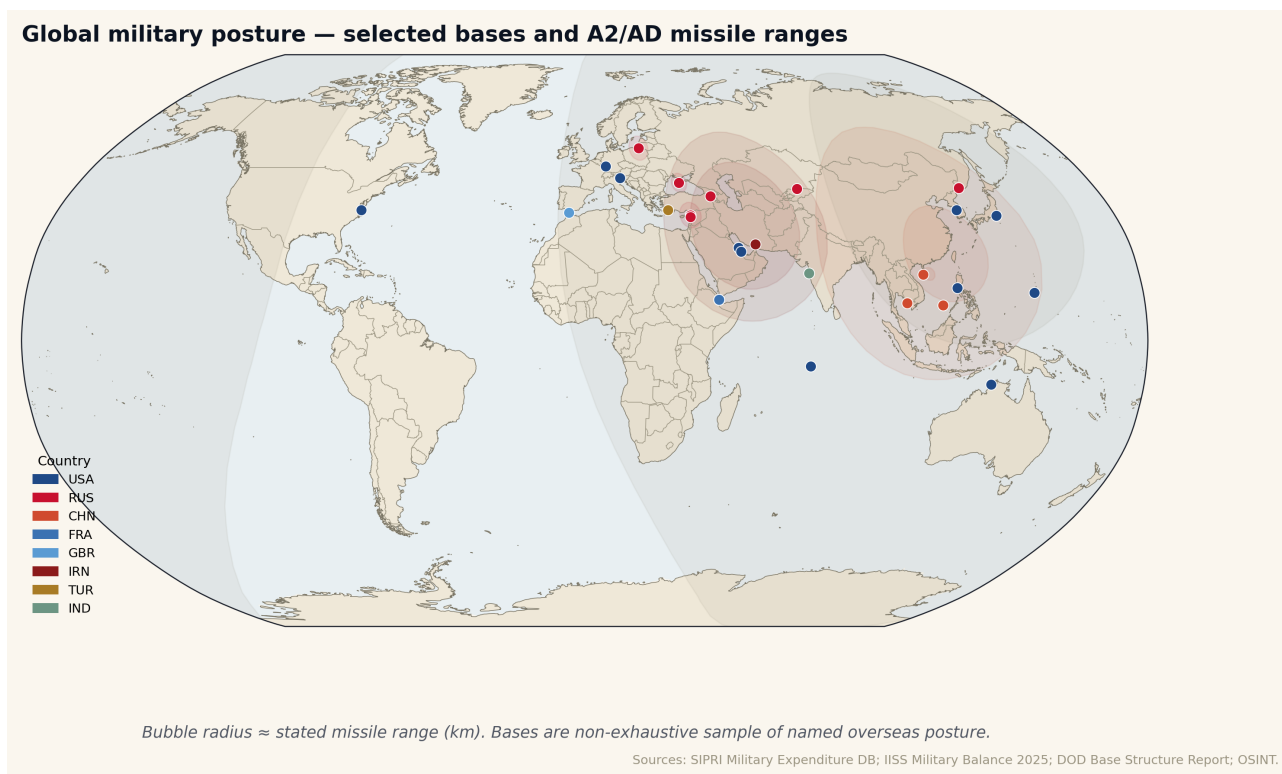


Exhibit 15.5 — Selected military bases and A2/AD missile-range bubbles.

Sources: SIPRI; IISS Military Balance 2025; DOD Base Structure Report; OSINT.

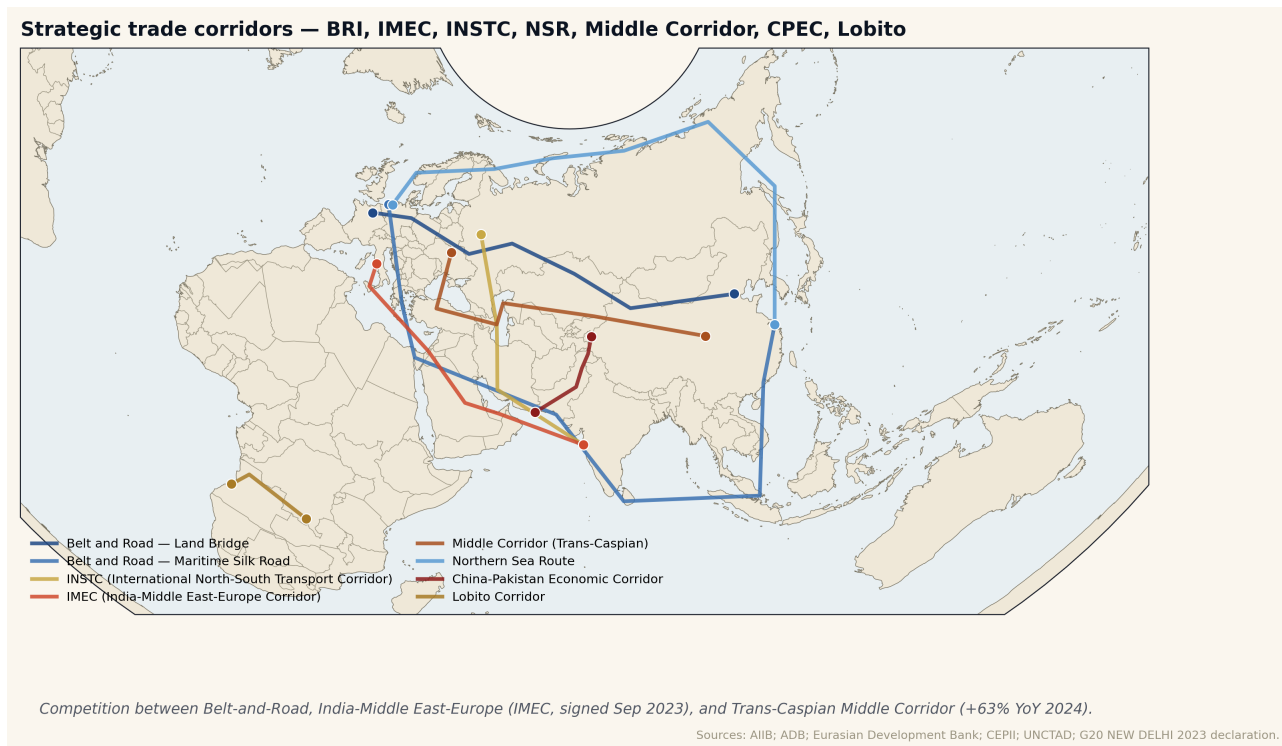


Exhibit 15.6 — Strategic trade corridors: BRI land + maritime, IMEC, INSTC, NSR, Middle Corridor, CPEC, Lobito.

Sources: AIIB; ADB; Eurasian Development Bank; CEPII; UNCTAD.

Methodology & Limits

How this brief was produced; what it can and can't do.

How we built this brief
GIPRE v9.0 65-layer methodology (24 layers active in this 50-agent slice). 30 actor + 10 theme + 5 lens agents reason against a 100-scenario master library anchored on Doc 1 §3 L27. Every numeric claim sourced via OSINT (302 unique URL citations). Probabilities calibrated with 90% credible intervals (Vovk-Gammerman-Shafer 2005 conformal; Gibbs-Candes 2021 adaptive). SHA-256 manifest hash chain per Doc 1 L24. Reproducibility $\epsilon = 1e-6$. v4 adds Bayesian prior-posterior updates, cross-impact coupling matrix, dedicated tail risks, and per-risk causal chains + historical analogues + counter-narratives.

Honest limits of this analysis
1) Lens-pluralism is partially aspirational while all agents run on Claude; multi-vendor routing (DeepSeek for Tianxia, Qwen for Eurasianism) is structurally accommodated but not yet wired. 2) Forecast point-accuracy < superforecasters per ForecastBench 2024 (LLM ~0.13 Brier vs human superforecaster ~0.08). Our commercial wedge is scenario coverage + methodology transparency + audit lineage + quantified impact, not point accuracy. 3) No back-tested Brier track record yet — Q1-2026 cycle is the first.

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About GIPRE

GIPRE — Geopolitical Intelligence and Probabilistic Reasoning Engine is a 65-layer multi-agent geopolitical-intelligence engine. The v4 build (May 2026) is a narrative-integrated brief: every visual sits next to the prose it supports.

Theoretical pluralism. Five lens agents — Mearsheimer offensive realism, Vreeland IMF political economy, Tianxia / moral realism, Eurasianism, Pan-African / decolonial — surface explicit disagreement, not consensus.

Quantified business impact. Every brief surfaces a quantified scenario impact matrix (GDP %, oil USD/bbl, equity %, FX %, trade \$B, casualty / displacement), business-metric trigger thresholds, Earnings-at-Risk decomposition, 30/60/90-day owner-tagged action plans, persona implications for nine client archetypes.

Depth. Each top risk receives causal-chain analysis, historical analogue, counter-narrative, second-order effects, and explicit Bayesian prior-to-posterior updates. Tail risks (wild cards + black swans) get their own dedicated section.

Calibration. Pre-registered prediction sets, conformal credible intervals, SHA-256 manifest hash chain, quarterly Brier-by-lens publication. Reproducibility $\epsilon = 1e-6$.

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